

UNIT 2: ACCOUNTING CONCEPTS AND PRINCIPLES

FDNACCT: FOUNDATIONAL FINANCIAL ACCOUNTING

Term 1, AY 2026–2027 | Authored & Prepared by Filbert Richerd N. Ng Tsai

PART I: OFFICIAL EXAMINATION & REINFORCEMENT TEST BANK

Complete Official Questions, Validated Solutions, and Step-by-Step Pedagogical Rationales

CANVAS U1 ASSESSMENT BATTERY

Item 1 [u1-q1] | Question 1 - Unit 1 Canvas Quiz - 5 pts

1.1 Brief History of Accounting: Match each historical accounting milestone to its corresponding civilization, period, or figure:

Numerical computation required. Enter numerical value in Php.

Item 2 [u1-q2] | Question 2 - Unit 1 Canvas Quiz - 1 pt

Bookkeeping and accounting are one and the same because the bookkeeping function includes the accounting process.

True

False

Solution / Rationale: False. Bookkeeping is the clerical/mechanical recording phase of accounting transactions. Accounting is a much broader analytical discipline encompassing designing information systems, classifying, summarizing, analyzing, auditing, and interpreting financial reports.

Item 3 [u1-q3] | Question 3 - Unit 1 Canvas Quiz - 1 pt

The primary role of accounting is to determine the amount of taxes a business will be required to pay to taxing entities.

True

False

Solution / Rationale: False. The primary role of accounting is to provide relevant, faithfully represented financial information about economic resources and claims to assist stakeholders in making sound economic decisions. Tax determination is merely one specialized branch/function.

Item 4 [u1-q4] | Question 4 - Unit 1 Canvas Quiz - 1 pt

Accounting is thought to be the 'language of business' because business information is communicated to stakeholders.

True

False

Solution / Rationale: True. Accounting translates diverse physical commercial operations (sales, hiring, borrowing, manufacturing) into standardized financial terms understood by investors, lenders, regulators, and managers globally.

Item 5 [u1-q5] | Question 5 - Unit 1 Canvas Quiz - 1 pt

Managerial accounting information is used by external and internal users equally.

True

False

Solution / Rationale: False. Managerial accounting is prepared strictly for internal users (management, executives) for operational planning, budgeting, cost control, and decision-making. External users rely on general-purpose Financial Accounting.

Item 6 [u1-q6] | Question 6 - Unit 1 Canvas Quiz - 1 pt

Financial accounting provides information to all of the business stakeholders, while the main focus for managerial accounting is to provide information to the management.

True

False

Solution / Rationale: True. Financial accounting generates general-purpose financial statements for external stakeholders (investors, creditors) and general users, whereas managerial accounting produces confidential internal reports tailored for executive decision-making.

Item 7 [u1-q7] | Question 7 - Unit 1 Canvas Quiz - 1 pt

Accounting Information System deals with helping clients to improve their information system and business performance.

- True
False

Solution / Rationale: False. Helping external clients improve systems and performance is the function of Management Advisory Services (MAS) / Consulting. Accounting Information Systems (AIS) is the internal structure used to collect, store, manage, and process accounting data.

Item 8 [u1-q8] | Question 8 - Unit 1 Canvas Quiz - 1 pt

Which of the following best describes accounting?

- A) An information system that provides reports to stakeholders. [CORRECT ANSWER]**
B) Records economic data but does not communicate the data to users according to any specific rules.
C) Of no use by individuals outside of the business.
D) Used only for filling out tax returns and for financial statements for various type of governmental reporting requirements.

Solution / Rationale: Accounting is an information system that identifies, measures, records, and communicates economic information about an organization to interested stakeholders.

Item 9 [u1-q9] | Question 9 - Unit 1 Canvas Quiz - 1 pt

Which of the following is NOT a role of accounting in business?

- A) To personally guarantee loans of the business. [CORRECT ANSWER]**
B) To provide information for managers to use in operating the business.
C) To assess the various informational needs of stakeholders and design its accounting system to meet those needs.
D) To provide information to other stakeholders to use in assessing the economic performance and condition of the business to make decisions regarding the economic condition of the company.

Solution / Rationale: Accountants do not personally guarantee corporate loans! The role of accounting is informational and analytical - providing data for management and stakeholders.

Item 10 [u1-q10] | Question 10 - Unit 1 Canvas Quiz - 1 pt

Tax accountants would be responsible for providing the following information:

- A) Compliance and planning of tax reports to government agencies. [CORRECT ANSWER]**
B) Profit reports to owners and management.
C) Expansion of a product line report to management.
D) Consumer reports to customers.

Solution / Rationale: Tax accounting specializes in tax compliance (calculating liability and filing tax returns to the BIR) and tax planning (legally structuring transactions to minimize taxes).

Item 11 [u1-q11] | Question 11 - Unit 1 Canvas Quiz - 1 pt

Deals with the review of financial statements to assess their fairness and adherence to accounting principles:

- A) Auditing [CORRECT ANSWER]**
B) Cost Accounting
C) Forensic Accounting
D) Accounting Education

Solution / Rationale: Auditing (specifically external auditing) is the independent examination of financial statements by a CPA to express an opinion on whether they present fairly in accordance with PFRS/GAAP.

Item 12 [u1-q12] | Question 12 - Unit 1 Canvas Quiz - 1 pt

The rights or claims to the assets of a business may be subdivided into rights of creditors and rights of owners thus making creditors and investors the primary users of financial statements.

- True
False

Solution / Rationale: True. Total assets are claimed by creditors (Liabilities) and owners (Equity). Under IFRS Conceptual Framework Section 1.5, existing and potential investors, lenders, and other creditors are the Primary Users.

Item 13 [u1-q13] | Question 13 - Unit 1 Canvas Quiz - 1 pt

Primary users of accounting information are accountants.

- True
- False

Solution / Rationale: False. Accountants are the preparers and auditors of accounting information. The primary users are external resource providers: existing and potential investors, lenders, and creditors.

Item 14 [u1-q14] | Question 14 - Unit 1 Canvas Quiz - 1 pt

An example of a business stakeholder is the government.

- True
- False

Solution / Rationale: True. Government agencies (such as the BIR, SEC, and DOLE) are stakeholders who rely on accounting data for tax collection, statutory regulation, and economic statistics.

Item 15 [u1-q15] | Question 15 - Unit 1 Canvas Quiz - 1 pt

The following are examples of internal users of financial statements EXCEPT:

- A) Financial analysts [CORRECT ANSWER]**
- B) Managers
- C) Owners
- D) Employees

Solution / Rationale: Financial analysts are external users who analyze public financial statements on behalf of investing clients. Managers, owners (in owner-managed firms), and employees are internal stakeholders.

Item 16 [u1-q16] | Question 16 - Unit 1 Canvas Quiz - 1 pt

A regulatory agency that oversees the financial information provided by publicly listed companies in the Philippines:

- A) Securities and Exchange Commission (SEC) [CORRECT ANSWER]**
- B) Credit-rating agency
- C) Trade association
- D) Bureau of Internal Revenue (BIR)

Solution / Rationale: The Philippine Securities and Exchange Commission (SEC) regulates corporations and publicly listed companies, mandating annual AFS filings (SEC Form 17-A) and quarterly reports (SEC Form 17-Q).

Item 17 [u1-q17] | Question 17 - Unit 1 Canvas Quiz - 1 pt

Which of the following statements is TRUE?

- A) A corporation is a business that is legally separate and distinct from its owners. [CORRECT ANSWER]**
- B) Proprietorships are owned by one owner and provide only services to their customers.
- C) Senior executives cannot be criminally prosecuted for the wrong doings they commit on behalf of the companies where they work.
- D) Manufacturing and merchandising companies are similar because they purchase products from other companies to sell to their customers.

Solution / Rationale: A corporation is an artificial being created by operation of law, possessing a legal personality separate and distinct from its shareholders (Revised Corporation Code RA 11232).

Item 18 [u1-q18] | Question 18 - Unit 1 Canvas Quiz - 1 pt

Most businesses in the economy are organized as:

- A) sole proprietorships. [CORRECT ANSWER]**
- B) partnerships.
- C) corporations.
- D) separate entities.

Solution / Rationale: Sole proprietorships are numerically the most common form of business organization due to low startup costs and ease of formation.

Item 19 [u1-q19] | Question 19 - Unit 1 Canvas Quiz - 1 pt

Which of the items below is NOT a recognized legal business organization form?

A) entrepreneurship [CORRECT ANSWER]

- B) proprietorship
- C) partnership
- D) corporation

Solution / Rationale: Entrepreneurship is a process, economic activity, or academic mindset - it is not a recognized legal form of business organization under Philippine law.

Item 20 [u1-q20] | Question 20 - Unit 1 Canvas Quiz - 1 pt

The following are components of the definition of a partnership, EXCEPT:

A) The partners may also legally agree that the richest partner be excluded from profit sharing as long as that partner agrees to such arrangement. [CORRECT ANSWER]

- B) There should at least be two persons.
- C) The partners can contribute money, property, or industry to a common fund.
- D) Two or more persons may also form a partnership for the exercise of a profession.

Solution / Rationale: Under Article 1799 of the Civil Code of the Philippines, any stipulation excluding one or more partners from any share in profits or losses is strictly VOID (pactum leoninum).

Item 21 [u1-q21] | Question 21 - Unit 1 Canvas Quiz - 1 pt

Which of the following is FALSE about a manufacturing business?

A) Only large business can be considered a manufacturing business. [CORRECT ANSWER]

- B) They change inputs to products which are sold to their customers.
- C) Their primary goal is to maximize profits.
- D) All are true.

Solution / Rationale: Manufacturing businesses can be micro, small, or large (e.g., a neighborhood panaderia, craft brewery, or furniture carpenter converts raw materials into finished goods and is a manufacturer).

CANVAS U2 ASSESSMENT BATTERY

Item 22 [u2-q1] | Question 1 - Unit 2 Canvas Quiz - 1 pt

The two fundamental qualitative characteristics that make accounting information useful for decision-making by interested users are predictive value and confirmatory value.

- True
- False

Solution / Rationale: False. The two fundamental qualitative characteristics are Relevance and Faithful Representation. Predictive value and confirmatory value are ingredients of Relevance.

Item 23 [u2-q2] | Question 2 - Unit 2 Canvas Quiz - 1 pt

In order for accounting information to be relevant in making a difference in decision-making, it must have predictive value, confirmatory value, or both, and also must be free from error to be relevant.

- True
- False

Solution / Rationale: False. Free from error is an ingredient of Faithful Representation, not Relevance. Relevance requires predictive value, confirmatory value, and materiality.

Item 24 [u2-q3] | Question 3 - Unit 2 Canvas Quiz - 1 pt

A fundamental qualitative characteristic that ensures that accounting information is presented without bias in the selection or presentation of financial information:

A) Neutrality [CORRECT ANSWER]

- B) Predictive value
- C) Completeness
- D) Free from error

Solution / Rationale: Neutrality (supported by prudence) requires that financial statements are prepared without bias in selection or presentation to avoid slanting user perceptions.

Item 25 [u2-q4] | Question 4 - Unit 2 Canvas Quiz - 1 pt

When there is an agreement between a measure or description and the phenomenon it purports to represent, relevant information possesses which quality?

A) Faithful representation [CORRECT ANSWER]

- B) Confirmatory value
- C) Free from error
- D) Completeness

Solution / Rationale: Faithful representation means financial reports correspond to and accurately reflect the true economic substance of underlying transactions.

Item 26 [u2-q5] | Question 5 - Unit 2 Canvas Quiz - 1 pt

The following are attributes that enhance the relevance and faithful representation of financial information, EXCEPT:

A) Materiality [CORRECT ANSWER]

- B) Timeliness
- C) Understandability
- D) Comparability

Solution / Rationale: Materiality is an entity-specific aspect of Relevance (a fundamental quality). The four Enhancing Qualities are Comparability, Verifiability, Timeliness, and Understandability.

Item 27 [u2-q6] | Question 6 - Unit 2 Canvas Quiz - 1 pt

Generally accepted accounting principles are:

A) standards that indicate how to report economic events. [CORRECT ANSWER]

- B) income tax regulations of the Bureau of Internal Revenue.
- C) theories that are based on physical laws of the universe.
- D) principles that have been proven correct by academic researchers.

Solution / Rationale: GAAP (and PFRS/IFRS) are professional standards and conventions establishing how economic events must be measured, recognized, presented, and disclosed.

Item 28 [u2-q7] | Question 7 - Unit 2 Canvas Quiz - 1 pt

An organization for accounting purposes, stands apart from other organizations and individuals as a separate accounting entity.

- True
- False

Solution / Rationale: True. Under the Business / Separate Entity assumption, the accounting records of the entity must be maintained completely separate from its owners and other firms.

Item 29 [u2-q8] | Question 8 - Unit 2 Canvas Quiz - 1 pt

The business entity concept means that:

A) the business entity is considered a separate entity apart from the owner or owners. [CORRECT ANSWER]

- B) the owner of the business entity and the business entity are treated the same from a legal and accounting viewpoint.
- C) the business entity is organized according to the rules determined by the International Accounting Standards Board.
- D) the business entity is organized according to the rules determined by the Bureau of Internal Revenue.

Solution / Rationale: The business is treated as an independent economic unit. The owner's personal living expenditures must never be commingled with company operating expenses.

Item 30 [u2-q9] | Question 9 - Unit 2 Canvas Quiz - 1 pt

The going-concern principle states an entity will remain in operation for only the next accounting period.

True

False

Solution / Rationale: False. Going concern assumes the business will operate indefinitely into the foreseeable future (not just for one period), justifying carrying assets at historical cost less depreciation.

Item 31 [u2-q10] | Question 10 - Unit 2 Canvas Quiz - 1 pt

A problem with the monetary unit assumption is that:

A) the peso has not been stable over time. [CORRECT ANSWER]

B) the peso has been stable over time.

C) the peso is a common medium of exchange.

D) it is impossible to account for international transactions.

Solution / Rationale: The monetary unit assumption assumes the currency has stable purchasing power. In reality, general economic inflation erodes the peso's value over decades.

Item 32 [u2-q11] | Question 11 - Unit 2 Canvas Quiz - 1 pt

Which of the following statements is TRUE regarding the monetary unit assumption?

A) The value of a peso changes over time but it is assumed to be stable once recorded in the Accounting records. [CORRECT ANSWER]

B) Filipino accountants record transactions in any Asian currency.

C) The stable-monetary-unit concept requires adjustments to the accounting records for the effects of inflation.

D) The monetary unit assumption requires that all peso amounts be rounded to the nearest peso.

Solution / Rationale: Standard historical cost accounting assumes the purchasing power of the currency remains stable over time for ordinary reporting, ignoring everyday price fluctuations.

Item 33 [u2-q12] | Question 12 - Unit 2 Canvas Quiz - 1 pt

The Time Period Assumption requires that all business transactions must occur within the same accounting period.

True

False

Solution / Rationale: False. Transactions occur continuously throughout the life of the enterprise. The Time Period assumption artificially subdivides that continuous operating life into equal calendar intervals (months, quarters, years).

Item 34 [u2-q13] | Question 13 - Unit 2 Canvas Quiz - 1 pt

The Time Period Assumption is most essential for which financial statement?

A) Statement of Profit or Loss [CORRECT ANSWER]

B) Statement of Financial Position

C) Statement of Cash Flows

D) Statement of Owner's Equity

Solution / Rationale: The Statement of Profit or Loss measures operating performance and profitability over a defined artificial time interval (e.g., 'For the Year Ended December 31, 2026').

Item 35 [u2-q14] | Question 14 - Unit 2 Canvas Quiz - 1 pt

Under the Accrual Assumption, revenue is recognized before cash is received, as long as it is earned; while expense is recognized before cash is paid, as long as it is incurred.

True

False

Solution / Rationale: True. Accrual basis dictates that economic events are recognized when they occur (earned or incurred), regardless of the timing of cash receipts or disbursements.

Item 36 [u2-q15] | Question 15 - Unit 2 Canvas Quiz - 1 pt

The Accrual Assumption in accounting dictates that:

- A) Revenues and expenses should be recognized when cash is received or paid.
- B) Revenues and expenses should be recognized when they are earned or incurred. [CORRECT ANSWER]**
- C) All financial transactions should be reported immediately.
- D) Revenues should be recognized before expenses.

Solution / Rationale: Revenues are recorded when earned (performance obligation satisfied) and expenses when incurred (consumed), matching economic activity to the appropriate period.

Item 37 [u2-q16] | Question 16 - Unit 2 Canvas Quiz - 1 pt

The historical cost principle requires that when assets are acquired, they be recorded at:

- A) exchange price paid. [CORRECT ANSWER]**
- B) appraisal value.
- C) selling price.
- D) list price.

Solution / Rationale: Historical cost is the cash or cash equivalent exchange price paid to acquire an asset in an arm's-length transaction, providing verifiable and objective evidence.

Item 38 [u2-q17] | Question 17 - Unit 2 Canvas Quiz - 1 pt

The relevant measure of value of the assets of a company that is going out of business is their:

- A) current market value or liquidation value. [CORRECT ANSWER]**
- B) book value.
- C) historical cost.
- D) higher of historical cost or current market value.

Solution / Rationale: When the going concern assumption no longer holds (company facing bankruptcy or liquidation), assets must be written down to their net realizable / fire-sale liquidation value.

Item 39 [u2-q18] | Question 18 - Unit 2 Canvas Quiz - 1 pt

Services or goods delivered in 2023 but collected in 2024 should be recognized as income in 2023.

- True
- False

Solution / Rationale: True. Under the revenue recognition principle and accrual basis, revenue is recognized when the performance obligation is completed (goods delivered/services rendered in 2023).

Item 40 [u2-q19] | Question 19 - Unit 2 Canvas Quiz - 1 pt

A referral fee was given to a doctor for bringing his patients for laboratory exams at A1 Laboratory. Referral Expenses and Laboratory Expenses are recorded by A1 Laboratory against the service fees earned for the period. The method of recording expenses and revenue supports the principle of:

- A) Matching. [CORRECT ANSWER]**
- B) Accrual.
- C) Cost.
- D) Materiality.

Solution / Rationale: The Matching Principle (Cause and Effect mode) requires that costs directly incurred to generate specific revenues (such as referral fees paid to doctors) be recognized in the same period as the revenue.

Item 41 [u2-q20] | Question 20 - Unit 2 Canvas Quiz - 1 pt

What is the primary objective of full disclosure in financial reporting?

- A) To provide a complete and transparent picture of a company's financial position and financial performance. [CORRECT ANSWER]**
- B) To highlight only positive information.
- C) To manipulate financial statements for better market perception.
- D) To minimize the amount of information disclosed to competitors.

Solution / Rationale: Full disclosure ensures all material financial facts and contingencies are clearly communicated in the financial statements and accompanying notes so users are not misled.

Item 42 [u2-q21] | Question 21 - Unit 2 Canvas Quiz - 1 pt**A deviation from generally accepted accounting principles is:**

- A) permissible if the amount involved is immaterial. [CORRECT ANSWER]**
- B) permissible if the amount involved is material.
- C) permissible only if it is required in order to conform to the monetary unit assumption.
- D) never allowed.

Solution / Rationale: Under the Materiality Constraint, companies may depart from strict GAAP for items so trivial that their omission or misstatement would not influence user decisions (e.g. immediately expensing a Php 300 stapler).

Item 43 [u2-q22] | Question 22 - Unit 2 Canvas Quiz - 1 pt**The cost-benefit constraint goes hand in hand with which principle?**

- A) Materiality [CORRECT ANSWER]**
- B) Revenue recognition
- C) Historical cost basis
- D) Full disclosure

Solution / Rationale: The cost-benefit constraint and materiality are closely coupled: the cost of gathering, tracking, and depreciating immaterial items far outweighs any analytical benefit to financial users.

Item 44 [u2-q23] | Question 23 - Unit 2 Canvas Quiz - 1 pt**The cost-benefit test constraint refers to the benefit of complying with an accounting principle should not outweigh the cost of compliance.**

- True
- False

Solution / Rationale: False. Phrasing trap! The cost-benefit constraint requires that the benefits derived from providing financial information should exceed (outweigh) the costs incurred to provide it.

Item 45 [u2-q24] | Question 24 - Unit 2 Canvas Quiz - 1 pt**With Conservatism, if an accountant has more than one Generally Accepted Accounting Principles options to choose from when facing an accounting challenge, the one that yields inferior numbers should be selected.**

- True
- False

Solution / Rationale: True. Conservatism (prudence) directs the accountant, when facing equally valid estimates, to choose the alternative that is least likely to overstate assets and income, resulting in the more conservative ('inferior') numerical valuation.

Item 46 [u2-q25] | Question 25 - Unit 2 Canvas Quiz - 1 pt**It is usually the case that industry practice becomes acceptable as GAAP in what types of industries?**

- A) Industries to which unusual regulatory requirements apply. [CORRECT ANSWER]**
- B) Industries in which there is unusually low risk.
- C) Industries where it is simple to apply GAAP.
- D) Industries to which typical tax laws apply.

Solution / Rationale: Specialized industry practices are recognized as GAAP where unique operating conditions, severe risks, or statutory regulatory frameworks exist (such as banking, public utilities, agriculture, and mining).

Item 47 [u2-q26] | Question 26 - Unit 2 Canvas Quiz - 10 pts**Application of Accounting Concepts: Match the accounting concept, principle, assumption, or constraint applicable in each of the 10 real-world business scenarios:**

Numerical computation required. Enter numerical value in Php.

CANVAS U3 ASSESSMENT BATTERY

Item 48 [u3-q1] | Question 1 - Unit 3 Canvas Quiz - 1 pt

Financial statements provide information about business activities to decision-makers.

- True
- False

Solution / Rationale: True. Financial statements are general-purpose structured summaries conveying economic resources, claims, and operating performance to assist external and internal users in making resource allocation decisions.

Item 49 [u3-q2] | Question 2 - Unit 3 Canvas Quiz - 1 pt

The Statement of Financial Position lists all the entity's assets, liabilities, and owner's equity as of a specific date.

- True
- False

Solution / Rationale: True. The Statement of Financial Position (Balance Sheet) is a snapshot of financial condition at a single moment in time (e.g., 'As of December 31, 2026').

Item 50 [u3-q3] | Question 3 - Unit 3 Canvas Quiz - 1 pt

In order to possess future service potential, an asset must have physical substance.

- True
- False

Solution / Rationale: False. Many valuable assets lack physical substance, such as Accounts Receivable, Notes Receivable, Copyrights, Patents, Franchises, and Software Licenses (Intangible Assets).

Item 51 [u3-q4] | Question 4 - Unit 3 Canvas Quiz - 1 pt

Owner's equity is often referred to as capital and represents the residual amount of business assets that can be claimed by the owner.

- True
- False

Solution / Rationale: True. Under the IFRS Conceptual Framework, Equity is defined as the residual interest in the assets of the entity after deducting all its liabilities ($\text{Assets} - \text{ext}\{\text{Liabilities}\} = \text{ext}\{\text{Owner's Equity}\}$).

Item 52 [u3-q5] | Question 5 - Unit 3 Canvas Quiz - 1 pt

The basic accounting equation is in balance when the creditor and ownership claims against the business equal the assets.

- True
- False

Solution / Rationale: True. $\text{Total Assets} = \text{Creditor Claims (Liabilities)} + \text{Ownership Claims (Owner's Equity)}$. Economic resources equal the claims against those resources.

Item 53 [u3-q6] | Question 6 - Unit 3 Canvas Quiz - 1 pt

A Statement of Profit or Loss is dated for a period of time such as 'Year Ended December 31, 2023.'

- True
- False

Solution / Rationale: True. Unlike the balance sheet which is a static point-in-time snapshot, the income statement (SPL) measures operational performance over a period of time.

Item 54 [u3-q7] | Question 7 - Unit 3 Canvas Quiz - 1 pt

The Statement of Profit or Loss must be prepared before the Statement of Owner's Equity.

- True
- False

Solution / Rationale: True. Net Income (or Net Loss) calculated on the Statement of Profit or Loss is a direct mathematical input required to determine Ending Capital on the Statement of Changes in Owner's Equity.

Item 55 [u3-q8] | Question 8 - Unit 3 Canvas Quiz - 1 pt

The Statement of Cash Flows shows how much the cash account either increased or decreased.

- True
- False

Solution / Rationale: True. The Statement of Cash Flows details all cash inflows and outflows across Operating, Investing, and Financing activities to reconcile the net change in the Cash account.

Item 56 [u3-q9] | Question 9 - Unit 3 Canvas Quiz - 1 pt

Net income for the period is determined by subtracting total expenses and drawings from total revenues.

- True
False

Solution / Rationale: False. Net Income is strictly Revenues - Expenses. Owner's Drawings are personal distributions of capital, reported on the Statement of Changes in Owner's Equity, NOT an operating expense on the SPL!

Item 57 [u3-q10] | Question 10 - Unit 3 Canvas Quiz - 1 pt

In the Statement of Owner's Equity, revenues are listed first, followed by expenses.

- True
False

Solution / Rationale: False. The Statement of Owner's Equity begins with Beginning Capital, adds Additional Investments and Net Income, and subtracts Owner's Drawings. Revenues and expenses are presented on the Statement of Profit or Loss.

Item 58 [u3-q11] | Question 11 - Unit 3 Canvas Quiz - 1 pt

The common characteristic possessed by all assets is that they possess future economic benefit or service potential.

- True
False

Solution / Rationale: True. Under the IFRS Conceptual Framework, an asset is a present economic resource controlled by the entity as a result of past events, where an economic resource is a right that has the potential to produce future economic benefits.

Item 59 [u3-q12] | Question 12 - Unit 3 Canvas Quiz - 1 pt

Current assets are presented in the Statement of Financial Position according to liquidity.

- True
False

Solution / Rationale: True. In Philippine and international practice, current assets are traditionally listed in descending order of liquidity: Cash, Short-term Receivables, Supplies, Prepaid Expenses.

Item 60 [u3-q13] | Question 13 - Unit 3 Canvas Quiz - 1 pt

Liabilities represent existing debts and present obligations to transfer economic resources.

- True
False

Solution / Rationale: True. A liability is a present legal or constructive obligation of the entity to transfer an economic resource as a result of past events.

Item 61 [u3-q14] | Question 14 - Unit 3 Canvas Quiz - 1 pt

Liabilities:

- A) are existing debts and obligations. [CORRECT ANSWER]**
B) are future economic benefits.
C) possess service potential.
D) are things of value used by the business in its operation.

Solution / Rationale: Liabilities are existing debts and obligations arising from past transactions to outside creditors.

Item 62 [u3-q15] | Question 15 - Unit 3 Canvas Quiz - 1 pt

Statement of Financial Position format that presents assets on the left side and liabilities and owner's equity on the right side:

- A) Account form [CORRECT ANSWER]**
B) Report form
C) Natural form
D) Functional form

Solution / Rationale: The Account form mirrors the classic T-account, displaying Assets on the left and Liabilities & Equity on the right. The Report form lists them in a vertical column.

Item 63 [u3-q16] | Question 16 - Unit 3 Canvas Quiz - 1 pt

A formal written promise for future collections of cash is a(n):

A) note receivable. [CORRECT ANSWER]

- B) account receivable.
- C) prepaid asset.
- D) owner withdrawal.

Solution / Rationale: A Note Receivable is a formal written promissory note stating a promise to pay a definite sum of money with interest on a specified maturity date.

Item 64 [u3-q17] | Question 17 - Unit 3 Canvas Quiz - 1 pt

The amount owed by an entity when it makes a purchase on account is termed a(n):

A) accounts payable. [CORRECT ANSWER]

- B) accounts receivable.
- C) note receivable.
- D) note payable.

Solution / Rationale: Accounts Payable represents short-term obligations owed to trade suppliers for goods or services purchased on open credit (on account).

Item 65 [u3-q18] | Question 18 - Unit 3 Canvas Quiz - 1 pt

A liability evidenced with a collateral of an asset:

A) Mortgage Payable [CORRECT ANSWER]

- B) Accounts Payable
- C) Loans Payable
- D) Notes Payable

Solution / Rationale: A Mortgage Payable is a long-term debt backed by a specific pledge of tangible real estate or building assets as collateral security.

Item 66 [u3-q19] | Question 19 - Unit 3 Canvas Quiz - 1 pt

Owner's equity can be described as:

A) ownership claim on total assets. [CORRECT ANSWER]

- B) creditorship claim on total assets.
- C) benefactor's claim on total assets.
- D) debtor claim on total assets.

Solution / Rationale: Owner's equity represents the residual ownership claim against total business assets after all third-party creditor obligations are satisfied.

Item 67 [u3-q20] | Question 20 - Unit 3 Canvas Quiz - 1 pt

The basic accounting equation may be expressed as follows EXCEPT:

A) Assets = Liabilities - Owner's Equity [CORRECT ANSWER]

- B) Assets = Equities
- C) Assets - Liabilities = Owner's Equity
- D) Assets = Liabilities + Owner's Equity

Solution / Rationale: Assets equal Liabilities PLUS Owner's Equity. Stating Assets = Liabilities - Owner's Equity is mathematically incorrect!

Item 68 [u3-q21] | Question 21 - Unit 3 Canvas Quiz - 1 pt

Revenues would NOT result from:

A) initial investment of cash by owner. [CORRECT ANSWER]

- B) sale of merchandise.
- C) performance of services.
- D) rental of property.

Solution / Rationale: Owner investments increase Cash and Owner's Capital directly. Revenues arise solely from primary operating activities (services rendered, merchandise sold, rent earned).

Item 69 [u3-q22] | Question 22 - Unit 3 Canvas Quiz - 1 pt

Expenses are recorded when:

- A) incurred even if not yet paid. [CORRECT ANSWER]**
- B) incurred and must be paid.
- C) paid.
- D) earned even if not yet paid.

Solution / Rationale: Under accrual accounting, expenses are recognized in the period when assets are consumed or services utilized (incurred), regardless of when cash is disbursed.

Item 70 [u3-q23] | Question 23 - Unit 3 Canvas Quiz - 1 pt

Capital is:

- A) an owner's permanent investment in the business. [CORRECT ANSWER]**
- B) equal to liabilities minus owner's equity.
- C) equal to assets minus owner's equity.
- D) equal to liabilities plus drawings.

Solution / Rationale: In sole proprietorship accounting, Capital represents the owner's permanent equity stake and accumulated retained wealth in the enterprise.

Item 71 [u3-q24] | Question 24 - Unit 3 Canvas Quiz - 1 pt

When an owner takes cash or other assets from a business for personal use, these withdrawals are termed:

- A) drawings. [CORRECT ANSWER]**
- B) depletions.
- C) expenses.
- D) consumptions.

Solution / Rationale: Personal distributions of business assets to proprietors are recorded in Owner's Drawings (or Capital Distributions), directly reducing equity.

Item 72 [u3-q25] | Question 25 - Unit 3 Canvas Quiz - 1 pt

The financial statement that presents a summary of the assets, liabilities, and owner's equity as of a specific date:

- A) Statement of Financial Position [CORRECT ANSWER]**
- B) Statement of Assets
- C) Statement of Owner's Equity
- D) Statement of Cash Flows

Solution / Rationale: The Statement of Financial Position (Balance Sheet) provides the formal snapshot of assets, liabilities, and equity at a specific point in time.

Item 73 [u3-q26] | Question 26 - Unit 3 Canvas Quiz - 1 pt

The Statement of Profit or Loss presents a summary of the:

- A) cash inflows and outflows of an entity.
- B) revenues and expenses of an entity. [CORRECT ANSWER]**
- C) assets and liabilities of an entity.
- D) changes that occurred in the owner's equity of an entity.

Solution / Rationale: The Statement of Profit or Loss (Income Statement) summarizes all revenues earned and expenses incurred over the accounting period to determine net income or net loss.

Item 74 [u3-q27] | Question 27 - Unit 3 Canvas Quiz - 1 pt

Which of the following financial statements reports owner's equity as of the end of the accounting period?

- A) Statement of Owner's Equity and the Statement of Financial Position [CORRECT ANSWER]**
- B) Statement of Profit or Loss and the Statement of Financial Position
- C) Statement of Cash Flows and the Statement of Financial Position
- D) Statement of Cash Flows and the Statement of Profit or Loss

Solution / Rationale: Ending Owner's Equity is calculated on the Statement of Owner's Equity and subsequently carried over to balance the Statement of Financial Position.

Item 75 [u3-q28] | Question 28 - Unit 3 Canvas Quiz - 1 pt

Assets and liabilities are reported on the:

- A) Statement of Financial Position. [CORRECT ANSWER]**
- B) Statement of Profit or Loss.
- C) Statement of Profit or Loss and Statement of Financial Position.
- D) Statement of Owner's Equity.

Solution / Rationale: Economic resources (Assets) and claims of creditors (Liabilities) are reported strictly on the Statement of Financial Position.

Item 76 [u3-q29] | Question 29 - Unit 3 Canvas Quiz - 1 pt

Cash investments by the owner are reported on the:

- A) Statement of Cash Flows. [CORRECT ANSWER]**
- B) Statement of Financial Position.
- C) Statement of Profit or Loss.
- D) Statement of Profit or Loss and the Statement of Financial Position.

Solution / Rationale: Cash investments by the proprietor are reported as Financing Activities on the Statement of Cash Flows (and also on the Statement of Owner's Equity).

Item 77 [u3-q30] | Question 30 - Unit 3 Canvas Quiz - 1 pt

All are TRUE about the Notes to Financial Statements EXCEPT:

- A) disclose all information including those that can give competitive advantage to competitors. [CORRECT ANSWER]**
- B) disclose the information required by IFRSs that is not presented elsewhere in the financial statements.
- C) present information about the basis of preparation of the financial statements and the specific accounting policies used.
- D) provide information that is not presented elsewhere in the financial statements but is relevant to an understanding of any of them.

Solution / Rationale: Financial reporting standards do NOT require companies to surrender trade secrets or competitive advantages to rivals! Notes disclose accounting policies, contingencies, and disaggregated schedules.

Item 78 [u3-q31] | Question 31 - Unit 3 Canvas Quiz - 2 pts

If owner's equity is Php 135,000 and total liabilities are Php 90,000, then total assets would be:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Total Assets = Total Liabilities + Owner's Equity = Php 90,000 + Php 135,000 = Php 225,000.

Item 79 [u3-q32] | Question 32 - Unit 3 Canvas Quiz - 2 pts

Owner's equity and total assets were Php 32,000 and Php 79,000 at the beginning of the period. Assets increased 50% and liabilities decreased 60% during the period. The owner's equity at the end of the period is:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Liabilities_{beg} = Php 79,000 - Php 32,000 = Php 47,000.
2. Assets_{end} = Php 79,000 x 1.50 = Php 118,500.
3. Liabilities_{end} = Php 47,000 x (1 - 0.60) = Php 18,800.
4. Owner's Equity_{end} = Php 118,500 - Php 18,800 = Php 99,700.

Item 80 [u3-q33] | Question 33 - Unit 3 Canvas Quiz - 2 pts

If total liabilities decrease by Php 22,000 and owner's equity increases by Php 8,000 during the period, then assets must have decreased by:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Delta Assets = Delta Liabilities + Delta Owner's Equity = -Php 22,000 + Php 8,000 = -Php 14,000. Assets decreased by Php 14,000.

Item 81 [u3-q34] | Question 34 - Unit 3 Canvas Quiz - 2 pts

On December 31, the assets of a business include Cash Php 3,500, Accounts Receivable Php 14,000, and Supplies Php 1,050. The liabilities on December 31 total Php 7,600. The owner's equity on December 31 is:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Total Assets = Php 3,500 + Php 14,000 + Php 1,050 = Php 18,550.
2. Owner's Equity = Assets - Liabilities = Php 18,550 - Php 7,600 = Php 10,950.

Item 82 [u3-q35] | Question 35 - Unit 3 Canvas Quiz - 2 pts

Beginning owner's equity is Php 20,000, cash withdrawals by the owner amount to Php 7,000, and ending owner's equity is Php 37,000. Net income for the period is:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Ending Equity = Beginning Equity + Net Income - Withdrawals

Php 37,000 = Php 20,000 + Net Income - Php 7,000

Php 37,000 = Php 13,000 + Net Income $\Rightarrow$ Net Income = Php 24,000.

Item 83 [u3-q36] | Question 36 - Unit 3 Canvas Quiz - 2 pts

Net income is Php 34,000, beginning owner's equity is Php 29,000, and ending owner's equity is Php 45,000. Owner's withdrawals for the period is:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Ending Equity = Beginning Equity + Net Income - Withdrawals

Php 45,000 = Php 29,000 + Php 34,000 - Withdrawals

Php 45,000 = Php 63,000 - Withdrawals $\Rightarrow$ Withdrawals = Php 18,000.

Item 84 [u3-q37] | Question 37 - Unit 3 Canvas Quiz - 2 pts

Total assets at the end of the period were Php 325,000 and liabilities were 40% of owner's equity. Owner's equity at the end of the period is: (Encode rounded to nearest whole number)

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Assets = Liabilities + Owner's Equity

Liabilities = 0.40 x Owner's Equity

Php 325,000 = 0.40OE + 1.00OE = 1.40OE

OE = Php 325,000 / 1.40 = Php 232,143 (exact: Php 232,142.86).

Item 85 [u3-q38] | Question 38 - Unit 3 Canvas Quiz - 2 pts

A company has Net income = Php 55,000, Ending equity = Php 85,000, Beginning equity = Php 49,000, Withdrawals = Php 12,600, and Revenue = Php 96,000. Total expenses for the current period amounted to:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Net Income = Revenues - Expenses

Php 55,000 = Php 96,000 - Expenses $\Rightarrow$ Expenses = Php 96,000 - Php 55,000 = Php 41,000.

Item 86 [u3-q39] | Question 39 - Unit 3 Canvas Quiz - 2 pts

A company has the following account balances: Accounts receivable Php 9,000, Accounts payable Php 4,200, Service revenue Php 25,550, Furniture Php 4,000, Rent expense Php 4,500, Note payable Php 3,800, Supplies Php 900, Beginning capital Php 30,000, Salary expense Php 9,650, and Cash Php 18,500. Total Current Assets amounted to:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Current Assets include only assets convertible to cash within 12 months:

Cash (Php 18,500) + Accounts Receivable (Php 9,000) + Supplies (Php 900) = Php 28,400.

(Note: Furniture is a Non-Current PPE asset; AP and Note Payable are Liabilities; Revenues/Expenses belong on the SPL).

Item 87 [u3-q40] | Question 40 - Unit 3 Canvas Quiz - 2 pts

A company purchased farmland 8 years ago for Php 670,000. It was recently appraised for Php 1,370,000. The owner received a purchase offer for Php 1,220,000, and a similar parcel 2 blocks away sold for Php 1,300,000. The land should be reported in its Statement of Financial Position at:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Under the Historical Cost Principle, land must remain reported at its actual acquisition cash exchange price of Php 670,000. Appraisals and unsolicited offers are subjective and cannot replace verifiable transaction cost.

Item 88 [u3-q41] | Question 41 - Unit 3 Canvas Quiz - 2 pts

For Aim High Services: Rental paid Sept 2022 in advance for 3 months (Oct-Dec 2022). Rent consumed during Dec 2022 is Php 7,200. Rental paid Dec 2022 in advance for Jan-Mar 2023 for Php 22,500. Supplies purchased Dec 1, 2022 for Php 650; supplies on hand Dec 31, 2022 was Php 100. Paid the Nov electricity bill on Dec 10, 2022 for Php 5,000. Total expense pertaining to December 2022 is:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Accrual expense analysis for December 2022:

1. Rent consumed in Dec: Php 7,200.
 2. Supplies consumed in Dec: $\text{Php } 650 - \text{Php } 100 = \text{Php } 550$.
 3. Advance rent paid for 2023 (Php 22,500) is a Prepaid Asset, not a Dec expense.
 4. Nov electricity paid Dec 10 (Php 5,000) is the settlement of a Nov accrued liability, not a Dec expense.
- Total Dec 2022 Expense = $\text{Php } 7,200 + \text{Php } 550 = \text{Php } 7,750$.

Item 89 [u3-q42] | Question 42 - Unit 3 Canvas Quiz - 2 pts

[Aim High Services Case] Account balances on Dec 31, 2023: AR Php 15,000; AP Php 5,700; Salary exp Php 4,500; Repairs exp Php 800; Equipment Php 14,800; Notes payable Php 8,200; Cash Php 6,800; Supplies exp Php 1,600; Service income Php 12,800; Gasoline exp Php 800. Owner invested Php 22,600 at beg of year and withdrew Php 5,000. The Net Income or Loss for 2023 was:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Service Income: Php 12,800.

Operating Expenses: Salary (Php 4,500) + Repairs (Php 800) + Supplies exp (Php 1,600) + Gasoline (Php 800) = Php 7,700.

Net Income = $\text{Php } 12,800 - \text{Php } 7,700 = \text{Php } 5,100$.

Item 90 [u3-q43] | Question 43 - Unit 3 Canvas Quiz - 2 pts

[Aim High Services Case] Total Assets at year-end December 31, 2023 amounted to:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Total Assets = Cash (Php 6,800) + Accounts Receivable (Php 15,000) + Equipment (Php 14,800) = Php 36,600.

Item 91 [u3-q44] | Question 44 - Unit 3 Canvas Quiz - 2 pts

[Aim High Services Case] Owner's Equity at year-end December 31, 2023 amounted to:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Ending Equity = Beginning Capital (Php 22,600) + Net Income (Php 5,100) - Drawings (Php 5,000) = Php 22,700.

Item 92 [u3-q45] | Question 45 - Unit 3 Canvas Quiz - 2 pts

[Aim High Services Case] Total Liabilities at year-end December 31, 2023 amounted to:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Total Liabilities = Accounts Payable (Php 5,700) + Notes Payable (Php 8,200) = Php 13,900.

(Check: Assets Php 36,600 = Liabilities Php 13,900 + Equity Php 22,700. Perfectly balances!)

HOMEWORK ASSESSMENT BATTERY

Item 93 [hw1-q1] | Homework #1 - Drill 1 - 1 pt

Under the official AICPA definition, what are the four fundamental phases of accounting in proper chronological order?

- A) Recording, Summarizing, Classifying, Interpreting
- B) Recording, Classifying, Summarizing, Interpreting [CORRECT ANSWER]**
- C) Identifying, Measuring, Classifying, Recording
- D) Journalizing, Posting, Adjusting, Closing

Solution / Rationale: The 1953 AICPA definition identifies the four phases in exact order: Recording (in journals), Classifying (into ledgers), Summarizing (in financial statements), and Interpreting (through ratio/trend analysis).

Item 94 [hw1-q2] | Homework #1 - Drill 2 - 1 pt

Under Chapter 1, Section 1.5 of the IFRS Conceptual Framework, which of the following are categorized as Primary Users of general-purpose financial reports?

- A) Management, Employees, and Labor Unions
- B) Bureau of Internal Revenue (BIR) and Local Government Units
- C) Existing and potential investors, lenders, and other creditors [CORRECT ANSWER]**
- D) Financial analysts, credit rating agencies, and trade associations

Solution / Rationale: Primary users under Conceptual Framework 1.5 are existing and potential equity investors, commercial lenders, and other trade creditors who must rely on general-purpose reports.

Item 95 [hw1-q3] | Homework #1 - Drill 3 - 1 pt

According to Article 1767 of the Civil Code of the Philippines, what elements can partners contribute to a common fund?

- A) Money or Property only
- B) Industry (Labor/Skill) only
- C) Money, Property, or Industry [CORRECT ANSWER]**
- D) Tangible corporate assets only

Solution / Rationale: Article 1767 states two or more persons bind themselves to contribute money, property, or industry (personal service/skill) to a common fund.

Item 96 [hw1-q4] | Homework #1 - Drill 4 - 1 pt

Which of the following is NOT permitted to organize as a standard commercial Corporation under Philippine law because practicing professionals cannot shield themselves from personal malpractice liability?

- A) Manufacturing entities
- B) Regulated professions (e.g., CPAs, Doctors, Lawyers, Architects) [CORRECT ANSWER]**
- C) Merchandising retailers
- D) Information technology service enterprises

Solution / Rationale: In the Philippines, members of regulated professions (CPAs, physicians, lawyers) are prohibited by professional practice acts from incorporating to evade individual professional malpractice liability.

Item 97 [hw1-q5] | Homework #1 - Drill 5 - 1 pt

Which qualitative characteristic is violated when an entity includes vague footnotes, improper aggregation of dissimilar items, and buries significant contingent liabilities in boilerplates?

- A) Relevance (Materiality obscured) [CORRECT ANSWER]**
- B) Verifiability
- C) Timeliness
- D) Monetary Unit

Solution / Rationale: Obscuring information (burying details, confusing legalese, inappropriate aggregation) compromises Relevance and Materiality under IFRS Conceptual Framework 2.11.

Item 98 [hw1-q6] | Homework #1 - Drill 6 - 1 pt

The qualitative characteristic that assures users that different knowledgeable and independent observers could reach consensus that a depiction is faithfully represented is:

- A) Comparability
- B) Verifiability [CORRECT ANSWER]**
- C) Understandability
- D) Neutrality

Solution / Rationale: Verifiability helps assure users that information faithfully represents the economic phenomena it purports to represent through independent observer consensus.

Item 99 [hw1-q7] | Homework #1 - Drill 7 - 1 pt

A small office paper shredder costing Php 1,200 with an expected useful life of 5 years is charged immediately to supplies expense rather than capitalized and depreciated. This accounting treatment is justified by:

- A) Historical Cost principle
- B) Time Period assumption
- C) Materiality and Cost-Benefit constraint [CORRECT ANSWER]**
- D) Going Concern assumption

Solution / Rationale: Tracking and depreciating a Php 1,200 asset over 5 years creates administrative costs far exceeding any informational benefit to decision-makers (Materiality & Cost-Benefit).

Item 100 [hw1-q8] | Homework #1 - Drill 8 - 1 pt

Under the Accrual Basis of accounting:

- A) Revenue is recognized only when cash is received into the bank account.
- B) Expenses are recognized only when checks are released to suppliers.
- C) Revenue is recognized when earned, and expenses are recognized when incurred, regardless of cash flow timing. [CORRECT ANSWER]**
- D) Revenue and expenses are recorded only at the end of the fiscal calendar year.

Solution / Rationale: Accrual accounting recognizes transactions and events when they occur (earned or incurred), irrespective of whether physical cash has been received or paid.

Item 101 [hw1-p1] | Homework #1 - Problem 1 - 3 pts

[Archon Creative Studio Problem] On Jan 1, 2026, Archon had Total Assets of Php 850,000 and Total Liabilities of Php 320,000. During the year, Total Assets increased by Php 190,000 and Total Liabilities decreased by Php 45,000. Compute the ending balance of Owner's Equity as of December 31, 2026:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. $\text{Assets}_{\text{end}} = \text{Php } 850,000 + \text{Php } 190,000 = \text{Php } 1,040,000$.

2. $\text{Liabilities}_{\text{end}} = \text{Php } 320,000 - \text{Php } 45,000 = \text{Php } 275,000$.

3. $\text{Equity}_{\text{end}} = \text{Php } 1,040,000 - \text{Php } 275,000 = \text{Php } 765,000$.

(Verification: $\text{Equity}_{\text{beg}} = \text{Php } 530,000$; $\Delta \text{Equity} = +\text{Php } 190,000 - (-\text{Php } 45,000) = +\text{Php } 235,000 \Rightarrow \text{Php } 530,000 + \text{Php } 235,000 = \text{Php } 765,000$)

Item 102 [hw1-p2] | Homework #1 - Problem 2 - 3 pts

[Veritas Logistics Problem] Established Oct 1, 2026 with cash capital Php 300,000. During October: Rendered services for cash Php 140,000; Billed clients on account Php 85,000; Paid fuel & driver wages Php 62,000; Incurred unpaid office rent Php 18,000; Owner drew cash Php 20,000. Compute Ending Capital as of October 31, 2026:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. $\text{Revenues} = \text{Php } 140,000 \text{ (cash)} + \text{Php } 85,000 \text{ (credit)} = \text{Php } 225,000$.

2. $\text{Expenses} = \text{Php } 62,000 \text{ (paid)} + \text{Php } 18,000 \text{ (accrued)} = \text{Php } 80,000$.

3. $\text{Net Income} = \text{Php } 225,000 - \text{Php } 80,000 = \text{Php } 145,000$.

4. $\text{Ending Capital} = \text{Php } 300,000 \text{ (beg)} + \text{Php } 145,000 \text{ (NI)} - \text{Php } 20,000 \text{ (draw)} = \text{Php } 425,000$.

FORENSIC ASSESSMENT BATTERY

Item 103 [ff-1] | Forensic Diagnostic Lab - Case 1 - 2 pts

In 2020, German fintech giant Wirecard collapsed after auditors discovered that €1.9 Billion in cash purportedly held in Philippine trustee escrow accounts at BPI and BDO did not exist. Which fundamental accounting characteristic was directly violated by management?

- A) Faithful Representation (Completeness, Neutrality, and Free from Error) [CORRECT ANSWER]**
- B) Time Period Assumption
- C) Going Concern Assumption
- D) Monetary Unit Assumption

Solution / Rationale: Wirecard fabricated bank confirmations and escrow agreements, violating Faithful Representation and Objectivity. The balance sheet depicted economic resources that did not exist in economic reality.

Item 104 [ff-2] | Forensic Diagnostic Lab - Case 2 - 2 pts

In 2002, WorldCom orchestrated an USD 11 Billion accounting fraud by reclassifying billions of routine 'line costs' (operating fees paid to telecom network providers) into capital asset accounts. Which core principle and expense recognition mode was violated?

A) The Matching Principle (Immediate Expense Recognition Mode) [CORRECT ANSWER]

- B) The Historical Cost Principle
- C) The Business Entity Assumption
- D) The Monetary Unit Assumption

Solution / Rationale: Routine network access fees provide no multi-year future benefit and must be recognized immediately as operating expenses under the Matching Principle (Immediate Recognition Mode). Capitalizing them artificially inflated assets and net income.

Item 105 [ff-3] | Forensic Diagnostic Lab - Case 3 - 2 pts

Enron hid billions of dollars in debt and toxic liabilities inside off-balance-sheet Special Purpose Entities (SPEs) run by its own CFO. This fraudulent concealment directly violated:

A) Substance Over Form, Full Disclosure, and the Business Entity Concept [CORRECT ANSWER]

- B) The Monetary Unit Assumption only
- C) The Accrual Basis Assumption only
- D) The Time Period Assumption only

Solution / Rationale: Enron used sham legal entities to conceal corporate liabilities, violating Substance Over Form (economic reality dictates consolidating the debt), Full Disclosure, and Separate Entity principles.

Item 106 [ff-4] | Forensic Diagnostic Lab - Case 4 - 2 pts

In 2015, Toshiba revealed a USD 1.2 Billion operating profit overstatement across seven years due to executives pressuring project managers to delay recognizing expected losses on long-term infrastructure contracts. Which doctrine was violated?

A) Conservatism / Prudence Doctrine (recognizing probable losses immediately) [CORRECT ANSWER]

- B) Separate Entity Assumption
- C) Monetary Unit Assumption
- D) Historical Cost Principle

Solution / Rationale: Under Conservatism / Prudence and PFRS 15, when it is probable that total contract costs will exceed total contract revenue, the expected loss must be recognized as an expense immediately.

Item 107 [ff-5] | Forensic Diagnostic Lab - Case 5 - 2 pts

Before its 2008 collapse, Lehman Brothers used temporary short-term sale-and-repurchase transactions ('Repo 105') at quarter-ends to treat short-term borrowings as true sales of securities, slashing USD 50 Billion in liabilities. This violated:

A) Substance Over Form and Faithful Representation [CORRECT ANSWER]

- B) The Going Concern Assumption
- C) The Time Period Assumption
- D) The Historical Cost Principle

Solution / Rationale: In economic substance, Repo 105 transactions were collateralized loans, not sales. Structuring them as sales to scrub debt off the balance sheet violated Substance Over Form.

COMPANY MATRIX ASSESSMENT BATTERY

Item 108 [mat-1] | 5-Company Matrix - Case 1 - 2 pts

[Archer Logistics] Assets are Php 1,200,000 and Liabilities are Php 480,000. Compute Owner's Equity:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Owner's Equity = Assets - Liabilities = Php 1,200,000 - Php 480,000 = Php 720,000.

Item 109 [mat-2] | 5-Company Matrix - Case 2 - 2 pts

[Animo Tech] Beginning Capital = Php 450,000; Additional Investments = Php 100,000; Revenues = Php 620,000; Expenses = Php 390,000; Drawings = Php 60,000. Compute Ending Owner's Equity:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Net Income = Php 620,000 - Php 390,000 = Php 230,000.
2. Ending Equity = Php 450,000 + Php 100,000 + Php 230,000 - Php 60,000 = Php 720,000.

Item 110 [mat-3] | 5-Company Matrix - Case 3 - 2 pts

[Green & White Consulting] Ending Assets = Php 950,000; Ending Liabilities = Php 310,000; Beginning Equity = Php 500,000; Additional Investments = Php 50,000; Drawings = Php 30,000. Compute Net Income:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Ending Equity = Php 950,000 - Php 310,000 = Php 640,000.

2. Ending Equity = Beg Equity + Investments + Net Income - Drawings

Php 640,000 = Php 500,000 + Php 50,000 + Net Income - Php 30,000

Php 640,000 = Php 520,000 + Net Income $\Rightarrow$ Net Income = Php 120,000.

Item 111 [mat-4] | 5-Company Matrix - Case 4 - 2 pts

[Taft Media] Beg Assets = Php 600,000; Beg Liabilities = Php 250,000. During the year, Assets increased 40% and Liabilities decreased 20%. Compute Ending Owner's Equity:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Assetsend = Php 600,000 x 1.40 = Php 840,000.

2. Liabilitiesend = Php 250,000 x (1 - 0.20) = Php 200,000.

3. Owner's Equityend = Php 840,000 - Php 200,000 = Php 640,000.

Item 112 [mat-5] | 5-Company Matrix - Case 5 - 2 pts

[Lasallian Healthcare] Total Assets are Php 1,800,000. Total Liabilities are equal to 50% of Owner's Equity. Compute the exact Owner's Equity:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Assets = Liabilities + Owner's Equity

Php 1,800,000 = 0.50OE + 1.00OE = 1.50OE

OE = Php 1,800,000 / 1.50 = Php 1,200,000 (and Liabilities = Php 600,000).

BALANCE SHEET ASSESSMENT BATTERY

Item 113 [cbs-1] | Classified SFP Challenge - Step 1 - 2 pts

[Vanguard Services 16-Account Trial Balance] Balances: Cash Php 125,000; AR Php 85,000; Allowance for Doubtful Accounts Php 5,000 (contra); Notes Rec (90 days) Php 40,000; Office Supplies Php 15,000; Prepaid Rent (6 mos) Php 60,000; Land Php 500,000; Office Equip Php 350,000; Accum Depr Php 70,000; AP Php 65,000; Salaries Payable Php 25,000; Unearned Service Fees Php 30,000; Mortgage Payable (5 yrs) Php 400,000; Beg Capital Php 480,000; Drawings Php 50,000; Service Rev Php 320,000; Operating Exp Php 170,000. Compute Total Current Assets:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Current Assets: Cash (Php 125k) + Net AR (Php 85k - Php 5k = Php 80k) + Notes Rec (Php 40k) + Supplies (Php 15k) + Prepaid Rent (Php 60k) = Php 320,000.

Item 114 [cbs-2] | Classified SFP Challenge - Step 2 - 2 pts

[Vanguard Services] Compute Total Non-Current Assets:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Non-Current Assets: Land (Php 500,000) + Office Equipment Net (Php 350,000 - Php 70,000 Accum Depr = Php 280,000) = Php 780,000.

Item 115 [cbs-3] | Classified SFP Challenge - Step 3 - 2 pts

[Vanguard Services] Compute Total Assets:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Total Assets = Current Assets (Php 320,000) + Non-Current Assets (Php 780,000) = Php 1,100,000.

Item 116 [cbs-4] | Classified SFP Challenge - Step 4 - 2 pts

[Vanguard Services] Compute Total Current Liabilities:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Current Liabilities: Accounts Payable (Php 65,000) + Salaries Payable (Php 25,000) + Unearned Service Fees (Php 30,000) = Php 120,000.

Item 117 [cbs-5] | Classified SFP Challenge - Step 5 - 2 pts**[Vanguard Services] Compute Total Liabilities:**

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Total Liabilities = Current Liabilities (Php 120,000) + Mortgage Payable (Php 400,000) = Php 520,000.

Item 118 [cbs-6] | Classified SFP Challenge - Step 6 - 2 pts**[Vanguard Services] Compute Net Income for the period:**

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Net Income = Service Revenues (Php 320,000) - Operating Expenses (Php 170,000) = Php 150,000.

Item 119 [cbs-7] | Classified SFP Challenge - Step 7 - 2 pts**[Vanguard Services] Compute Ending Owner's Equity as of year-end:**

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Ending Equity = Beg Capital (Php 480,000) + Net Income (Php 150,000) - Drawings (Php 50,000) = Php 580,000.

(Check: Assets Php 1,100,000 = Liabilities Php 520,000 + Equity Php 580,000. Balance Sheet is in perfect balance!)

Item 120 [cbs-8] | Classified SFP Challenge - Step 8 - 2 pts**[Vanguard Services] Compute Net Working Capital (Current Assets - Current Liabilities):**

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Working Capital = Current Assets (Php 320,000) - Current Liabilities (Php 120,000) = Php 200,000.

(Current Ratio: Php 320,000 / Php 120,000 = 2.67x, demonstrating strong short-term liquidity).

CASHFLOW ASSESSMENT BATTERY

Item 121 [scf-1] | Cash Flow Categorizer - Drill 1 - 1 pt

Under the Direct Method of the Statement of Cash Flows, cash collected from clients for consulting services rendered is classified as:

- A) Operating Activity (Cash Inflow) [CORRECT ANSWER]**
- B) Investing Activity
- C) Financing Activity
- D) Non-cash Disclosure

Solution / Rationale: Cash collections from customers represent the primary revenue-generating operating engine of the enterprise (Operating Cash Flow).

Item 122 [scf-2] | Cash Flow Categorizer - Drill 2 - 1 pt

Cash paid to purchase commercial delivery vans for long-term company use is classified as:

- A) Investing Activity (Cash Outflow) [CORRECT ANSWER]**
- B) Operating Activity
- C) Financing Activity
- D) Equity Distribution

Solution / Rationale: Acquiring property, plant, and equipment (PPE) represents capital expenditures classified under Investing Activities.

Item 123 [scf-3] | Cash Flow Categorizer - Drill 3 - 1 pt

Cash withdrawn by the business owner for personal family expenses is classified on the Statement of Cash Flows as:

- A) Financing Activity (Cash Outflow) [CORRECT ANSWER]**
- B) Operating Activity
- C) Investing Activity
- D) Administrative Expense

Solution / Rationale: Distributions of capital to owners (Drawings / Dividends) represent transactions with equity providers classified under Financing Activities.

Item 124 [scf-4] | Cash Flow Categorizer - Drill 4 - 1 pt

Cash proceeds received from a 5-year bank loan facility are classified as:

- A) Financing Activity (Cash Inflow) [CORRECT ANSWER]**
- B) Operating Activity
- C) Investing Activity
- D) Unearned Revenue

Solution / Rationale: Borrowing funds from commercial debt providers alters the financial capital structure and is classified as a Financing Activity.

Item 125 [scf-5] | Cash Flow Categorizer - Drill 5 - 1 pt

Cash paid to employees for salaries and wages is classified as:

- A) Operating Activity (Cash Outflow) [CORRECT ANSWER]**
- B) Investing Activity
- C) Financing Activity
- D) Capital Expenditure

Solution / Rationale: Disbursements to operating personnel are normal daily operating cash flows (Operating Activity).

Item 126 [scf-6] | Cash Flow Categorizer - Drill 6 - 1 pt

Cash received from selling an old, fully depreciated office photocopy machine is classified as:

- A) Investing Activity (Cash Inflow) [CORRECT ANSWER]**
- B) Operating Activity
- C) Financing Activity
- D) Other Revenue

Solution / Rationale: Proceeds from disposal of productive PPE assets are classified under Investing Activities.

Item 127 [scf-7] | Cash Flow Categorizer - Drill 7 - 1 pt

Acquiring an office building by issuing a Php 15,000,000 10-year mortgage note payable without using physical cash is reported:

- A) In the Notes as a Non-Cash Investing and Financing Transaction [CORRECT ANSWER]**
- B) Under Operating Cash Inflows
- C) Under Investing Cash Outflows
- D) Under Financing Cash Inflows

Solution / Rationale: Under PAS 7 / IFRS 18, investing and financing transactions that do not require the use of cash are excluded from the cash flow statement body and disclosed in the Notes.

Item 128 [scf-8] | Cash Flow Categorizer - Drill 8 - 1 pt

Cash paid to trade suppliers to settle short-term accounts payable is classified as:

- A) Operating Activity (Cash Outflow) [CORRECT ANSWER]**
- B) Investing Activity
- C) Financing Activity
- D) Liability Distribution

Solution / Rationale: Payments to trade creditors for inventory, supplies, or operating services are routine operating cash outflows.

PAST T1 ASSESSMENT BATTERY

Item 129 [past-t1-tf1] | AY2526 T1 - True/False Q1 - 1 pt

A merchandising business earns income primarily by producing goods, while a manufacturing business earns income by buying and reselling finished products.

- True
- False

Solution / Rationale: False. A merchandising business earns income by buying and reselling finished products without changing their physical form, whereas a manufacturing business produces goods from raw materials.

Item 130 [past-t1-tf2] | AY2526 T1 - True/False Q2 - 1 pt

Accounting is also called the “language of business” because it communicates financial information about an organization’s activities to help the users in making informed business decisions.

True

False

Solution / Rationale: True. Accounting is universally recognized as the language of business because it conveys operational and financial results to stakeholders for decision-making.

Item 131 [past-t1-tf3] | AY2526 T1 - True/False Q3 - 1 pt

Creditors use accounting information to evaluate the ability of a company to repay its debts and interest.

True

False

Solution / Rationale: True. Creditors and lenders evaluate liquidity and solvency metrics from financial statements to assess debt service capacity.

Item 132 [past-t1-tf4] | AY2526 T1 - True/False Q4 - 1 pt

In the statement of financial position, assets are always equal to the sum of liabilities and income.

True

False

Solution / Rationale: False. In the statement of financial position, Assets equal Liabilities plus Owner's Equity ($\text{ext}\{\text{Assets}\} = \text{ext}\{\text{Liabilities}\} + \text{ext}\{\text{Equity}\}$). Income is an element of the Statement of Profit or Loss.

Item 133 [past-t1-tf5] | AY2526 T1 - True/False Q5 - 1 pt

Liabilities represent the present obligations of a business arising from past events, to be settled in the future.

True

False

Solution / Rationale: True. Under the IFRS Conceptual Framework, a liability is a present obligation of the entity to transfer an economic resource as a result of past events.

Item 134 [past-t1-tf6] | AY2526 T1 - True/False Q6 - 1 pt

Net profit occurs when expenses exceed revenues.

True

False

Solution / Rationale: False. A Net Loss occurs when expenses exceed revenues. Net Profit occurs when revenues exceed expenses.

Item 135 [past-t1-tf7] | AY2526 T1 - True/False Q7 - 1 pt

The fundamental qualitative characteristics are attributes that improve the usefulness of information that is already relevant and faithfully represented.

True

False

Solution / Rationale: False. Enhancing qualitative characteristics (Comparability, Verifiability, Timeliness, Understandability) improve usefulness. Fundamental characteristics (Relevance and Faithful Representation) determine whether information is useful at all.

Item 136 [past-t1-tf8] | AY2526 T1 - True/False Q8 - 1 pt

The going concern assumption presumes that a business will continue its operations indefinitely, unless there is evidence to the contrary.

True

False

Solution / Rationale: True. The going concern assumption presumes the entity has neither the intention nor the necessity of liquidation or ceasing trading in the foreseeable future.

Item 137 [past-t1-tf9] | AY2526 T1 - True/False Q9 - 1 pt

The matching principle requires that expenses be recorded in the same period as the revenues they help generate.

True

False

Solution / Rationale: True. The matching principle (cause-and-effect association) dictates that expenses incurred to generate revenue must be recognized in the identical accounting period.

Item 138 [past-t1-tf10] | AY2526 T1 - True/False Q10 - 1 pt

The practice of double-entry bookkeeping, which is the foundation of modern accounting, was first documented by Luca Pacioli.

- True
False

Solution / Rationale: True. Franciscan friar and mathematician Fra Luca Pacioli first published the formal treatise on double-entry bookkeeping in Venice in 1494 (*Summa de Arithmetica*).

Item 139 [past-t1-mc1] | AY2526 T1 - Multiple Choice Q1 - 1 pt

Which of the following best describes the scope of accounting?

- A) Accounting focuses solely on providing information to internal users such as management.
B) Accounting involves identifying, measuring, recording, classifying, summarizing and communicating financial information. [CORRECT ANSWER]
 C) Accounting is concerned only with preparing tax returns for government purposes.
 D) Accounting is limited to recording financial transactions only.

Solution / Rationale: Option B is correct. Accounting is a comprehensive service activity involving identifying, measuring, recording, classifying, summarizing, and communicating economic information.

Item 140 [past-t1-mc2] | AY2526 T1 - Multiple Choice Q2 - 1 pt

Which of the following best explains why primary users rely on accounting information?

- A) To assess the company's ability to generate cash flows and provide returns [CORRECT ANSWER]**
 B) To design the company's organizational structure
 C) To evaluate the company's compliance with labor laws
 D) To regulate the preparation of financial statements

Solution / Rationale: Option A is correct. Primary users (existing and potential investors, lenders, other creditors) need financial information to assess future net cash inflows and evaluate management stewardship.

Item 141 [past-t1-mc3] | AY2526 T1 - Multiple Choice Q3 - 1 pt

Which of the following statements best distinguishes a partnership from a corporation as a form of business organization in terms of ownership?

- A) A partnership has ownership divided into shares of stock, while a corporation does not.
 B) In a partnership, owners can be jointly liable for business debts, while in a corporation, the shareholders are liable up to their personal capacity.
C) A corporation has perpetual existence regardless of changes in ownership, while a partnership may dissolve when a partner withdraws. [CORRECT ANSWER]
 D) Both partnerships and corporations can be created by one or more persons.

Solution / Rationale: Option C is correct. A corporation possesses the right of succession and perpetual existence (RA 11232 Sec. 11), whereas a general partnership is dissolved by the withdrawal, death, or insolvency of any partner.

Item 142 [past-t1-mc4] | AY2526 T1 - Multiple Choice Q4 - 1 pt

The entity assumption in accounting means that:

- A) All personal assets of the owner must be reported in the company's financial statements.
 B) The business and its owner are considered the same for accounting purposes.
C) The business transactions are recorded separately from the personal transactions of the owner. [CORRECT ANSWER]
 D) The company will continue to operate indefinitely unless proven otherwise.

Solution / Rationale: Option C is correct. The Separate/Business Entity Concept mandates that the financial records of the business enterprise must be maintained completely distinct from the personal affairs of its owners.

Item 143 [past-t1-mc5] | AY2526 T1 - Multiple Choice Q5 - 1 pt

Which of the following best describes Equity in accounting?

- A) It is the inflow of resources earned by the business during a particular period.
B) It is the residual interest in the assets of the entity after deducting liabilities. [CORRECT ANSWER]
 C) It represents the present obligations of the entity to transfer resources to settle debts.
 D) It is the future economic benefit controlled by the entity as a result of past transactions.

Solution / Rationale: Option B is correct. Under IFRS Conceptual Framework para 4.63, Equity is defined as the residual interest in the assets of the entity after deducting all its liabilities.

Item 144 [past-t1-mc6] | AY2526 T1 - Multiple Choice Q6 - 1 pt**According to the Revenue Recognition principle, when should a company recognize revenue?**

- A) Only when cash is received from the customer, regardless of when the service is performed.
- B) When the company records an invoice in its accounting system, even if delivery has not occurred.
- C) At the end of the accounting period, regardless of transactions during the period.

D) When the service is performed or goods are delivered, regardless of when cash is received. [CORRECT ANSWER]

Solution / Rationale: Option D is correct. Under the accrual basis and PFRS 15, revenue is recognized when performance obligations are satisfied (services rendered or goods delivered), regardless of cash collection timing.

Item 145 [past-t1-mc7] | AY2526 T1 - Multiple Choice Q7 - 1 pt**The Cost-Benefit constraint in accounting means that:****A) The benefits of providing financial information should exceed the costs of preparing it. [CORRECT ANSWER]**

- B) Companies must report every transaction, regardless of its cost.
- C) All information should be kept secret to avoid expenses.
- D) Financial statements should only show cash transactions.

Solution / Rationale: Option A is correct. The Cost-Benefit constraint acknowledges that reporting financial information imposes costs, and those costs must be justified by the decision-making benefits derived by users.

Item 146 [past-t1-mc8] | AY2526 T1 - Multiple Choice Q8 - 1 pt**Which of the following statements correctly describes the difference between the Account form and the Report form of the Statement of Financial Position?****A) In the Account form, assets are listed on the left and liabilities and equity on the right; in the Report form, all items are listed vertically. [CORRECT ANSWER]**

- B) In the Report form, assets are listed on the left and liabilities and equity on the right; in the Account form, all items are listed vertically.
- C) Both forms present assets, liabilities, and equity horizontally only.
- D) Both forms present assets, liabilities, and equity vertically only.

Solution / Rationale: Option A is correct. The Account form follows a horizontal T-account format (Assets left, Liabilities + Equity right), while the Report form lists items vertically (Assets above, Liabilities and Equity below).

Item 147 [past-t1-mc9] | AY2526 T1 - Multiple Choice Q9 - 1 pt**Which of the following items would NOT appear on a company's Statement of Profit or Loss?**

- A) Service Revenue
- B) Salaries Expense
- C) Accrued Revenue [CORRECT ANSWER]**
- D) Rent Expense

Solution / Rationale: Option C is correct. Accrued Revenue is an asset (receivable) reported on the Statement of Financial Position. Service Revenue, Salaries Expense, and Rent Expense belong on the Statement of Profit or Loss.

Item 148 [past-t1-mc10] | AY2526 T1 - Multiple Choice Q10 - 1 pt**When an owner contributes additional cash or assets to the business, how is this shown in the Statement of Changes in Owner's Equity?**

- A) As a decrease under withdrawals
- B) As an increase in the Net Income amount
- C) As an increase in additional investment [CORRECT ANSWER]**
- D) Excluded in the Statement of Changes in Owner's Equity

Solution / Rationale: Option C is correct. Direct capital contributions are reported as an addition under Additional Investments on the Statement of Changes in Owner's Equity.

Item 149 [past-t1-ps1] | AY2526 T1 - Problem Solving Q1 - 2 pts

FDNACCT Company has the following balances: Cash Php 30,000; Accounts Receivable Php 20,000; Accrued Interest Expense Php 7,700; Supplies Php 40,000; Equipment Php 60,000; Prepaid Rent Expense Php 35,000; Land Php 50,000.

Calculate the Total Current Assets:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Cash (Php 30,000) + Accounts Receivable (Php 20,000) + Supplies (Php 40,000) + Prepaid Rent (Php 35,000) = Php 125,000.

(Note: Accrued Interest Exp is a liability; Equipment and Land are non-current assets).

Item 150 [past-t1-ps2] | AY2526 T1 - Problem Solving Q2 - 2 pts

FDNACCT Company has the following balances: Cash Php 50,000; Supplies Php 30,000; Land Php 700,000; Accounts Receivable Php 40,000; Accounts Payable Php 70,000; Service Revenue Php 300,000; Accrued Revenue Php 40,000; Rent Expense Php 25,000; Accrued Expense Php 15,000; Utilities Expense Php 40,000; Equipment Php 120,000.

Calculate the Total Assets:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Cash (Php 50,000) + Supplies (Php 30,000) + Land (Php 700,000) + Accounts Receivable (Php 40,000) + Accrued Revenue (Php 40,000) + Equipment (Php 120,000) = Php 980,000.

(Note: AP and Accrued Exp are liabilities; Revenue and Expenses belong on SPL).

Item 151 [past-t1-ps3] | AY2526 T1 - Problem Solving Q3 - 2 pts

FDNACCT company has the following balances: Accounts Payable Php 25,000; Bank Loan (due in 5 years) Php 50,000; Notes Payable Php 20,000; Salaries Payable Php 10,000; Mortgage Payable Php 100,000.

Calculate the Total Non-Current Liabilities:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Bank Loan due in 5 years (Php 50,000) + Mortgage Payable (Php 100,000) = Php 150,000.

(Note: Accounts Payable, Notes Payable, and Salaries Payable are current liabilities).

Item 152 [past-t1-ps4] | AY2526 T1 - Problem Solving Q4 - 2 pts

A company has the following balances: Accounts Payable Php 30,000; Accrued Salaries Expense Php 15,000; Notes Payable (due in 3 years) Php 60,000; Unearned Service Revenue Php 10,000; Service Revenue Php 25,000; Insurance Expense Php 12,000.

Calculate the Total Liabilities:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Accounts Payable (Php 30,000) + Accrued Salaries Expense (Php 15,000) + Notes Payable due in 3 years (Php 60,000) + Unearned Service Revenue (Php 10,000) = Php 115,000.

Item 153 [past-t1-ps5] | AY2526 T1 - Problem Solving Q5 - 2 pts

Use the following information of FDNACCT company to determine equity: Cash Php 200,000; Accounts Receivable Php 60,000; Liabilities Php 180,000; Equipment Php 240,000.

Calculate the Owner's Equity:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Total Assets = Php 200,000 + Php 60,000 + Php 240,000 = Php 500,000.

Owner's Equity = Assets - Liabilities = Php 500,000 - Php 180,000 = Php 320,000.

Item 154 [past-t1-ps6] | AY2526 T1 - Problem Solving Q6 - 2 pts

At the start of the year, FDNACCT company had Liabilities of Php 60,000 and Owner's Equity of Php 90,000. During the period, Liabilities increased by Php 10,000 due to a new bank loan while Owner's Equity increased by Php 70,000 due to net income and additional investment.

Calculate the Total Assets at the end of the period:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Liabilities_{end} = Php 60,000 + Php 10,000 = Php 70,000.

2. Owner's Equity_{end} = Php 90,000 + Php 70,000 = Php 160,000.

3. Total Assets_{end} = Php 70,000 + Php 160,000 = Php 230,000.

Item 155 [past-t1-ps7] | AY2526 T1 - Problem Solving Q7 - 2 pts

FDNACCT Company has the following information for the month: Service Revenue Php 120,000; Unearned Revenue Php 12,000; Accrued Revenue Php 28,000; Rent Expense Php 20,000; Salaries Expense Php 35,000; Utilities Expense Php 5,000; Supplies Expense Php 3,000.

Calculate the Net Profit/(Net Loss):

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Service Revenue = Php 120,000.

Operating Expenses = Php 20,000 + Php 35,000 + Php 5,000 + Php 3,000 = Php 63,000.

Net Profit = Php 120,000 - Php 63,000 = Php 57,000.

(Note: Unearned Revenue is a liability; Accrued Revenue is an asset).

Item 156 [past-t1-ps8] | AY2526 T1 - Problem Solving Q8 - 2 pts

FDNACCT Company incurred the following expenses during the month: Rent Expense Php 10,000; Salaries Expense Php 25,000; Utilities Expense Php 3,000; Accrued Salaries Expense Php 12,000; Prepaid Insurance Expense Php 20,000.

Calculate the Total Expense:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Rent Expense (Php 10,000) + Salaries Expense (Php 25,000) + Utilities Expense (Php 3,000) = Php 38,000.

(Note: Accrued Salaries is a current liability; Prepaid Insurance is an asset).

Item 157 [past-t1-ps9] | AY2526 T1 - Problem Solving Q9 - 2 pts

At the beginning of the year, the owner's equity was Php 100,000. During the year, the owner invested an additional Php 20,000, earned net income of Php 30,000, and withdrew Php 10,000.

Calculate the ending owner's equity:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Ending Equity = Php 100,000 + Php 20,000 + Php 30,000 - Php 10,000 = Php 140,000.

Item 158 [past-t1-ps10] | AY2526 T1 - Problem Solving Q10 - 2 pts

Faith D. Nakpil established FDN Salon Services on August 1, 2025. She invested additional massage chairs worth Php 150,000, withdrew Php 10,000 personal cash, generated income of Php 180,000 for August, and ended with Capital of Php 740,000.

Calculate the beginning owner's equity:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Beginning Equity = Ending Equity (Php 740,000) - Investments (Php 150,000) - Net Income (Php 180,000) + Drawings (Php 10,000) = Php 420,000.

Item 159 [past-t1-ps11] | AY2526 T1 - Problem Solving Q11 - 2 pts

Faith D. Nakpil invested the following in FDNACCT: Cash Php 500,000; Office table and chairs bought originally for Php 50,000, valued at Php 25,000 at the time of investment; Second-hand machinery originally purchased for Php 1,000,000, valued at Php 600,000 at the time of investment.

Calculate the total initial investment:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Contributions of non-cash assets are measured at ****Fair Market Value**** at the investment date:

Cash (Php 500,000) + Furniture (Php 25,000) + Machinery (Php 600,000) = Php 1,125,000.

Item 160 [past-t1-ps12] | AY2526 T1 - Problem Solving Q12 - 2 pts

At the start of the year, FDNACCT had Assets = Php 200,000 and Liabilities = Php 80,000. During the year, the owner invested Php 40,000 cash, earned Php 50,000 in revenues, incurred Php 20,000 in expenses, and withdrew Php 10,000.

Calculate the Ending Owner's Equity:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Beginning Equity = Php 200,000 - Php 80,000 = Php 120,000.

2. Net Income = Php 50,000 - Php 20,000 = Php 30,000.

3. Ending Equity = Php 120,000 + Php 40,000 + Php 30,000 - Php 10,000 = Php 180,000.

Item 161 [past-t1-ps13] | AY2526 T1 - Problem Solving Q13 - 2 pts

At the end of its first year, FDNACCT had: Beginning Owner's Equity Php 300,000; Additional Investment Php 120,000; Revenue Php 200,000; Expenses Php 110,000; Ending Owner's Equity Php 480,000.

Calculate the total withdrawn amount:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Net Income = Php 200,000 - Php 110,000 = Php 90,000.

2. Total Additions = Php 300,000 + Php 120,000 + Php 90,000 = Php 510,000.

3. Withdrawals = Php 510,000 - Php 480,000 = Php 30,000.

Item 162 [past-t1-ps14] | AY2526 T1 - Problem Solving Q14 - 2 pts

Faith D. Nakpil runs a laundry service center. For August: Cash collections from customers for services done in August Php 60,000; Accounts Receivable for services done in August uncollected Php 37,000; Advance payment of customers unearned Php 32,000. Calculate the total Revenue for August:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Under accrual accounting, revenue is recognized when earned:

Cash earned (Php 60,000) + Credit earned (Php 37,000) = Php 97,000.

(Note: Advance payment of Php 32,000 is an unearned liability, not revenue).

Item 163 [past-t1-ps15] | AY2526 T1 - Problem Solving Q15 - 2 pts

A tutorial center earned Php 28,000 service revenue in August. Outlays were: Salaries Expense Php 12,000; Rent Expense Php 5,000; Repairs and Maintenance Expense Php 3,000; Furniture & Fixtures Php 20,000.

Calculate the Net Profit/(Net Loss) for August:

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Total Operating Expenses = Php 12,000 + Php 5,000 + Php 3,000 = Php 20,000.

Net Profit = Php 28,000 - Php 20,000 = Php 8,000.

(Note: Furniture & Fixtures of Php 20,000 is a capital expenditure asset, not an expense).

PAST T2 ASSESSMENT BATTERY

Item 164 [past-t2-tf1] | AY2526 T2 - True/False Q1 - 1 pt

Double-entry bookkeeping was popularized in the 15th century by Luca Pacioli, an Italian mathematician and Franciscan friar, often called the “Father of Accounting.” This system became the foundation of modern accounting practices.

True

False

Solution / Rationale: True. Luca Pacioli published the documentation of the Venetian double-entry accounting method in 1494.

Item 165 [past-t2-tf2] | AY2526 T2 - True/False Q2 - 1 pt

Financial Accounting focuses on generating reports for internal users, particularly management, to aid in planning, controlling, and decision-making, unlike Management Accounting, which is aimed at external users.

True

False

Solution / Rationale: False. Management Accounting generates reports for internal users; Financial Accounting generates general-purpose reports for external users.

Item 166 [past-t2-tf3] | AY2526 T2 - True/False Q3 - 1 pt

Business organizations are commonly classified by their primary activity: service, merchandising, and manufacturing.

True

False

Solution / Rationale: True. The three major traditional operational classifications of business enterprises are service, merchandising, and manufacturing.

Item 167 [past-t2-tf4] | AY2526 T2 - True/False Q4 - 1 pt

Financial information can be considered useful for decision-making even if it lacks relevance or does not faithfully represent the economic events it purports to describe.

True

False

Solution / Rationale: False. To be useful, financial information must possess both fundamental characteristics: Relevance and Faithful Representation.

Item 168 [past-t2-tf5] | AY2526 T2 - True/False Q5 - 1 pt

Under the time period concept, a business must recognize revenues and expenses only at the end of its entire operating life rather than allocating them to specific accounting periods.

True

False

Solution / Rationale: False. The Periodicity / Time Period Assumption divides business life into artificial interim periods (months, quarters, years) to report timely information.

Item 169 [past-t2-tf6] | AY2526 T2 - True/False Q6 - 1 pt

The going concern concept assumes the business will continue operating for the foreseeable future, not that it will liquidate.

True

False

Solution / Rationale: True. Going concern presumes ongoing operational continuation indefinitely unless liquidation is imminent.

Item 170 [past-t2-tf7] | AY2526 T2 - True/False Q7 - 1 pt

Matching requires that expenses be recorded in the same accounting period as the revenues they help generate, regardless of when the cash is paid.

True

False

Solution / Rationale: True. Cause-and-effect matching associates expenses directly with related revenues in the period earned.

Item 171 [past-t2-tf8] | AY2526 T2 - True/False Q8 - 1 pt

Under the cost-benefit concept, all financial information must always be disclosed, regardless of the cost of preparing it or its usefulness to decision-makers.

True

False

Solution / Rationale: False. The cost-benefit constraint permits omission where the costs of reporting exceed the decision-usefulness benefits to users.

Item 172 [past-t2-tf9] | AY2526 T2 - True/False Q9 - 1 pt

The Statement of Financial Position covers a period of time such as a month or year.

True

False

Solution / Rationale: False. The Statement of Financial Position reports financial status at a specific point in time (as of date), whereas the Income Statement and Cash Flows cover a period of time.

Item 173 [past-t2-tf10] | AY2526 T2 - True/False Q10 - 1 pt

Owner's investments are increases in equity from a company's earnings activities.

True

False

Solution / Rationale: False. Revenues are increases in equity from earning activities. Owner investments are direct capital contributions from the proprietors.

Item 174 [past-t2-mc1] | AY2526 T2 - Multiple Choice Q1 - 1 pt

Accounting is:

A) The art of recording, classifying, summarizing, and interpreting financial transactions. [CORRECT ANSWER]

B) A process limited to the mechanical recording of business transactions.

C) A method of managing business operations and formulating company policies.

D) The system used mainly for auditing and fraud detection.

Solution / Rationale: Option A is correct. This matches the classic AICPA definition of accounting as an art of recording, classifying, summarizing, and interpreting financial events.

Item 175 [past-t2-mc2] | AY2526 T2 - Multiple Choice Q2 - 1 pt

Lenders and other creditors primarily use financial information to:

- A) Prepare internal budgets for management decisions
- B) Ensure the business can repay loans and assess its ability to meet credit obligations [CORRECT ANSWER]**
- C) Calculate taxes owed to the government
- D) Determine employee compensation and bonuses

Solution / Rationale: Option B is correct. Creditors assess liquidity, working capital, and solvency to determine loan security and repayment certainty.

Item 176 [past-t2-mc3] | AY2526 T2 - Multiple Choice Q3 - 1 pt

In terms of capital-raising ability, which form of business is generally most advantageous?

- A) Sole proprietorship, because it can borrow unlimited funds from banks
- B) Partnership, because it allows unlimited partners to contribute capital
- C) Corporation, because it can issue stocks and attract a large number of investors [CORRECT ANSWER]**
- D) Corporation, because profits need not be shared with owners

Solution / Rationale: Option C is correct. Corporations can mobilize massive capital through public offerings and divisibility of shares with limited liability.

Item 177 [past-t2-mc4] | AY2526 T2 - Multiple Choice Q4 - 1 pt

Which of the following best describes the difference between consistency and uniformity under the comparability characteristic?

- A) Consistency requires the same methods for the same items over time, while uniformity requires making unlike items look alike. [CORRECT ANSWER]**
- B) Consistency allows changing methods each period, while uniformity ensures comparability across entities.
- C) Consistency refers to reporting items in different ways to highlight differences, while uniformity requires identical methods for all entities.
- D) Consistency and uniformity are identical concepts that always produce the same results.

Solution / Rationale: Option A is correct. Consistency refers to the use of the same methods for the same items from period to period. Comparability does not mean uniformity; making unlike things look alike detracts from faithful representation.

Item 178 [past-t2-mc5] | AY2526 T2 - Multiple Choice Q5 - 1 pt

Which of the following accounting treatments violates the monetary concept?

- A) Recording land at its purchase price even though its current market value has increased significantly.
- B) Recognizing revenue based on the peso amount stated in the sales invoice.
- C) Recording purchased machinery at cost.
- D) Recording the fluctuations of the purchasing power of money in the accounting records. [CORRECT ANSWER]**

Solution / Rationale: Option D is correct. Under the Stable Monetary Unit Assumption, the purchasing power of the currency is assumed to be stable, and purchasing power fluctuations (general inflation adjustments) are ignored in primary historical cost accounting.

Item 179 [past-t2-mc6] | AY2526 T2 - Multiple Choice Q6 - 1 pt

Which of the following best describes Generally Accepted Accounting Principles (GAAP)?

- A) A set of accounting standards and procedures that guide the preparation and presentation of financial statements in a consistent and reliable manner. [CORRECT ANSWER]**
- B) A collection of tax laws and regulations used primarily for preparing income tax returns.
- C) Informal guidelines used by managers to make internal business decisions without any regulatory oversight.
- D) A set of rules that allows companies to prepare financial statements in any format they prefer, without following any standardized rules or principles.

Solution / Rationale: Option A is correct. GAAP encompasses authoritative standards, conventions, and rules establishing standardized financial reporting.

Item 180 [past-t2-mc7] | AY2526 T2 - Multiple Choice Q7 - 1 pt

Which of the following best illustrates proper application of the full disclosure concept?

- A) A company omits information about a significant pending lawsuit to avoid alarming investors.
- B) A company discloses in the footnotes all contingent liabilities, accounting policies, and related-party transactions that could influence users' decisions. [CORRECT ANSWER]**
- C) A company reports only its net income without providing details on major accounting estimates or assumptions.
- D) A company reports revenues on a cash basis to simplify financial statements, without explaining the method in the notes.

Solution / Rationale: Option B is correct. Full disclosure requires complete footnote reporting of policies, contingencies, and material commitments that could impact user judgments.

Item 181 [past-t2-mc8] | AY2526 T2 - Multiple Choice Q8 - 1 pt**Which of the following best describes an asset?**

- A) A resource owned by the business that will never lose value.
- B) A present economic resource controlled by the entity from which future economic benefits are expected to flow. [CORRECT ANSWER]**
- C) Any item that can be converted into cash within one year, regardless of ownership.
- D) Only cash held by a business.

Solution / Rationale: Option B is correct. Under the revised Conceptual Framework, an asset is a present economic resource controlled by the entity as a result of past events.

Item 182 [past-t2-mc9] | AY2526 T2 - Multiple Choice Q9 - 1 pt**Which of the following is not included in the Statement of Profit or Loss?**

- A) Revenue
- B) Expenses
- C) Assets [CORRECT ANSWER]**
- D) Net profit or loss

Solution / Rationale: Option C is correct. Assets are reported on the Statement of Financial Position (SFP), not the Statement of Profit or Loss.

Item 183 [past-t2-mc10] | AY2526 T2 - Multiple Choice Q10 - 1 pt**Which of the following is typically included in the notes to financial statements?**

- A) Accounting policies applied in preparing the financial statements [CORRECT ANSWER]**
- B) Cash received from customers during the period
- C) Total revenue and expenses summarized in the Statement of Profit or Loss
- D) Only non-current assets

Solution / Rationale: Option A is correct. Note 1 of the financial statements universally discloses the Summary of Significant Accounting Policies.

Item 184 [past-t2-ps1] | AY2526 T2 - Problem Solving Q1 - 2 pts

FDN Services has the following selected account balances on December 31, 2025: Accrued Revenue Php 19,000; Interest Income Php 7,000; Service Revenue Php 125,000; Unearned Revenue Php 23,000.

How much is the total revenues?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Interest Income (Php 7,000) + Service Revenue (Php 125,000) = Php 132,000.

(Note: Accrued Revenue is an asset; Unearned Revenue is a liability).

Item 185 [past-t2-ps2] | AY2526 T2 - Problem Solving Q2 - 2 pts

FDN Services has the following selected account balances on December 31, 2025: Accrued Rent Expense Php 17,000; Prepaid Insurance Expense Php 8,000; Repair Expense Php 5,000; Salaries Expense Php 36,000; Unearned Service Income Php 43,000; Utilities Expense Php 16,000.

How much is the total expenses?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Repair Expense (Php 5,000) + Salaries Expense (Php 36,000) + Utilities Expense (Php 16,000) = Php 57,000.

(Note: Accrued Rent and Unearned Service Income are liabilities; Prepaid Insurance is an asset).

Item 186 [past-t2-ps3] | AY2526 T2 - Problem Solving Q3 - 2 pts

FDN Trading paid rent on Dec 1, 2025 in advance for 3 months (Php 60,000), with Php 20,000 used during December. The December electricity bill of Php 8,000 was paid on Jan 10, 2026. Salaries for December (Php 36,000) were paid on Dec 31, 2025.

How much is the total expenses for the month ended December 31, 2025?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Rent consumed (Php 20,000) + Electricity consumed (Php 8,000) + Salaries incurred (Php 36,000) = Php 64,000.

Item 187 [past-t2-ps4] | AY2526 T2 - Problem Solving Q4 - 2 pts

On January 1, 2025, Faith D. Nakpil invested Php 140,000. During the year, she invested an additional Php 30,000. The company recorded a net loss of Php 35,000 for the year. Faith made withdrawals of Php 55,000.

How much is Faith D. Nakpil's ending capital?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Ending Capital = Php 140,000 + Php 30,000 - Php 35,000 - Php 55,000 = Php 80,000.

Item 188 [past-t2-ps5] | AY2526 T2 - Problem Solving Q5 - 2 pts

Faith D. Nakpil invested the following in FDN Services: Cash Php 150,000; Old laptop originally bought for Php 60,000, valued at Php 35,000 at the time of investment.

How much is the total initial investment of Faith D. Nakpil?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Contributions are recorded at ****Fair Market Value****:

Cash (Php 150,000) + Laptop FMV (Php 35,000) = Php 185,000.

Item 189 [past-t2-ps6] | AY2526 T2 - Problem Solving Q6 - 2 pts

FDN Services purchased land 3 years ago for Php 1,850,000. The piece of land was recently appraised for Php 3,700,000, and they received an offer from a prospective buyer for Php 4,000,000.

How much should FDN Services report its Land account on its Statement of Financial Position?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Under the ****Historical Cost Principle****, land is maintained at its original acquisition price: Php 1,850,000. Appraisals and prospective purchase offers are not recorded on the balance sheet.

Item 190 [past-t2-ps7] | AY2526 T2 - Problem Solving Q7 - 2 pts

The owner's equity of the company is Php 120,000, which is equal to one-third the amount of total assets.

How much is total liabilities?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Total Assets = Php 120,000 x 3 = Php 360,000.

2. Total Liabilities = Php 360,000 - Php 120,000 = Php 240,000.

Item 191 [past-t2-ps8] | AY2526 T2 - Problem Solving Q8 - 2 pts

FDN Services has the following account balances on December 31, 2025: Service Revenue Php 133,500; Interest Income Php 2,840; Unearned Rent Income Php 1,500; Prepaid Insurance Expense Php 20,000; Rent Expense Php 42,000; Salaries Expense Php 39,000; Utilities Expense Php 21,900.

How much is net profit for the year?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Total Revenues = Php 133,500 + Php 2,840 = Php 136,340.

Total Expenses = Php 42,000 + Php 39,000 + Php 21,900 = Php 102,900.

Net Profit = Php 136,340 - Php 102,900 = Php 33,440.

Item 192 [past-t2-ps9] | AY2526 T2 - Problem Solving Q9 - 2 pts

FDN Services has the following account balances on December 31, 2025: Accounts Receivable Php 22,000; Accrued Expense Php 18,000; Advances to Employees Php 15,000; Cash Php 33,000; Prepaid Expense Php 9,000; Service Revenue Php 200,000.

How much is the current assets?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Accounts Receivable (Php 22,000) + Advances to Employees (Php 15,000) + Cash (Php 33,000) + Prepaid Expense (Php 9,000) = Php 79,000.

Item 193 [past-t2-ps10] | AY2526 T2 - Problem Solving Q10 - 2 pts

FDN Services has the following balances on December 31, 2025: Accounts Receivable Php 22,000; Accrued Revenue Php 8,000; Cash Php 33,000; Equipment Php 120,000; Office Supplies Php 3,000; Unearned Revenue Php 40,000; Vehicle Php 350,000.

How much is the total assets?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Accounts Receivable (Php 22,000) + Accrued Revenue (Php 8,000) + Cash (Php 33,000) + Equipment (Php 120,000) + Office Supplies (Php 3,000) + Vehicle (Php 350,000) = Php 536,000.

Item 194 [past-t2-ps11] | AY2526 T2 - Problem Solving Q11 - 2 pts

Balances: Accounts Payable Php 23,000; Accrued Expense Php 18,000; Mortgage Payable Php 500,000; Notes Payable (due in 6 months) Php 75,000; Notes Payable (due in 5 years) Php 300,000; Prepaid Expense Php 80,000; Unearned Revenue Php 47,000.

How much is the current liabilities?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Accounts Payable (Php 23,000) + Accrued Expense (Php 18,000) + Notes Payable in 6 months (Php 75,000) + Unearned Revenue (Php 47,000) = Php 163,000.

Item 195 [past-t2-ps12] | AY2526 T2 - Problem Solving Q12 - 2 pts

Using the same balances: Accounts Payable Php 23,000; Accrued Expense Php 18,000; Mortgage Payable Php 500,000; Notes Payable (due in 6 months) Php 75,000; Notes Payable (due in 5 years) Php 300,000; Prepaid Expense Php 80,000; Unearned Revenue Php 47,000. How much is the non-current liabilities?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Mortgage Payable (Php 500,000) + Notes Payable due in 5 years (Php 300,000) = Php 800,000.

Item 196 [past-t2-ps13] | AY2526 T2 - Problem Solving Q13 - 2 pts

FDN Services had assets amounting to Php 450,000 while Owner's equity amounted to Php 320,000. How much is the liabilities at the end of the year?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Liabilities = Php 450,000 - Php 320,000 = Php 130,000.

Item 197 [past-t2-ps14] | AY2526 T2 - Problem Solving Q14 - 2 pts

FDN Services began the year with assets of Php 90,000 and liabilities of Php 35,000. During the year, the owner made an additional investment of Php 15,000, recorded total revenue of Php 80,000, and took withdrawals of Php 45,000. At year-end, assets totaled Php 125,000 and liabilities totaled Php 40,000.

How much is the total amount of expenses during the year?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Beginning Equity = Php 90,000 - Php 35,000 = Php 55,000.

2. Ending Equity = Php 125,000 - Php 40,000 = Php 85,000.

3. Net Income = Ending Equity (Php 85,000) + Drawings (Php 45,000) - [Beg Equity (Php 55,000) + Investments (Php 15,000)] = Php 130,000 - Php 70,000 = Php 60,000.

4. Expenses = Revenues (Php 80,000) - Net Income (Php 60,000) = Php 20,000.

Item 198 [past-t2-ps15] | AY2526 T2 - Problem Solving Q15 - 2 pts

FDN Services reported at the beginning of the year Php 200,000 in assets and Php 50,000 in liabilities. By the end of the year, assets had decreased by Php 30,000 while liabilities increased by Php 25,000.

How much is the owner's equity at the end of the year?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Ending Assets = Php 200,000 - Php 30,000 = Php 170,000.

2. Ending Liabilities = Php 50,000 + Php 25,000 = Php 75,000.

3. Ending Owner's Equity = Php 170,000 - Php 75,000 = Php 95,000.

PAST T3 ASSESSMENT BATTERY

Item 199 [past-t3-tf1] | AY2526 T3 - True/False Q1 - 1 pt

According to the American Institute of Certified Public Accountants (AICPA), accounting is defined as an art that involves recording, classifying, and summarizing financial transactions and events, and interpreting their results.

True

False

Solution / Rationale: True. This is the official 1953 AICPA definition of accounting.

Item 200 [past-t3-tf2] | AY2526 T3 - True/False Q2 - 1 pt

According to the Conceptual Framework, potential investors use accounting information to monitor business performance specifically to check the immediate return on their existing investments.

True

False

Solution / Rationale: False. Existing investors check returns on existing investments; potential investors evaluate future returns and assess investment risk before allocating capital.

Item 201 [past-t3-tf3] | AY2526 T3 - True/False Q3 - 1 pt

Only corporations are separate from the owners, managers, and employees operating the business.

True

False

Solution / Rationale: False. Under the Business Entity Concept, *all* forms of business organization (sole proprietorships, partnerships, and corporations) are treated as distinct accounting entities separate from their owners.

Item 202 [past-t3-tf4] | AY2526 T3 - True/False Q4 - 1 pt

To be useful, financial information must also faithfully represent the substance of the phenomena that it purports to represent.

True

False

Solution / Rationale: True. Substance over form is an essential component of Faithful Representation.

Item 203 [past-t3-tf5] | AY2526 T3 - True/False Q5 - 1 pt

A sole proprietor uses the business checking account to pay for his child's college tuition fees and records it as a direct business operating expense. This bookkeeping treatment represents a valid application of the Business Entity Concept.

True

False

Solution / Rationale: False. Recording personal tuition as a business operating expense violates the Business Entity Concept. Personal expenditures must be recorded as Owner's Drawings.

Item 204 [past-t3-tf6] | AY2526 T3 - True/False Q6 - 1 pt

A company is facing legal battles that points to possible liquidation within the next five months. In this scenario, the accountant should continue to prepare the financial statements using standard historical cost valuations under the going-concern assumption.

True

False

Solution / Rationale: False. When liquidation is imminent (within 12 months), the going-concern assumption is discarded, and financial statements must be prepared on a liquidation / net realizable value basis.

Item 205 [past-t3-tf7] | AY2526 T3 - True/False Q7 - 1 pt

Full disclosure requires important facts that are necessary for the users to properly interpret the financial statements be included.

True

False

Solution / Rationale: True. The full disclosure principle ensures that all material information necessary for fair presentation and decision-making is disclosed.

Item 206 [past-t3-tf8] | AY2526 T3 - True/False Q8 - 1 pt

Owner's capital contributions, such as cash or other assets invested into the business, are recorded at their historical cost rather than their fair market value at the time of investment.

True

False

Solution / Rationale: False. Non-cash assets contributed by the proprietor are recorded at their Fair Market Value at the investment date, which becomes their initial cost to the business.

Item 207 [past-t3-tf9] | AY2526 T3 - True/False Q9 - 1 pt

The Statement of Profit or Loss is dated for a certain period ended.

True

False

Solution / Rationale: True. The Statement of Profit or Loss is a flow statement covering an operating interval (e.g., 'For the Year Ended December 31, 2025').

Item 208 [past-t3-tf10] | AY2526 T3 - True/False Q10 - 1 pt

The Statement of Financial Position is said to be using the “account form” when assets are listed on the right side and the liabilities and equity are listed on the left side of the report similar to a T-account.

True

False

Solution / Rationale: False. In the account form, assets are listed on the left side and liabilities and equity on the right side.

Item 209 [past-t3-mc1] | AY2526 T3 - Multiple Choice Q1 - 1 pt

Which historical publication made the double-entry bookkeeping system widespread across the commercial world?

A) Luca Pacioli's Summa de Arithmetica [CORRECT ANSWER]

B) The Florentine Merchant Manual

C) Julius Caesar's Financial Reports

D) The Venetian Maritime Code

Solution / Rationale: Option A is correct. Fra Luca Pacioli's 1494 textbook *Summa de Arithmetica, Geometria, Proportioni et Proportionalita* popularized double-entry bookkeeping.

Item 210 [past-t3-mc2] | AY2526 T3 - Multiple Choice Q2 - 1 pt

A branch of accounting is dedicated to evaluating a company's internal policies and procedures to identify weaknesses, mismanagement, waste, or possible fraud:

A) Internal auditing [CORRECT ANSWER]

B) External auditing

C) Forensic accounting

D) Cost accounting

Solution / Rationale: Option A is correct. Internal auditing evaluates internal controls, operational efficiency, and policy compliance on behalf of management.

Item 211 [past-t3-mc3] | AY2526 T3 - Multiple Choice Q3 - 1 pt

A business that converts raw materials into entirely new finished goods before selling them:

A) Manufacturing [CORRECT ANSWER]

B) Trading

C) Service

D) Merchandising

Solution / Rationale: Option A is correct. Manufacturing enterprises purchase raw materials and utilize labor and factory overhead to convert them into finished merchandise.

Item 212 [past-t3-mc4] | AY2526 T3 - Multiple Choice Q4 - 1 pt

It refers to the use of the same methods for the same items, either from period to period within a reporting entity or in a single period across entities:

A) Timeliness

B) Consistency [CORRECT ANSWER]

C) Verifiability

D) Understandability

Solution / Rationale: Option B is correct. Consistency is the application of the same accounting policies and methods across successive periods.

Item 213 [past-t3-mc5] | AY2526 T3 - Multiple Choice Q5 - 1 pt

It is a characteristic of information that its omission from, or inclusion in, the financial statements could alter the decision of a financial statement user when assessing a specific entity's financial condition and performance:

A) Material [CORRECT ANSWER]

B) Understandable

C) Neutral

D) Timely

Solution / Rationale: Option A is correct. Information is Material if omitting or misstating it could influence the economic decisions of users.

Item 214 [past-t3-mc6] | AY2526 T3 - Multiple Choice Q6 - 1 pt

In November 2025, an accounting firm receives a cash advance payment from a client for consultation services that will be performed in January 2026. Under the accrual principle, how should the firm record this transaction in November 2025?

- A) A revenue because cash was physically received.
- B) A liability since the service has not yet been rendered. [CORRECT ANSWER]**
- C) Record nothing in November and document the entire entry only when the work begins in January.
- D) Record as a direct increase in the Owner's Capital.

Solution / Rationale: Option B is correct. Receiving cash before performance satisfies an unearned obligation, creating a current liability (**Unearned Service Revenue**).

Item 215 [past-t3-mc7] | AY2526 T3 - Multiple Choice Q7 - 1 pt

When assets are listed on the left side and the liabilities and equity are listed on the right side of the report, similar to a T-account, the Statement of Financial Position is using what form?

- A) Report form
- B) Account form [CORRECT ANSWER]**
- C) Legal form
- D) Natural form

Solution / Rationale: Option B is correct. The horizontal layout with assets on the left and liabilities + equity on the right is the Account Form.

Item 216 [past-t3-mc8] | AY2526 T3 - Multiple Choice Q8 - 1 pt

A liability is defined as:

- A) An inflow of resources from trading or other profit-generating operations that increases owner's equity.
- B) A present obligation of the entity to transfer an economic resource as a result of past events. [CORRECT ANSWER]**
- C) The residual interest in the assets of the entity after deducting all of its current economic resources.
- D) A present economic resource controlled by the entity as a result of past events.

Solution / Rationale: Option B is correct. Under the IFRS Conceptual Framework, a liability is a present obligation of the entity to transfer an economic resource as a result of past events.

Item 217 [past-t3-mc9] | AY2526 T3 - Multiple Choice Q9 - 1 pt

The basic accounting equation reflects that the assets of a business entity are always equal to:

- A) The revenues generated minus the expenses incurred during the operating cycle.
- B) The total economic resources invested solely by the owners of the enterprise.
- C) The total claims against those assets by both external creditors and the business owners. [CORRECT ANSWER]**
- D) The total cash inflows and cash outflows from operating, investing, and financing activities.

Solution / Rationale: Option C is correct. Assets represent total economic resources, which are claimed by external creditors (Liabilities) and proprietors (Owner's Equity).

Item 218 [past-t3-mc10] | AY2526 T3 - Multiple Choice Q10 - 1 pt

Which of the following does NOT affect Owner's Equity?

- A) Accounts Receivable [CORRECT ANSWER]**
- B) Income
- C) Expenses
- D) Drawings

Solution / Rationale: Option A is correct. Accounts Receivable is an asset account. Income and additional investments increase equity, while expenses and drawings decrease equity.

Item 219 [past-t3-ps1] | AY2526 T3 - Problem Solving Q1 - 2 pts

An individual establishes a sole proprietorship delivery business and transfers his personal van into the business. The van's current Fair Market Value (FMV) is Php 850,000, while its original cost to the owner was Php 1,000,000.

How much should be recorded for the vehicle invested by the owner in the business books?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Contributions of non-cash assets are recorded at **Fair Market Value** at the investment date (Php 850,000), which establishes the acquisition cost to the business entity.

Item 220 [past-t3-ps2] | AY2526 T3 - Problem Solving Q2 - 2 pts

During April 2026, a consultancy firm: Provided Php 180,000 services to Client A (billed, uncollected); Performed Php 90,000 training for Client B (full cash received); Collected Php 150,000 cash advance from Client C for a project to be performed in July 2026; Finished a Php 60,000 project for Client D paid in advance back in February 2026.

How much is total revenue for the month ended April 30, 2026?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Client A earned (Php 180,000) + Client B earned (Php 90,000) + Client D completed (Php 60,000) = Php 330,000.

(Note: Client C advance of Php 150,000 is an unearned liability).

Item 221 [past-t3-ps3] | AY2526 T3 - Problem Solving Q3 - 2 pts

FDN Services balances on Dec 31, 2025: Cash in Bank Php 150,000; Accounts Receivable Php 85,000; Prepaid Insurance Expense Php 15,000; Rent Expense Php 50,000; Land Php 500,000.

How much is total current assets?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Cash in Bank (Php 150,000) + Accounts Receivable (Php 85,000) + Prepaid Insurance (Php 15,000) = Php 250,000.

(Note: Land is non-current; Rent Expense is on SPL).

Item 222 [past-t3-ps4] | AY2526 T3 - Problem Solving Q4 - 2 pts

FDN Services balances: Cash on Hand Php 45,000; Notes Receivable (due in 6 months) Php 50,000; Advances to Employees Php 12,000; Delivery Vehicles Php 400,000; Furniture & Fixtures Php 75,000.

How much is total non-current assets?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Delivery Vehicles (Php 400,000) + Furniture & Fixtures (Php 75,000) = Php 475,000.

Item 223 [past-t3-ps5] | AY2526 T3 - Problem Solving Q5 - 2 pts

FDN Services obligations on Dec 31, 2025: Accounts Payable Php 65,000; Accounts Receivable Php 30,000; Notes Payable (due in 8 months) Php 40,000; Accrued Salaries Expense Php 12,000; Accrued Commissions Income Php 20,000; Unearned Service Revenue Php 25,000; Long-term Notes Payable Php 300,000.

How much is the total liabilities?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Accounts Payable (Php 65,000) + Notes Payable in 8 mos (Php 40,000) + Accrued Salaries (Php 12,000) + Unearned Service Revenue (Php 25,000) + Long-term Notes Payable (Php 300,000) = Php 442,000.

(Note: AR and Accrued Commissions Income are assets).

Item 224 [past-t3-ps6] | AY2526 T3 - Problem Solving Q6 - 2 pts

At period-end: Accounts Payable Php 115,000; Accrued Utilities Expense Php 14,000; Unearned Rent Income Php 30,000; Mortgage Payable Php 600,000.

How much is the total current liabilities?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Accounts Payable (Php 115,000) + Accrued Utilities Expense (Php 14,000) + Unearned Rent Income (Php 30,000) = Php 159,000.

Item 225 [past-t3-ps7] | AY2526 T3 - Problem Solving Q7 - 2 pts

FDN Logistics has total assets of Php 1,450,000 and total obligations to creditors of Php 620,000.

How much is the Owner's Equity?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Owner's Equity = Php 1,450,000 - Php 620,000 = Php 830,000.

Item 226 [past-t3-ps8] | AY2526 T3 - Problem Solving Q8 - 2 pts

A service company reveals an Owner's Capital ending balance of Php 480,000. Total liabilities are double the amount of its equity balance.

How much is the value of the firm's total assets?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Liabilities = 2 x Php 480,000 = Php 960,000.

2. Total Assets = Php 480,000 + Php 960,000 = Php 1,440,000.

Item 227 [past-t3-ps9] | AY2526 T3 - Problem Solving Q9 - 2 pts

FDN Consulting Services: Payments for various expenses paid during the year Php 850,000; Advance rent deposits to building owner to be used next year Php 120,000; Cash withdrawal by owner Php 150,000.

How much is the total expenses for the year?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Operating expenses incurred and paid = Php 850,000.

(Note: Advance rent deposit for next year is a Prepaid Asset of Php 120,000; Owner withdrawal of Php 150,000 is a capital reduction).

Item 228 [past-t3-ps10] | AY2526 T3 - Problem Solving Q10 - 2 pts

For December, FDN Services had net income of Php 52,000, service revenue of Php 155,000, and total receivables of Php 15,000.

How much was the total expenses incurred during the month?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Total Expenses = Revenues (Php 155,000) - Net Income (Php 52,000) = Php 103,000.

Item 229 [past-t3-ps11] | AY2526 T3 - Problem Solving Q11 - 2 pts

Faith D. Nakpil invested: Cash Php 100,000; New computer bought for Php 50,000, with an unpaid balance of Php 40,000 which will be assumed by the business.

How much is the beginning capital of Faith?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: When a business assumes an unpaid debt on an invested asset, the owner's capital credit is the net equity contribution:

Net Computer Value = Php 50,000 - Php 40,000 = Php 10,000.

Beginning Capital = Php 100,000 + Php 10,000 = Php 110,000.

Item 230 [past-t3-ps12] | AY2526 T3 - Problem Solving Q12 - 2 pts

FDN Trading year ended Dec 31, 2025: Initial Investment Php 230,000; Additional Investment Php 223,000; Net Loss Php 110,000; Owner's Drawing Php 45,000.

How much is the ending capital?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Ending Capital = Php 230,000 + Php 223,000 - Php 110,000 - Php 45,000 = Php 298,000.

Item 231 [past-t3-ps13] | AY2526 T3 - Problem Solving Q13 - 2 pts

FDN Consultancy: Initial investment Php 120,000; Drawings Php 100,000; Ending Equity Php 140,000; Revenues Php 800,000.

How much is the total expenses incurred during the year?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Net Profit = Ending Equity (Php 140,000) + Drawings (Php 100,000) - Initial Inv (Php 120,000) = Php 120,000.

2. Total Expenses = Revenues (Php 800,000) - Net Profit (Php 120,000) = Php 680,000.

Item 232 [past-t3-ps14] | AY2526 T3 - Problem Solving Q14 - 2 pts

Given: Owner's Capital beg = Php 60,000; Revenues = Php 80,000; Expenses = Php 60,000; Owner's Drawings = Php 10,000; Liabilities end = Php 50,000.

How much is the total assets at the end of the period?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: 1. Net Income = Php 80,000 - Php 60,000 = Php 20,000.

2. Ending Capital = Php 60,000 + Php 20,000 - Php 10,000 = Php 70,000.

3. Total Assets = Ending Capital (Php 70,000) + Liabilities (Php 50,000) = Php 120,000.

Item 233 [past-t3-ps15] | AY2526 T3 - Problem Solving Q15 - 2 pts

FDN Services balances for 2025: Service Revenue Php 950,000; Rent Income Php 40,000; Salaries and Wages Expense Php 320,000; Utilities Expense Php 55,000; Insurance Expense Php 24,000; Owner's Cash Drawings Php 45,000; Cash received from a bank loan Php 200,000.

How much is net income for the year ended December 31, 2025?

Numerical computation required. Enter numerical value in Php.

Solution / Rationale: Total Revenues = Php 950,000 + Php 40,000 = Php 990,000.

Total Expenses = Php 320,000 + Php 55,000 + Php 24,000 = Php 399,000.

Net Income = Php 990,000 - Php 399,000 = Php 591,000.

(Note: Cash drawings of Php 45,000 reduce equity directly; Bank loan of Php 200,000 is a liability financing inflow, not revenue).

REINF U1 ASSESSMENT BATTERY

Item 234 [reinf-u1-01] | Reinforcement 1.1: Official AICPA Definition of Accounting - 1 pt

According to the classic definition formulated by the American Institute of Certified Public Accountants (AICPA), accounting is:

- A) The mechanical process of maintaining tax compliance records exclusively for revenue authorities.
- B) The art of recording, classifying, and summarizing in a significant manner and in terms of money, transactions and events which are, in part at least, of a financial character, and interpreting the results thereof. [CORRECT ANSWER]**
- C) The theoretical social science concerned exclusively with forecasting future macroeconomic indicators.
- D) The mathematical method of calculating corporate stock market valuations.

Solution / Rationale: Correct Answer: B.

The classic AICPA definition defines accounting as 'the art of recording, classifying, and summarizing in a significant manner and in terms of money, transactions and events which are, in part at least, of a financial character, and interpreting the results thereof.'

Item 235 [reinf-u1-02] | Reinforcement 1.2: The Threefold Nature of Accounting - 1 pt

In foundational accounting theory, which of the following triads correctly describes the nature of accounting?

- A) Speculative, Regulatory, and Political
- B) Service activity, Process, and Art [CORRECT ANSWER]**
- C) Pure science, Legal advocacy, and Bookkeeping
- D) Mathematics, Economics, and Statistics

Solution / Rationale: Correct Answer: B.

Accounting is recognized as: (1) a Service activity (providing quantitative financial information), (2) a Process (a systematic series of actions from transaction to report), and (3) an Art (requiring specialized skill, creative design of systems, and professional judgment).

Item 236 [reinf-u1-03] | Reinforcement 1.3: The Recording Phase - 1 pt

Which accounting activity belongs specifically to the 'Recording' phase of the accounting process?

- A) Preparing the post-closing trial balance at the end of the fiscal year.
- B) Writing business transactions chronologically into the books of original entry (journals) based on source documents. [CORRECT ANSWER]**
- C) Calculating financial leverage and working capital ratios for bank loan evaluation.
- D) Grouping similar transactions into individual general ledger accounts.

Solution / Rationale: Correct Answer: B.

The Recording phase (journalizing) involves committing business transactions into writing in chronological order in the books of original entry (General Journal) using verified business source documents.

Item 237 [reinf-u1-04] | Reinforcement 1.4: The Classifying Phase - 1 pt

Transferring recorded transactions from chronological journals into specific individual accounts in the General Ledger is known as:

- A) Posting (Classifying phase) [CORRECT ANSWER]**
- B) Auditing
- C) Summarizing
- D) Interpreting

Solution / Rationale: Correct Answer: A.

The Classifying phase involves sorting, grouping, and transferring (posting) recorded transactions into specific thematic account categories in the General Ledger (the book of final entry).

Item 238 [reinf-u1-05] | Reinforcement 1.5: The Summarizing Phase - 1 pt

Which of the following documents is produced during the 'Summarizing' phase of the accounting process?

- A) The Trial Balance and Financial Statements [CORRECT ANSWER]**
- B) Official Receipts and Sales Invoices
- C) Purchase Requisitions and Purchase Orders
- D) Promissory notes and loan contracts

Solution / Rationale: Correct Answer: A.

The Summarizing phase involves assembling all ledger balances into a Trial Balance and formally preparing the four primary Financial Statements and accompanying notes.

Item 239 [reinf-u1-06] | Reinforcement 1.6: The Interpreting Phase - 1 pt

A commercial loan officer analyzes a company's Debt-to-Equity ratio and Working Capital to evaluate its creditworthiness. This task exemplifies which phase of accounting?

- A) Recording phase
- B) Classifying phase
- C) Summarizing phase

D) Interpreting phase [CORRECT ANSWER]

Solution / Rationale: Correct Answer: D.

The Interpreting phase involves explaining, analyzing, and giving meaning to the summarized financial statements (e.g. through financial ratio analysis) so stakeholders can make informed business decisions.

Item 240 [reinf-u1-07] | Reinforcement 1.7: Distinction Between Bookkeeping and Accounting - 1 pt

Which statement correctly distinguishes bookkeeping from accounting?

- A) Bookkeeping encompasses the entire process of interpreting statements, while accounting is limited to writing journal entries.
- B) Bookkeeping is used only by publicly listed corporations, while accounting is used exclusively by sole proprietors.
- C) Bookkeeping is the mechanical, routine clerical recording of transactions, whereas accounting includes classifying, summarizing, interpreting, and designing information systems. [CORRECT ANSWER]**
- D) Bookkeeping and accounting are identical terms with no legal or operational difference.

Solution / Rationale: Correct Answer: C.

Bookkeeping is the mechanical, clerical, and procedural phase of recording transactions. Accounting is much broader: it designs the system, establishes controls, analyzes statements, prepares reports, and interprets results.

Item 241 [reinf-u1-08] | Reinforcement 1.8: Chronological Accounting Process Flow - 1 pt

Which sequence correctly reflects the chronological order of the accounting process?

- A) Business Source Documents -> Recording (Journal) -> Classifying (Ledger) -> Summarizing (Financial Statements) -> Interpreting [CORRECT ANSWER]**
- B) Financial Statements -> General Journal -> General Ledger -> Business Documents
- C) General Ledger -> Business Documents -> Financial Statements -> General Journal
- D) Financial Statements -> Ratio Analysis -> General Journal -> Source Documents

Solution / Rationale: Correct Answer: A.

The accounting process flows strictly in order: (1) Source Documents provide objective evidence, (2) Recording in the Journal, (3) Classifying in the Ledger, (4) Summarizing in the Trial Balance & Financial Statements, and (5) Interpreting the results.

Item 242 [reinf-u1-09] | Reinforcement 1.9: The Language of Business - 1 pt

Why is accounting referred to as the 'Language of Business'?

- A) Because it is taught in foreign universities across the world.
- B) Because it uses Latin legal terms in corporation contracts.
- C) Because it provides a common, standardized monetary vocabulary to communicate an entity's financial health and performance to diverse stakeholders. [CORRECT ANSWER]**
- D) Because it is governed by international diplomatic treaties.

Solution / Rationale: Correct Answer: C.

Accounting is the Language of Business because it translates physical and operational business activities into a structured, universal monetary vocabulary (PFRS/GAAP) that enables investors, creditors, managers, and regulators to understand an entity's economic condition.

Item 243 [reinf-u1-10] | Reinforcement 1.10: Financial Accounting vs. Managerial Accounting - 1 pt

What is the primary operational distinction between Financial Accounting and Managerial Accounting?

- A) Financial accounting prepares internal budgets for department heads, while managerial accounting files tax returns with the BIR.
- B) Financial accounting produces standardized general-purpose reports for external users under PFRS/GAAP, while managerial accounting produces customized internal reports for management planning and control. [CORRECT ANSWER]**
- C) Financial accounting is optional for corporations, while managerial accounting is legally mandated by the SEC.
- D) Financial accounting is conducted entirely in cash, while managerial accounting is strictly non-monetary.

Solution / Rationale: Correct Answer: B.

Financial Accounting is externally focused, producing general-purpose financial statements under standardized rules (PFRS/GAAP) for external stakeholders. Managerial Accounting is internally focused, providing confidential budgets, forecasts, and cost analyses to help managers run the business.

Item 244 [reinf-u1-11] | Reinforcement 1.11: Three Major Areas of Practice - 1 pt

What are the three major areas of professional accounting practice in the Philippines?

- A) Banking, Insurance, and Real Estate
- B) Bookkeeping, Data Entry, and Tax Auditing
- C) Public Accounting, Commerce and Industry (Private Accounting), and Government Accounting [CORRECT ANSWER]**
- D) Domestic, Multinational, and Offshore Accounting

Solution / Rationale: Correct Answer: C.

The three recognized major areas of practice are: (1) Public Accounting (rendering professional services to clients for a fee), (2) Commerce and Industry (working as an employee within private business enterprises), and (3) Government Accounting (working in state agencies like COA, BIR, BTr).

Item 245 [reinf-u1-12] | Reinforcement 1.12: Public Accounting Services - 1 pt

Which of the following professional services is primarily provided by an independent CPA firm in Public Accounting?

- A) Serving as the internal Chief Financial Officer (CFO) of a client company.
- B) Conducting independent external audits to express an objective opinion on whether financial statements are fairly presented. [CORRECT ANSWER]**
- C) Directly managing the day-to-day purchasing operations of a retail chain.
- D) Approving corporate marketing and product pricing strategies.

Solution / Rationale: Correct Answer: B.

The hallmark service of Public Accounting is the independent external audit (assurance service), where CPAs examine evidence to express an unbiased audit opinion on whether financial statements fairly conform to PFRS.

Item 246 [reinf-u1-13] | Reinforcement 1.13: Branch of Auditing - 1 pt

Which specialized branch of accounting focuses specifically on the independent review of financial statements to assess their fairness and adherence to accounting principles?

- A) Auditing [CORRECT ANSWER]**
- B) Cost Accounting
- C) Forensic Accounting
- D) Accounting Education

Solution / Rationale: Correct Answer: A.

Auditing is the specialized branch that involves the systematic, objective examination of an entity's financial records to determine the fairness and reliability of its financial statements.

Item 247 [reinf-u1-14] | Reinforcement 1.14: Cost Accounting Focus - 1 pt

What is the primary role of Cost Accounting in a manufacturing enterprise?

- A) Recording and analyzing direct materials, direct labor, and factory overhead costs to determine product unit cost and assist inventory valuation. [CORRECT ANSWER]**
- B) Determining the individual market value of common stock shares.
- C) Filing annual municipal business permits and local taxes.
- D) Negotiating collective bargaining agreements with labor unions.

Solution / Rationale: Correct Answer: A.

Cost Accounting focuses on measuring, recording, and analyzing manufacturing costs (materials, labor, overhead) to determine unit costs for inventory valuation and management cost control.

Item 248 [reinf-u1-15] | Reinforcement 1.15: Tax Accounting Role - 1 pt

What are the primary responsibilities of accountants specializing in Tax Accounting?

- A) Verifying internal compliance with factory worker safety standards.
- B) Conducting physical counts of warehouse inventory on New Year's Eve.
- C) Sponsoring trade union negotiations.
- D) Preparing tax returns, ensuring compliance with Bureau of Internal Revenue (BIR) regulations, and providing strategic tax planning. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Tax Accounting deals with tax compliance (filing accurate income, VAT, and withholding tax returns) and tax planning to legally minimize tax liability under the National Internal Revenue Code (NIRC).

Item 249 [reinf-u1-16] | Reinforcement 1.16: Accounting Information System (AIS) - 1 pt

An Accounting Information System (AIS) is defined as:

- A) A social media platform used by corporate employees to discuss payroll.
- B) A regulatory agency operated by the Department of Finance.
- C) A manual ledger book used only in rural agricultural cooperatives.

D) A system that a business uses to collect, store, manage, process, retrieve, and report its financial and operational data for decision-makers. [CORRECT ANSWER]

Solution / Rationale: Correct Answer: D.

An Accounting Information System (AIS) is the structured combination of personnel, procedures, software, hardware, and internal controls that collects, stores, processes, and reports financial data.

Item 250 [reinf-u1-17] | Reinforcement 1.17: Forensic Accounting Scope - 1 pt

When an accounting professional investigates corporate embezzlement, hidden assets, money laundering, or financial fraud for courtroom litigation, they are practicing:

A) Forensic Accounting [CORRECT ANSWER]

- B) Tax Accounting
- C) Accounting Education
- D) Cost Accounting

Solution / Rationale: Correct Answer: A.

Forensic Accounting integrates accounting, auditing, and investigative skills to uncover fraud, embezzlement, and financial crimes, producing evidence suitable for legal proceedings.

Item 251 [reinf-u1-18] | Reinforcement 1.18: Accounting Education Branch - 1 pt

Which specialized branch of accounting is dedicated to teaching, academic curriculum design, professional CPA board exam reviews, and academic research?

A) Government Accounting

B) Accounting Education [CORRECT ANSWER]

- C) Management Accounting
- D) Public Assurance

Solution / Rationale: Correct Answer: B.

Accounting Education focuses on teaching accounting concepts in colleges and universities, developing textbooks, and conducting research to advance the accounting profession.

Item 252 [reinf-u1-19] | Reinforcement 1.19: Government Accounting Custodianship - 1 pt

Government Accounting in the Philippines is primarily characterized by:

A) Maximizing corporate profits for state-owned casinos.

B) Determining the credit ratings of private commercial banks.

C) The custody, administration, and proper accounting of public funds and property in accordance with state budget laws and Commission on Audit (COA) rules. [CORRECT ANSWER]

D) Speculating in foreign currency derivative exchanges.

Solution / Rationale: Correct Answer: C.

Government Accounting focuses on the custody, administration, and accounting of public funds and government property, ensuring adherence to national budget appropriations and COA regulations.

Item 253 [reinf-u1-20] | Reinforcement 1.20: Role of Private Accounting (Commerce & Industry) - 1 pt

An accountant employed as a full-time internal controller or chief accountant for a private commercial airline works in which area of practice?

A) Commerce and Industry (Private Accounting) [CORRECT ANSWER]

- B) Public Accounting
- C) Government Accounting
- D) Judicial Accounting

Solution / Rationale: Correct Answer: A.

Accountants who are employed on the payroll of private commercial businesses (e.g. corporations, partnerships) practice in Commerce and Industry (Private Accounting).

Item 254 [reinf-u1-21] | Reinforcement 1.21: Primary Users of Financial Statements - 1 pt

Under Chapter 1, Section 1.5 of the IFRS Conceptual Framework, who are designated as the PRIMARY USERS of general-purpose financial reports?

- A) Company employees, trade unions, and competitor businesses
- B) The Bureau of Internal Revenue (BIR) and Department of Finance
- C) Internal department managers and factory supervisors

D) Existing and potential investors, lenders, and other creditors [CORRECT ANSWER]

Solution / Rationale: Correct Answer: D.

Under IFRS Conceptual Framework 1.5, the Primary Users are existing and potential Investors, Lenders, and Other Creditors who cannot demand customized reports and must rely on general-purpose financial statements.

Item 255 [reinf-u1-22] | Reinforcement 1.22: Information Needs of Investors - 1 pt

Why do existing and potential equity investors primarily analyze a company's financial statements?

- A) To ensure that the business complies with local municipal sanitary permits.
- B) To evaluate the entity's profitability, financial stability, and risk-return profile to make decisions about buying, holding, or selling shares. [CORRECT ANSWER]**
- C) To calculate the hourly overtime wages owed to factory workers.
- D) To verify that the business pays proper property taxes to the city hall.

Solution / Rationale: Correct Answer: B.

Investors analyze financial statements to assess the entity's ability to generate future cash flows, declare dividends, and achieve capital growth to make buy, hold, or sell investment decisions.

Item 256 [reinf-u1-23] | Reinforcement 1.23: Information Needs of Lenders and Creditors - 1 pt

Commercial banks and trade creditors examine a borrower's financial statements primarily to determine:

- A) If the business will expand its product lines into other countries.
- B) If the company's advertising campaign was creatively designed.
- C) Whether the principal and interest on loans will be paid when due, and to establish credit terms and credit limits. [CORRECT ANSWER]**
- D) The political campaign contributions made by the company founder.

Solution / Rationale: Correct Answer: C.

Lenders and Creditors focus on liquidity and solvency: they need assurance that the borrower has sufficient cash resources to pay principal and interest on time.

Item 257 [reinf-u1-24] | Reinforcement 1.24: Internal Users Defined - 1 pt

Which of the following decision-makers is categorized as an INTERNAL USER of accounting information?

- A) Bank loan evaluation committee
- B) Bureau of Internal Revenue tax auditor
- C) Potential retail stock investor
- D) Operations Chief Executive Officer (CEO) and department managers [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Internal Users are individuals inside the organization who plan, organize, and run the business (e.g. CEOs, CFOs, department managers, plant supervisors).

Item 258 [reinf-u1-25] | Reinforcement 1.25: Distinction: External Users - 1 pt

All of the following are categorized as external users of financial statements EXCEPT:

- A) Financial analysts at investment brokerage firms
- B) Trade suppliers providing goods on 30-day credit
- C) Institutional debt bondholders
- D) Corporate store branch managers and department heads [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Branch managers and department heads are internal users. Financial analysts, suppliers, and bondholders are external stakeholders.

Item 259 [reinf-u1-26] | Reinforcement 1.26: Information Needs of Employees - 1 pt**Employees and employee labor unions are interested in financial statements primarily to:**

- A) Ensure that the company is charging fair prices to retail customers.
- B) Inspect the company's confidential competitive customer contact list.
- C) Assess the stability, profitability, and continuity of their employer to negotiate salaries, retirement benefits, and profit-sharing. [CORRECT ANSWER]**
- D) Verify compliance with international shipping treaties.

Solution / Rationale: Correct Answer: C.

Employees and labor unions need financial information to assess employer job security, wage payment capability, and profitability for collective bargaining negotiations.

Item 260 [reinf-u1-27] | Reinforcement 1.27: Role of the Securities and Exchange Commission (SEC) - 1 pt**What is the primary role of the Securities and Exchange Commission (SEC) in relation to accounting information?**

- A) To collect annual corporate income taxes for the national treasury.
- B) To manage corporate employee retirement pension funds.
- C) To oversee, regulate, and enforce full financial disclosure by publicly listed companies and registered corporations to protect investors and market integrity. [CORRECT ANSWER]**
- D) To print and issue legal currency banknotes.

Solution / Rationale: Correct Answer: C.

The SEC is the national regulatory agency that enforces compliance with reporting standards (PFRS), ensures corporate transparency, and protects public investors against deceptive financial reporting.

Item 261 [reinf-u1-28] | Reinforcement 1.28: Information Needs of Tax Authorities (BIR) - 1 pt**Tax authorities (such as the Bureau of Internal Revenue in the Philippines) examine financial statements to:**

- A) Ensure corporate shares are trading at fair market values on the stock exchange.
- B) Verify taxable net income and ensure accurate assessment and compliance with applicable tax laws. [CORRECT ANSWER]**
- C) Formulate corporate product advertising budgets.
- D) Guarantee commercial bank loans for private entrepreneurs.

Solution / Rationale: Correct Answer: B.

The BIR examines accounting records to verify that taxable income, gross sales, and allowable deductions comply with the Tax Code to assess proper taxes.

Item 262 [reinf-u1-29] | Reinforcement 1.29: Customers as Accounting Users - 1 pt**Why would major corporate customers review the financial statements of their key product suppliers?**

- A) To inspect the supplier's personal family expenditures.
- B) To evaluate the supplier's financial stability and going-concern capability to ensure long-term continuous supply and post-sale warranty service. [CORRECT ANSWER]**
- C) To determine the supplier's internal payroll deductions.
- D) To set the supplier's corporate tax rate.

Solution / Rationale: Correct Answer: B.

Customers, especially long-term or wholesale clients, review supplier financial health to verify they will not suddenly collapse or disrupt supply chains.

Item 263 [reinf-u1-30] | Reinforcement 1.30: Financial Intermediaries as Users - 1 pt**Credit-rating agencies (such as PhilRatings, Moody's, and S&P) use accounting information primarily to:**

- A) Direct day-to-day warehouse operations.
- B) Elect members of the company's Board of Directors.
- C) File corporate annual income tax returns.
- D) Formulate opinions and assign credit ratings regarding an entity's creditworthiness and ability to make timely principal and interest payments on debt. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Credit-rating agencies analyze financial statements to publish credit ratings that inform debt markets whether an entity can service its debt obligations.

Item 264 [reinf-u1-31] | Reinforcement 1.31: Sole Proprietorship Characteristics - 1 pt**Which of the following is a defining operational and legal feature of a Sole Proprietorship?**

- A) It is owned by two or more partners who divide profits equally.
- B) It has perpetual legal existence that continues regardless of the owner's death.
- C) Ownership is divided into transferable corporate shares of stock.
- D) It is owned by an individual who takes all business profits and personally assumes all business losses and debts with unlimited liability. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

A Sole Proprietorship is owned by a single individual who enjoys all profits, absorbs all losses, and has unlimited personal liability for business debts.

Item 265 [reinf-u1-32] | Reinforcement 1.32: Unlimited Liability in Sole Proprietorship - 1 pt**What does 'unlimited liability' mean for a sole proprietor under Philippine law?**

- A) Creditors can never demand payment beyond the cash currently in the business cash register.
- B) The owner is legally exempt from paying debts if the business goes bankrupt.
- C) If business assets are insufficient to settle debts, creditors can legally claim the owner's personal personal assets (home, car, savings) to satisfy unpaid obligations. [CORRECT ANSWER]**
- D) The owner can issue common stock to pay off bank loans.

Solution / Rationale: Correct Answer: C.

Unlimited liability means the business owner is personally liable for all business obligations to the full extent of their personal assets outside the business.

Item 266 [reinf-u1-33] | Reinforcement 1.33: Partnership Statutory Definition (Art. 1767) - 1 pt**Under Article 1767 of the Civil Code of the Philippines, what may partners legally contribute to the common fund of a partnership?**

- A) Only Philippine Peso currency.
- B) Only real estate with registered land titles.
- C) Money, property, or industry (labor/skills). [CORRECT ANSWER]**
- D) Only publicly traded shares of stock.

Solution / Rationale: Correct Answer: C.

Article 1767 states: 'By the contract of partnership two or more persons bind themselves to contribute money, property, or industry to a common fund, with the intention of dividing the profits among themselves.'

Item 267 [reinf-u1-34] | Reinforcement 1.34: Partnership Agreement Provisions - 1 pt**Which provision is standardly stipulated in the formal Articles of Co-Partnership (partnership agreement)?**

- A) The election of corporate independent directors.
- B) Mandatory listing on the Philippine Stock Exchange.
- C) The appointment of a government auditor as company CEO.
- D) Capital contributions, profit and loss sharing ratios, partner salaries, and partner drawing rights. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

A partnership agreement standardly covers: capital contributions, profit/loss sharing ratios, partner salaries/bonuses, interest on capital/drawings, and management duties.

Item 268 [reinf-u1-35] | Reinforcement 1.35: Partnership Dissolution Causes (Art. 1830) - 1 pt**Under Article 1830 of the Civil Code of the Philippines, which event automatically causes the legal dissolution of a general partnership?**

- A) Hiring a new branch sales manager.
- B) The death, insolvency, or civil interdiction of any partner. [CORRECT ANSWER]**
- C) A temporary 5% decline in monthly service revenue.
- D) Opening a corporate bank checking account.

Solution / Rationale: Correct Answer: B.

A partnership has limited life and dissolves upon: the death, insolvency, or civil interdiction of any partner, the termination of the agreed term, or the withdrawal of any partner (Art. 1830).

Item 269 [reinf-u1-36] | Reinforcement 1.36: Statutory Definition of Corporation (RCC Sec. 2) - 1 pt

Under Section 2 of the Revised Corporation Code of the Philippines (RA 11232), a corporation is defined as:

- A) A verbal association between two individuals to divide retail goods.
- B) An agency of the Department of Trade and Industry.
- C) A commercial bank owned by municipal depositors.
- D) An artificial being created by operation of law, having the right of succession and the powers, attributes and properties expressly authorized by law or incident to its existence. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Section 2 of RA 11232 explicitly defines a corporation as: 'an artificial being created by operation of law, having the right of succession and the powers, attributes and properties expressly authorized by law or incident to its existence.'

Item 270 [reinf-u1-37] | Reinforcement 1.37: Separate Legal Entity of a Corporation - 1 pt

What does it mean that a corporation is a 'separate legal entity' apart from its owners?

- A) The owners are personally arrested whenever the corporation incurs an operating loss.
- B) The corporation cannot hire employees without presidential approval.
- C) The corporation is exempt from filing financial statements.
- D) The corporation can acquire property, incur debt, enter contracts, and sue or be sued in its own corporate name. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

A corporation has a distinct juridical personality: it conducts business, owns assets, incurs obligations, and sues/is sued in its own corporate name, independent of its stockholders.

Item 271 [reinf-u1-38] | Reinforcement 1.38: Limited Liability of Stockholders - 1 pt

What is the primary financial advantage of 'limited liability' for stockholders in a corporation?

- A) Stockholders are not personally liable for corporate debts; their financial loss is strictly limited to the amount they invested in their shares. [CORRECT ANSWER]**
- B) Stockholders never pay income taxes on their personal wages.
- C) Stockholders are legally guaranteed annual cash dividend returns.
- D) Stockholders can take merchandise from the company without paying.

Solution / Rationale: Correct Answer: A.

Limited liability ensures that shareholders cannot be held personally liable for the debts of the corporation. The maximum loss a shareholder can suffer is the amount invested in their shares.

Item 272 [reinf-u1-39] | Reinforcement 1.39: Corporate Perpetual Existence (RCC Sec. 11) - 1 pt

Under Section 11 of the Revised Corporation Code of the Philippines, what is the default legal term of existence for corporations?

- A) Strictly 20 years with mandatory renewal.
- B) It dissolves automatically upon the death of the majority shareholder.
- C) Perpetual existence, unless its articles of incorporation provide otherwise. [CORRECT ANSWER]**
- D) Exactly 50 years with no extension allowed.

Solution / Rationale: Correct Answer: C.

Under Section 11 of RA 11232, a corporation has perpetual existence unless its articles of incorporation provide for a specific term. It does not dissolve upon the death of a shareholder.

Item 273 [reinf-u1-40] | Reinforcement 1.40: Regulated Professions Prohibition - 1 pt

Why does Philippine law and public policy prohibit regulated professions (such as Accountancy, Law, and Medicine) from incorporating as a standard business corporation?

- A) Because professionals do not know how to issue stock certificates.
- B) Because the BIR does not collect taxes from corporations.
- C) To prevent practicing professionals from using corporate limited liability as a shield to escape personal, civil, and ethical liability for malpractice. [CORRECT ANSWER]**
- D) Because professionals are not allowed to earn profits.

Solution / Rationale: Correct Answer: C.

Regulated professions cannot incorporate because public policy requires professionals to remain personally and strictly liable for their professional judgment and ethical duties, which corporate limited liability would compromise.

Item 274 [reinf-u1-41] | Reinforcement 1.41: General Professional Partnerships (GPP) - 1 pt

CPAs, lawyers, or medical doctors who wish to associate and practice their profession together under Philippine law typically organize as a:

A) General Professional Partnership (GPP) [CORRECT ANSWER]

- B) Publicly listed corporation on the stock exchange
- C) Mutual Savings Bank
- D) Non-stock foundation

Solution / Rationale: Correct Answer: A.

Professionals organize as a General Professional Partnership (GPP) (Civil Code Art. 1767), which is formed by two or more persons solely for the exercise of a common profession.

Item 275 [reinf-u1-42] | Reinforcement 1.42: Ownership Form Comparison Summary - 1 pt

Which comparison between a sole proprietorship, a partnership, and a corporation is 100% TRUE?

- A) A sole proprietorship has limited liability, while a corporation has unlimited liability.
- B) A partnership has perpetual existence, while a corporation dissolves upon the death of any director.
- C) A sole proprietorship has one owner; a partnership has two or more; a corporation can have one or more owners with limited liability and perpetual succession. [CORRECT ANSWER]**
- D) Corporations pay zero income taxes in the Philippines.

Solution / Rationale: Correct Answer: C.

Sole proprietorships are owned by 1 individual with unlimited liability; partnerships are owned by 2 or more partners; corporations can have 1 (One Person Corporation) or more shareholders, feature limited liability, and perpetual succession.

Item 276 [reinf-u1-43] | Reinforcement 1.43: Service Business Characterization - 1 pt

Which of the following enterprises is the best example of a SERVICE business?

- A) A professional dental clinic that renders teeth cleaning and oral surgery for a fee. [CORRECT ANSWER]**
- B) A retail supermarket that purchases canned goods to sell to shoppers.
- C) An automotive assembly plant that transforms steel and rubber into passenger cars.
- D) A furniture manufacturing factory producing mahogany dining tables.

Solution / Rationale: Correct Answer: A.

A Service business performs intangible activities or expert tasks for customers for a fee without manufacturing or selling physical inventory products (e.g. dental clinic, salon, law firm).

Item 277 [reinf-u1-44] | Reinforcement 1.44: Merchandising / Trading Business - 1 pt

What is the defining operational characteristic of a Merchandising (Trading) business?

- A) It buys finished goods from wholesalers or manufacturers and resells them to customers at a markup without changing their physical form. [CORRECT ANSWER]**
- B) It converts raw lumber into wooden chairs and desks.
- C) It provides intangible professional legal counseling for an hourly retainer.
- D) It extracts natural mineral ore from the earth.

Solution / Rationale: Correct Answer: A.

A Merchandising (Trading) business purchases finished merchandise and resells it to customers without physically altering the products (e.g. grocery stores, bookstore, appliance center).

Item 278 [reinf-u1-45] | Reinforcement 1.45: Manufacturing Business Activity - 1 pt

Which operational process is unique to a Manufacturing business as compared to a merchandising firm?

- A) Collecting cash from customers.
- B) Purchasing raw materials and utilizing factory labor and machinery to convert them into finished goods before sale. [CORRECT ANSWER]**
- C) Filing business tax permits with the city hall.
- D) Paying salaries to office employees.

Solution / Rationale: Correct Answer: B.

A Manufacturing business transforms raw materials into new finished products using labor and factory overhead before selling them to distributors or retailers.

Item 279 [reinf-u1-46] | Reinforcement 1.46: Inventory Absence in Service Firms - 1 pt

Why does a pure service enterprise (such as an auditing firm or tutorial center) standardly omit 'Merchandise Inventory' on its Statement of Financial Position?

- A) Because service businesses are prohibited by PFRS from owning any assets.
- B) Because service businesses sell intangible time, skill, and expertise rather than tangible goods held for resale. [CORRECT ANSWER]**
- C) Because service businesses never incur any expenses.
- D) Because all assets of a service business must be kept in physical cash.

Solution / Rationale: Correct Answer: B.

Service entities do not manufacture or trade physical merchandise; their primary output is intangible labor, consulting, or skills, so they do not maintain Merchandise Inventory.

Item 280 [reinf-u1-47] | Reinforcement 1.47: Hybrid Business Entities - 1 pt

An optical clinic examines patient vision (service) and also sells prescription eyeglasses and designer frames (merchandising). This entity is best described as:

- A) A pure manufacturing conglomerate
- B) A hybrid business combining service and merchandising operations [CORRECT ANSWER]**
- C) A non-profit charitable foundation
- D) A municipal public utility

Solution / Rationale: Correct Answer: B.

Many businesses are hybrid entities that combine business activities (e.g. providing an optometrist vision service while selling retail eyeglass frames and lenses).

Item 281 [reinf-u1-48] | Reinforcement 1.48: Luca Pacioli's Historic Contribution - 1 pt

Why is Franciscan friar Fra Luca Pacioli celebrated worldwide as the 'Father of Modern Accounting'?

- A) He published the first comprehensive printed treatise documenting the Venetian double-entry bookkeeping system in his 1494 work Summa de Arithmetica, Geometria, Proportioni et Proportionalita. [CORRECT ANSWER]**
- B) He invented the monetary currency of the Roman Empire.
- C) He was the first corporate CEO in Venice.
- D) He established the International Accounting Standards Board.

Solution / Rationale: Correct Answer: A.

Fra Luca Pacioli is celebrated as the Father of Modern Accounting because his 1494 mathematics work Summa de Arithmetica contained the first published, systematic description of the double-entry bookkeeping system used by Venetian merchants.

Item 282 [reinf-u1-49] | Reinforcement 1.49: Ancient Origins of Accounting - 1 pt

Historical and archaeological records confirm that the earliest accounting records date back thousands of years to ancient civilizations (such as Mesopotamia) for the primary purpose of:

- A) Keeping systematic track of agricultural crop yields, temple storehouses, and livestock herd counts. [CORRECT ANSWER]**
- B) Calculating corporate income tax on internet transactions.
- C) Publishing quarterly stock market earnings per share.
- D) Issuing credit cards to commercial travelers.

Solution / Rationale: Correct Answer: A.

Ancient accounting records (such as clay tokens and cuneiform tablets in Mesopotamia) were developed to track storehouse grain, agricultural harvests, cattle herds, and labor tribute.

Item 283 [reinf-u1-50] | Reinforcement 1.50: The Business Entity Concept in Practice - 1 pt

Under the Business Entity Concept introduced in Unit 1, if a sole proprietor uses business cash to pay for his daughter's private school tuition, how must this transaction be recorded on the business books?

- A) As an Employee Educational Expense of the business on the Statement of Profit or Loss
- B) As an increase in Business Accounts Receivable owed by the daughter
- C) It should be completely omitted from the cash records because the owner owns the business
- D) As an Owner's Drawing (reduction of Owner's Equity), completely separated from business operating expenses [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Under the Business Entity Concept, personal family expenses must never be commingled with business operations. Paying personal school tuition with business cash decreases business Cash and must be recorded as Owner's Drawings, reducing Owner's Equity.

REINF U2 ASSESSMENT BATTERY

Item 284 [reinf-u2-01] | Reinforcement 2.1: The Two Fundamental Qualitative Characteristics - 1 pt

Under the IFRS Conceptual Framework for Financial Reporting, what are the TWO fundamental qualitative characteristics that make financial information useful to decision-makers?

- A) Timeliness and Understandability
- B) Relevance and Faithful Representation [CORRECT ANSWER]**
- C) Comparability and Verifiability
- D) Cost-Benefit and Materiality

Solution / Rationale: Correct Answer: B.

The two Fundamental Qualitative Characteristics are Relevance and Faithful Representation. Information must possess both characteristics to be useful.

Item 285 [reinf-u2-02] | Reinforcement 2.2: Relevance Defined - 1 pt

Financial information is considered 'Relevant' if it is capable of making a difference in the decisions made by users. To be relevant, information must possess:

- A) Physical tangibility and legal certification
- B) Predictive value, Confirmatory value, or both [CORRECT ANSWER]**
- C) Low preparation cost and mathematical certainty
- D) Daily updates and immediate tax approval

Solution / Rationale: Correct Answer: B.

Relevant financial information has Predictive value (serves as an input to predict future outcomes), Confirmatory value (provides feedback confirming or changing past evaluations), or both.

Item 286 [reinf-u2-03] | Reinforcement 2.3: Predictive Value in Action - 1 pt

When an investor uses a company's past three years of quarterly sales trends to forecast next year's cash flows and dividend potential, the sales information demonstrates which ingredient of relevance?

- A) Confirmatory value
- B) Predictive value [CORRECT ANSWER]**
- C) Prudence
- D) Indirect verifiability

Solution / Rationale: Correct Answer: B.

Information has Predictive value when it can be utilized by decision-makers as an input to anticipate, project, or forecast future economic outcomes.

Item 287 [reinf-u2-04] | Reinforcement 2.4: Confirmatory Value in Action - 1 pt

At the beginning of 2026, management budgeted annual operating expenses of Php 2,000,000. At year-end, the actual income statement showed operating expenses of Php 2,050,000, confirming the budget variance. This information exemplifies:

- A) Confirmatory value [CORRECT ANSWER]**
- B) Materiality
- C) Understandability
- D) Conservatism

Solution / Rationale: Correct Answer: A.

Information has Confirmatory value when it provides feedback that confirms, corrects, or modifies previous evaluations or expectations.

Item 288 [reinf-u2-05] | Reinforcement 2.5: Materiality as an Entity-Specific Aspect of Relevance - 1 pt

According to the Conceptual Framework, 'Materiality' is best described as:

- A) An entity-specific aspect of relevance based on the nature, magnitude, or both, of the items to which the information relates in the context of an individual entity's report. [CORRECT ANSWER]**
- B) A universal legal threshold of exactly Php 100,000 applicable to all enterprises.
- C) An enhancing qualitative characteristic related to physical auditing.
- D) A requirement to report every centavo spent on office coffee.

Solution / Rationale: Correct Answer: A.

Materiality is an entity-specific aspect of relevance: information is material if omitting, misstating, or obscuring it could reasonably be expected to influence decisions of primary users.

Item 289 [reinf-u2-06] | Reinforcement 2.6: The Three Components of Faithful Representation - 1 pt

To be a perfectly faithful representation of an economic phenomenon, a financial depiction must possess which three characteristics?

- A) Predictive value, Confirmatory value, and Materiality
- B) Comparable, Verifiable, and Timely
- C) Conservative, Liquid, and Profitable

D) Complete, Neutral, and Free from error [CORRECT ANSWER]

Solution / Rationale: Correct Answer: D.

A faithful representation must be: (1) Complete (all information necessary for understanding), (2) Neutral (unbiased selection/presentation), and (3) Free from error (no errors in description or process).

Item 290 [reinf-u2-07] | Reinforcement 2.7: Neutrality and the Exercise of Prudence - 1 pt

In the Conceptual Framework, 'Neutrality' is supported by the exercise of 'Prudence'. What does Prudence mean in this context?

- A) Deliberately understating assets and overstating liabilities to create hidden secret reserves for management.
- B) Choosing not to disclose negative news in the financial footnotes.
- C) The exercise of caution when making judgments under conditions of uncertainty, ensuring that assets or income are not overstated and liabilities or expenses are not understated. [CORRECT ANSWER]**
- D) Paying only half of the taxes assessed by the BIR.

Solution / Rationale: Correct Answer: C.

Prudence is the exercise of caution under uncertainty so that assets/income are not overstated and liabilities/expenses are not understated. It does not allow deliberate bias or secret reserves.

Item 291 [reinf-u2-08] | Reinforcement 2.8: Free from Error Defined - 1 pt

Does the requirement that financial information be 'Free from Error' mean that financial statements must be 100% mathematically exact in every respect?

- A) No, it means there are no errors or omissions in the description of the phenomenon and the process used to produce the reported information has been selected and applied without error. [CORRECT ANSWER]**
- B) Yes, any accounting estimate involving approximation violates PFRS.
- C) Yes, CPAs guarantee that no future changes will occur.
- D) No, it means accounting records are entirely subjective guesses.

Solution / Rationale: Correct Answer: A.

Free from error does not mean perfectly accurate (estimates like depreciation are unavoidable); it means the description is free from omission and the estimation process has been applied correctly.

Item 292 [reinf-u2-09] | Reinforcement 2.9: The Four Enhancing Qualitative Characteristics - 1 pt

Which of the following groups constitutes the FOUR Enhancing Qualitative Characteristics in financial reporting?

- A) Relevance, Completeness, Neutrality, and Verifiability
- B) Materiality, Going Concern, Monetary Unit, and Accrual
- C) Comparability, Verifiability, Timeliness, and Understandability [CORRECT ANSWER]**
- D) Historical Cost, Matching, Full Disclosure, and Prudence

Solution / Rationale: Correct Answer: C.

The four Enhancing Qualitative Characteristics that enhance the usefulness of relevant and faithfully represented information are: Comparability, Verifiability, Timeliness, and Understandability.

Item 293 [reinf-u2-10] | Reinforcement 2.10: Comparability and Consistency - 1 pt

How does 'Consistency' differ from 'Comparability' in accounting standards?

- A) Consistency is an assumption, while comparability is a modifying constraint.
- B) Consistency refers to the use of the same accounting methods for the same items from period to period, which helps achieve the broader goal of Comparability. [CORRECT ANSWER]**
- C) Consistency means comparing different companies, while comparability means comparing only one company.
- D) There is no difference; the terms are synonymous.

Solution / Rationale: Correct Answer: B.

Consistency is the means: using the same accounting policies for the same items from period to period or across entities. Comparability is the goal: enabling users to spot similarities and differences.

Item 294 [reinf-u2-11] | Reinforcement 2.11: Direct vs. Indirect Verifiability - 1 pt

Physically counting cash in a company vault or counting physical boxes of supplies is an example of:

- A) Indirect Verifiability
- B) Subjective Estimation
- C) Direct Verifiability [CORRECT ANSWER]**
- D) Historical Costing

Solution / Rationale: Correct Answer: C.

Direct Verifiability means verifying an amount through direct observation (e.g. counting physical cash or inventory). Indirect Verifiability checks model inputs and recalculates the formulas.

Item 295 [reinf-u2-12] | Reinforcement 2.12: Indirect Verifiability Illustrated - 1 pt

An auditor verifies an ending inventory valuation by checking unit purchase prices from supplier invoices, verifying freight costs, and checking the FIFO formula recalculation. This exemplifies:

- A) Direct Verifiability
- B) Indirect Verifiability [CORRECT ANSWER]**
- C) Uniformity
- D) Materiality

Solution / Rationale: Correct Answer: B.

Checking data inputs (invoices, shipping costs) and recalculating mathematical formulas to verify an output constitutes Indirect Verifiability.

Item 296 [reinf-u2-13] | Reinforcement 2.13: Timeliness in Financial Reporting - 1 pt

Why is the characteristic of 'Timeliness' critical for financial statement users?

- A) Because information received long after decisions must be made loses its capacity to influence economic choices. [CORRECT ANSWER]**
- B) Because the BIR imposes a 50% penalty if reports are printed in color.
- C) Because older information is automatically classified as fraudulent.
- D) Because all financial statements expire within 24 hours of issue.

Solution / Rationale: Correct Answer: A.

Timeliness means having information available to decision-makers in time to be capable of influencing their decisions. Stale information cannot influence current actions.

Item 297 [reinf-u2-14] | Reinforcement 2.14: Understandability and User Assumption - 1 pt

Does the characteristic of 'Understandability' mean that complex business transactions (such as multi-currency foreign exchange hedges) should be omitted from financial statements?

- A) No, financial reports are prepared for users who have a reasonable knowledge of business and economic activities and who review and analyze the information diligently. [CORRECT ANSWER]**
- B) Yes, financial reports should only contain simple transactions that anyone with no education can understand.
- C) Yes, complex items are strictly banned by PFRS.
- D) No, financial statements should only be readable by certified public accountants.

Solution / Rationale: Correct Answer: A.

Understandability assumes users have a reasonable knowledge of business and economic activities and review information diligently. Complex information should not be excluded merely because it is difficult.

Item 298 [reinf-u2-15] | Reinforcement 2.15: Hierarchy of Qualitative Characteristics - 1 pt

Can the enhancing qualitative characteristics (Comparability, Verifiability, Timeliness, Understandability) make financial information useful if the information is NOT relevant or NOT faithfully represented?

- A) Yes, as long as the information is presented with high comparability across 10 years.
- B) Yes, if verified by two independent auditors.
- C) Yes, if delivered in a timely manner within 5 days.
- D) No, enhancing qualitative characteristics cannot make information useful if that information is irrelevant or does not provide a faithful representation of what it purports to represent. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Enhancing characteristics can only enhance information that is already relevant and faithfully represented. They cannot make irrelevant or false data useful.

Item 299 [reinf-u2-16] | Reinforcement 2.16: Business Entity (Separate Entity) Assumption - 1 pt**The Business Entity (Separate Entity) Assumption dictates that:**

- A) An enterprise must be owned by at least five separate corporate shareholders.
- B) The business can only engage in transactions using physical cash.
- C) The business must close down every five years.
- D) The economic activities of a business enterprise are separate and distinct from the personal affairs of its owners and from any other commercial entity. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

The Business Entity Assumption requires that a business unit stands apart as a separate economic entity; its records must never be commingled with the owner's personal transactions.

Item 300 [reinf-u2-17] | Reinforcement 2.17: Entity Assumption: Personal Groceries - 1 pt

Maria, sole proprietor of a laundry service, uses Php 8,000 from the business cash register to buy weekly family groceries. Under the Separate Entity Assumption, how should this be recorded?

- A) As Maria, Drawings (reducing Owner's Equity), keeping personal spending out of business expenses [CORRECT ANSWER]**
- B) As a business Operating Food & Refreshment Expense on the Statement of Profit or Loss
- C) As an increase in Business Accounts Receivable
- D) No record should be made because Maria owns all the money anyway

Solution / Rationale: Correct Answer: A.

Personal expenditures paid with entity cash must be recorded as Owner's Drawings (withdrawal of capital), never as business operating expenses.

Item 301 [reinf-u2-18] | Reinforcement 2.18: Going Concern (Continuity) Assumption - 1 pt**The Going Concern (Continuity) Assumption presumes that:**

- A) An entity will shut down and liquidate all assets at pawnshop auction prices next month.
- B) In the absence of contrary evidence, the business will continue operating indefinitely into the foreseeable future and has neither the intention nor the necessity to liquidate its operations. [CORRECT ANSWER]**
- C) The business must generate a net profit in every single calendar quarter.
- D) All liabilities must be settled within 30 days.

Solution / Rationale: Correct Answer: B.

The Going Concern Assumption presumes the business will operate indefinitely, justifying the historical cost basis and systematic depreciation of long-term assets over their useful lives.

Item 302 [reinf-u2-19] | Reinforcement 2.19: Going Concern and Valuation of Plant Assets - 1 pt

Why does a company report delivery trucks at Historical Cost less Accumulated Depreciation rather than their immediate second-hand scrap liquidation values?

- A) Because second-hand resale prices are illegal to quote in the Philippines.
- B) Because depreciation is required by the Bureau of Customs.
- C) Because of the Going Concern Assumption, which assumes the trucks will be deployed in operations over their useful lives rather than sold off immediately in a panic liquidation. [CORRECT ANSWER]**
- D) Because plant assets never lose commercial market value.

Solution / Rationale: Correct Answer: C.

Under the Going Concern Assumption, assets acquired for long-term use are reported at cost less depreciation because they will generate future operational revenues, not liquidated immediately.

Item 303 [reinf-u2-20] | Reinforcement 2.20: When Going Concern is Broken - 1 pt

If a commercial company suffers severe irreversible insolvency, defaults on all debt, and enters involuntary judicial bankruptcy liquidation, what must happen to its financial statements?

- A) The going concern assumption is abandoned, and assets must be measured at their net realizable liquidation / market values. [CORRECT ANSWER]**
- B) It must continue using standard historical cost depreciation under PFRS.
- C) Financial reporting is permanently suspended and no records are kept.
- D) All liabilities are automatically wiped out without reporting.

Solution / Rationale: Correct Answer: A.

When an entity's going-concern status is no longer tenable, it must abandon the going-concern basis and report on a Liquidation Basis at net realizable (fire-sale) values.

Item 304 [reinf-u2-21] | Reinforcement 2.21: Monetary Unit Assumption: Unit of Measure - 1 pt**What is the primary operational mandate of the 'Unit of Measure' dimension of the Monetary Unit Assumption?**

- A) Accountants must measure all assets in physical kilograms and meters.
- B) All international transactions must be settled in gold coins.
- C) Financial statements must be published every 24 hours.
- D) Only transactions and economic events that can be stated and quantified in terms of a monetary currency unit (e.g. Philippine Peso) are recorded in the accounting records. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

The Monetary Unit Assumption requires money (Philippine Peso) as the common denominator to quantify and aggregate diverse economic activities in financial records.

Item 305 [reinf-u2-22] | Reinforcement 2.22: Inherent Limitation of Monetary Unit Assumption - 1 pt**Which valuable enterprise attribute is EXCLUDED from the Statement of Financial Position due to the Monetary Unit Assumption?**

- A) Cash deposited in commercial banks
- B) Superior customer service reputation, workforce morale, and managerial creativity [CORRECT ANSWER]**
- C) Outstanding customer Accounts Receivable
- D) Office computer workstations purchased for cash

Solution / Rationale: Correct Answer: B.

Because accounting records only monetary transactions, qualitative competitive assets like staff talent, brand prestige, and morale cannot be quantified in pesos and are omitted from the balance sheet.

Item 306 [reinf-u2-23] | Reinforcement 2.23: Stable Monetary Unit Concept - 1 pt**The 'Stable Monetary Unit' concept assumes that:**

- A) Currency exchange rates never fluctuate.
- B) The government revalues all business inventory every Friday.
- C) The Philippine Peso's purchasing power remains relatively stable over time, so standard accounting ignores general inflation and treats historical pesos as identical units. [CORRECT ANSWER]**
- D) Bank interest rates are always zero percent.

Solution / Rationale: Correct Answer: C.

Under the Stable Monetary Unit Concept, accounting assumes the purchasing power of the currency is constant over time, ignoring normal inflation for basic historical reporting.

Item 307 [reinf-u2-24] | Reinforcement 2.24: Time Period (Periodicity) Assumption - 1 pt**The Time Period (Periodicity) Assumption is essential because:**

- A) It requires companies to operate for only 12 months before permanently closing.
- B) It forces all transactions to be settled strictly on the first day of every month.
- C) It mandates that all employees take annual leaves simultaneously.
- D) It artificially subdivides the continuous, indefinite operating life of an enterprise into equal calendar intervals (monthly, quarterly, annually) to provide timely financial reports to decision-makers. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Periodicity artificially slices continuous business life into discrete time periods (e.g. year, quarter, month) so stakeholders can receive regular progress checkups.

Item 308 [reinf-u2-25] | Reinforcement 2.25: Calendar Year vs. Fiscal Year - 1 pt**What is the difference between a 'Calendar Year' and a 'Fiscal Year'?**

- A) A calendar year has 365 days; a fiscal year has only 180 days.
- B) A calendar year is used only by sole proprietors; a fiscal year is used only by public schools.
- C) There is no difference; they both must begin on January 1.
- D) A calendar year runs from January 1 to December 31; a fiscal year is any consecutive 12-month period ending on the last day of any other month chosen by the entity. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

A Calendar Year begins January 1 and ends December 31. A Fiscal Year is any consecutive 12-month accounting period ending on a different month-end (e.g. July 1 to June 30).

Item 309 [reinf-u2-26] | Reinforcement 2.26: Statement Most Dependent on Periodicity - 1 pt**Which financial statement is most fundamentally dependent upon the Time Period Assumption?**

- A) Post-closing Trial Balance
- B) Articles of Incorporation
- C) Statement of Profit or Loss (Income Statement) [CORRECT ANSWER]**
- D) Bank Reconciliation Statement

Solution / Rationale: Correct Answer: C.

The Statement of Profit or Loss measures financial performance (revenues earned minus expenses incurred) over a specific artificial slice of time (e.g., 'For the Year Ended December 31, 2026').

Item 310 [reinf-u2-27] | Reinforcement 2.27: Accrual Basis Assumption Core Rule - 1 pt**Under the Accrual Basis Assumption, when must revenues and expenses be recognized in the accounting records?**

- A) Revenues when cash is received; expenses when cash is paid out.
- B) Only at the end of the 5-year operating cycle.
- C) Revenues when earned (goods delivered or services performed) and expenses when incurred (consumed/utilized), regardless of when cash is received or paid. [CORRECT ANSWER]**
- D) When the bank manager authorizes the transaction.

Solution / Rationale: Correct Answer: C.

Under the Accrual Basis, the economic event dictates recognition: revenues are recognized when earned and expenses when incurred, regardless of physical cash movements.

Item 311 [reinf-u2-28] | Reinforcement 2.28: Accrual vs. Cash Basis Contrast - 1 pt**A consulting firm completes a project in December 2026 and bills the client Php 100,000. The client pays the cash in February 2027.****Under the accrual basis of accounting, in which year is the revenue recognized?**

- A) 2027 when the cash arrives in the bank account
- B) 2026 when the consulting service was actually completed and earned [CORRECT ANSWER]**
- C) Divided equally as Php 50,000 in 2026 and Php 50,000 in 2027
- D) Never recognized because it was not paid in cash on the spot

Solution / Rationale: Correct Answer: B.

Under accrual accounting, revenue is recognized in 2026 because that is when the performance obligation was completed and the revenue was earned, even though cash was collected in 2027.

Item 312 [reinf-u2-29] | Reinforcement 2.29: Historical Cost Principle Mandate - 1 pt**The Historical Cost Principle dictates that assets acquired by an enterprise must originally be recorded at:**

- A) The estimated future liquidation price after 10 years of inflation.
- B) The actual exchange price agreed upon and paid in an arm's-length cash transaction at the acquisition date. [CORRECT ANSWER]**
- C) The highest appraisal value provided by a certified real estate broker.
- D) The replacement cost quoted in current foreign supplier catalogues.

Solution / Rationale: Correct Answer: B.

The Historical Cost Principle requires that assets be recorded at the actual cash or cash-equivalent exchange price paid at the date of acquisition because it is objective and verifiable.

Item 313 [reinf-u2-30] | Reinforcement 2.30: Historical Cost vs. Appraisals and Purchase Offers - 1 pt**A company purchased land in 2020 for Php 5,000,000. In 2026, an appraiser values it at Php 8,000,000, and a prospective buyer offers Php 7,500,000 in cash. At what amount must the land be presented on the 2026 Statement of Financial Position?**

- A) Php 8,000,000 (Appraisal value)
- B) Php 7,500,000 (Prospective buyer offer)
- C) Php 6,833,333 (Average of all three figures)
- D) Php 5,000,000 (Historical acquisition cost) [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Under the Historical Cost Principle, market appraisals and informal purchase offers are ignored; the land remains reported at its historical acquisition cost of Php 5,000,000.

Item 314 [reinf-u2-31] | Reinforcement 2.31: Revenue Recognition Principle Rule - 1 pt

Under the Revenue Recognition Principle, revenue is recognized when:

- A) A customer signs an informal letter of intent expressing interest.
- B) Cash is deposited into the company vault, even if the service will be performed next year.
- C) The company needs to show a profit to satisfy bank loan covenants.
- D) Goods are delivered or services are performed (the performance obligation is satisfied), regardless of when cash is received. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

The Revenue Recognition Principle requires revenue to be recognized when it is earned - specifically when services are rendered or goods are delivered to the customer.

Item 315 [reinf-u2-32] | Reinforcement 2.32: Advance Cash Collections (Unearned Revenue) - 1 pt

A tutorial academy collects Php 30,000 cash in October for a 3-month review course that will be delivered in November, December, and January. In October, how should this Php 30,000 cash receipt be recorded?

- A) As Service Revenue earned on the October Income Statement
- B) As Owner's Capital investment
- C) As Unearned Service Revenue (a Current Liability), because the service has not yet been rendered [CORRECT ANSWER]**
- D) As an Prepaid Expense asset

Solution / Rationale: Correct Answer: C.

Collecting cash before services are performed creates an obligation to deliver future services, recognized as Unearned Revenue (a Current Liability), not revenue.

Item 316 [reinf-u2-33] | Reinforcement 2.33: The Matching Principle Concept - 1 pt

What is the fundamental objective of the Matching Principle in accounting?

- A) Ensuring that total debit amounts match total credit amounts on the trial balance.
- B) Ensuring that current assets equal current liabilities at year-end.
- C) Directing that expenses incurred in generating revenues must be recognized and matched against those revenues in the exact same accounting period. [CORRECT ANSWER]**
- D) Matching corporate income tax rates with neighboring countries.

Solution / Rationale: Correct Answer: C.

The Matching Principle requires that expenses incurred to produce revenues must be recognized in the same period as the revenues they helped create, determining accurate net income.

Item 317 [reinf-u2-34] | Reinforcement 2.34: Matching Principle: Referral Fee Example - 1 pt

A medical diagnostic clinic pays a partner clinic a referral fee of Php 1,500 for directing a patient whose laboratory tests generated Php 10,000 in service revenue in May. Matching demands that:

- A) The Php 1,500 fee be expensed next year when taxes are filed.
- B) The referral fee be capitalized as a 10-year intangible asset.
- C) The laboratory revenue be deferred until all clinics agree.
- D) The Php 1,500 Referral Expense be recognized in May against the Php 10,000 revenue it helped generate. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Under the Matching Principle, the referral expense directly caused the generation of the May laboratory revenue, so it must be recognized as an expense in May.

Item 318 [reinf-u2-35] | Reinforcement 2.35: Three Expense Recognition Modes - 1 pt

Which of the following illustrates the 'Systematic and Rational Allocation' mode of the Matching Principle?

- A) Expensing sales commissions in the month sales occur (Cause and effect).
- B) Depreciating an office delivery van systematically over its 5-year estimated useful life. [CORRECT ANSWER]**
- C) Expensing administrative office utility bills immediately in the month incurred.
- D) Charging an owner's personal vacation to drawings.

Solution / Rationale: Correct Answer: B.

Systematic and rational allocation spreads the cost of long-lived assets that benefit multiple periods (e.g. depreciation of equipment or amortization of patents) across their useful lives.

Item 319 [reinf-u2-36] | Reinforcement 2.36: Immediate Recognition Mode of Expense - 1 pt

Why are executive administrative salaries and advertising campaigns expensed immediately in the period incurred rather than capitalized as assets?

- A) Because the Revised Corporation Code forbids paying salaries.
- B) Because advertising is not a legal business transaction.
- C) Because administrative staff have unlimited personal liability.

D) Because they provide no direct, measurable cause-and-effect link to specific future revenue streams. [CORRECT ANSWER]

Solution / Rationale: Correct Answer: D.

When costs produce no discernable future economic benefits or cannot be reliably linked to specific future revenues, they are recognized as expenses immediately (Immediate Recognition mode).

Item 320 [reinf-u2-37] | Reinforcement 2.37: Full Disclosure Principle Objective - 1 pt

What is the primary objective of the Full Disclosure Principle in financial reporting?

- A) Publishing the private home phone numbers of all corporate shareholders.
- B) Disclosing trade secrets to competing businesses.
- C) Printing copies of every single individual sales receipt.

D) Providing all relevant information that is significant enough to influence the judgment and decisions of informed financial statement users, typically via accompanying Notes to Financial Statements. [CORRECT ANSWER]

Solution / Rationale: Correct Answer: D.

The Full Disclosure Principle requires reporting all necessary information (via financial statement line items and accompanying explanatory notes) to give users an informed, transparent picture.

Item 321 [reinf-u2-38] | Reinforcement 2.38: Vehicle of Full Disclosure: The Notes - 1 pt

Significant accounting policies (such as measurement bases and depreciation methods), major pending lawsuits, and disaggregated schedules are disclosed through which medium?

- A) The Notes to Financial Statements [CORRECT ANSWER]**
- B) The General Journal
- C) The Municipal Business Permit
- D) The Trial Balance

Solution / Rationale: Correct Answer: A.

The Notes to Financial Statements are an integral part of the financial statements used to fulfill the Full Disclosure Principle by detailing accounting policies, breakdowns, and contingencies.

Item 322 [reinf-u2-39] | Reinforcement 2.39: Materiality Constraint Application - 1 pt

A nationwide department store chain with annual revenues of Php 500,000,000 purchases an electronic desk calculator for Php 600 with an estimated useful life of 3 years. Instead of recording it as an asset and depreciating it over 36 months, the bookkeeper expenses the entire Php 600 immediately. Which constraint justifies this?

- A) The Historical Cost Principle
- B) The Going Concern Assumption
- C) The Materiality Constraint [CORRECT ANSWER]**
- D) The Stable Monetary Unit Concept

Solution / Rationale: Correct Answer: C.

Under the Materiality Constraint, an item whose monetary amount is trivial (immaterial) relative to the enterprise's size may be expensed immediately to save bookkeeping time without misleading users.

Item 323 [reinf-u2-40] | Reinforcement 2.40: Cost-Benefit Constraint (Pervasive Constraint) - 1 pt

Which modifying constraint is designated as the 'Pervasive Constraint' in financial reporting?

- A) The Materiality Constraint
- B) The Industry Practice Constraint
- C) The Cost-Benefit Constraint [CORRECT ANSWER]**
- D) The Conservatism Constraint

Solution / Rationale: Correct Answer: C.

The Cost-Benefit Constraint is the pervasive constraint: the benefits derived from providing financial information should justify and exceed the costs of collecting and preparing it.

Item 324 [reinf-u2-41] | Reinforcement 2.41: Application of Cost-Benefit - 1 pt

Why do companies not hire independent valuation experts every evening to revalue every desk, chair, and printer in the office?

A) Because the cost of daily professional appraisal would vastly exceed any possible decision-making benefit to financial statement users. [CORRECT ANSWER]

B) Because the law prohibits hiring valuation appraisers.

C) Because furniture never wears out.

D) Because office equipment is not an asset.

Solution / Rationale: Correct Answer: A.

Under the Cost-Benefit Constraint, the massive cost of daily appraisals provides virtually no useful benefit over systematic historical depreciation.

Item 325 [reinf-u2-42] | Reinforcement 2.42: The Doctrine of Conservatism (Prudence) - 1 pt

What is the traditional operational guideline of the doctrine of Conservatism (Prudence)?

A) Always record revenues as early as possible and delay expenses until cash is paid.

B) Always report the highest possible asset values to please investors.

C) Anticipate no profits or gains, but provide for all possible or probable losses. [CORRECT ANSWER]

D) Avoid recording any liabilities on the balance sheet.

Solution / Rationale: Correct Answer: C.

Conservatism traditionally dictates: 'Anticipate no profits, but provide for all probable losses.' When in doubt, choose the accounting solution least likely to overstate assets and income.

Item 326 [reinf-u2-43] | Reinforcement 2.43: Conservatism in Accounting Choices - 1 pt

When two equally acceptable GAAP accounting methods exist for valuing an asset under uncertainty, Conservatism dictates that the accountant should choose the method that:

A) Results in the lowest or least optimistic asset valuation or income figure [CORRECT ANSWER]

B) Results in the highest net income for the year

C) Requires the most complex mathematical formulas

D) Eliminates the need to file tax returns

Solution / Rationale: Correct Answer: A.

When faced with reasonable alternatives, Conservatism guides the accountant to choose the alternative least likely to overstate net assets and net income.

Item 327 [reinf-u2-44] | Reinforcement 2.44: Misuse of Conservatism - 1 pt

Does the doctrine of Conservatism permit management to deliberately understate assets or create secret hidden reserves to smooth future earnings?

A) No, deliberate understatement violates neutrality and faithful representation; conservatism only guides reasonable judgment under genuine uncertainty. [CORRECT ANSWER]

B) Yes, management has full freedom to understate assets at will.

C) Yes, because understating assets is always harmless to creditors.

D) Yes, if approved by the internal bookkeeper.

Solution / Rationale: Correct Answer: A.

Conservatism does not allow deliberate understatement of assets or overstatement of liabilities (which violates Neutrality and creates secret reserves).

Item 328 [reinf-u2-45] | Reinforcement 2.45: Industry Practice (Peculiarities) Constraint - 1 pt

Why are specific deviations from standard accounting practices permitted under the 'Industry Practice' modifying constraint?

A) Because large industries are exempt from accounting standards.

B) Because certain specialized industries (e.g. agriculture, commercial banking, public utilities) face unique economic conditions, statutory regulations, or operational risks where standard rules would yield misleading information. [CORRECT ANSWER]

C) Because the BIR does not audit specialized industries.

D) Because manufacturing firms are allowed to ignore expenses.

Solution / Rationale: Correct Answer: B.

Industry Practice acknowledges that unique operational characteristics of specialized industries (e.g. agricultural biological assets, extractive mining) warrant tailored accounting practices.

Item 329 [reinf-u2-46] | Reinforcement 2.46: The Substance Over Form Doctrine - 1 pt

The accounting doctrine of 'Substance Over Form' requires that transactions be accounted for and presented in accordance with:

- A) Their strict legal technical form, ignoring the economic reality.
- B) Their true economic substance and financial reality, rather than merely their legal form. [CORRECT ANSWER]**
- C) The oral promises made by sales executives.
- D) The political preferences of government leaders.

Solution / Rationale: Correct Answer: B.

Substance Over Form dictates that if economic substance differs from legal form, accounting records must reflect the underlying economic reality of the transaction.

Item 330 [reinf-u2-47] | Reinforcement 2.47: The Objectivity Principle - 1 pt

What does the Objectivity Principle require regarding accounting entries and financial reports?

- A) Entries must be based entirely on the personal opinions and feelings of corporate managers.
- B) Entries must be supported by verifiable, objective business evidence (such as official receipts, bank deposit slips, contracts, and supplier invoices) free from subjective bias. [CORRECT ANSWER]**
- C) Financial reports must only be published once every 10 years.
- D) Accounting records should be kept secret from external auditors.

Solution / Rationale: Correct Answer: B.

The Objectivity Principle requires financial statements to be grounded in verifiable documentary evidence, ensuring independent observers would reach similar conclusions.

Item 331 [reinf-u2-48] | Reinforcement 2.48: Matching Concept in Service Firms - 1 pt

A tutorial academy receives an electricity bill from Meralco on December 28, 2026 for power consumed in December. The bill is due for payment on January 15, 2027. Under accrual accounting and the matching principle, when must this electricity expense be recorded?

- A) In December 2026 when the electricity was consumed to operate the classrooms and generate December tuition revenues [CORRECT ANSWER]**
- B) In January 2027 when the cash payment is made
- C) Never, because utility bills are not considered business expenses
- D) In November 2026 when the meter was read

Solution / Rationale: Correct Answer: A.

Under accrual accounting and the matching principle, the electricity was consumed in December to support December operations, so it must be recognized as an expense in December 2026.

Item 332 [reinf-u2-49] | Reinforcement 2.49: Revenue Earned on Account - 1 pt

On December 20, 2026, an air conditioning repair service repairs 5 cooling units for a corporate client and issues a billing invoice for Php 25,000 with 30-day payment terms. The client has not paid by December 31, 2026. What must the repair business report on its 2026 financial statements?

- A) Service Revenue of Php 25,000 on the 2026 Income Statement and Accounts Receivable of Php 25,000 on the Balance Sheet [CORRECT ANSWER]**
- B) Zero revenue because no cash was collected
- C) A liability of Php 25,000 because the client owes money
- D) An operating loss of Php 25,000

Solution / Rationale: Correct Answer: A.

Because the repair service was completed in 2026, revenue was earned in 2026: recognize Service Revenue of Php 25,000 (SPL) and an asset Accounts Receivable of Php 25,000 (SFP).

Item 333 [reinf-u2-50] | Reinforcement 2.50: Sole Proprietor Tax Payment Classification - 1 pt

A sole proprietor writes a check from the business bank account to pay his personal individual income tax return to the BIR. Under the separate business entity assumption, how should this transaction be classified?

- A) As an operating Business Income Tax Expense on the Statement of Profit or Loss
- B) As Professional Legal & Tax Fees of the enterprise
- C) As a Prepaid Tax Asset on the Statement of Financial Position
- D) As Owner's Drawings (a reduction of Owner's Equity), not an expense of the business entity [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Under the Business Entity Assumption, an individual proprietor's personal income tax is a personal debt, not an expense of the business. Paying it with entity funds is an Owner's Drawing.

REINF U3 ASSESSMENT BATTERY

Item 334 [reinf-u3-01] | Reinforcement 3.1: Five Primary Financial Statements - 1 pt

What are the primary financial statements that constitute a complete set of financial reports for a sole proprietorship?

- A) Sales Invoice, Purchase Order, Bill of Lading, and Cash Voucher
- B) Statement of Financial Position, Statement of Profit or Loss, Statement of Changes in Owner's Equity, Statement of Cash Flows, and Notes to Financial Statements [CORRECT ANSWER]**
- C) General Journal, General Ledger, Cash Receipts Journal, and Trial Balance
- D) Income Tax Return, Business Permit, and BIR Certificate of Registration

Solution / Rationale: Correct Answer: B.

A complete set of financial statements includes: (1) Statement of Financial Position, (2) Statement of Profit or Loss, (3) Statement of Changes in Owner's Equity, (4) Statement of Cash Flows, and (5) Notes to Financial Statements.

Item 335 [reinf-u3-02] | Reinforcement 3.2: Dating Convention: Snapshot vs. Period Flow - 1 pt

Which primary financial statement is dated as of a specific point in time (e.g. 'As of December 31, 2026') rather than for a period of time?

- A) Statement of Profit or Loss
- B) Statement of Financial Position (Balance Sheet) [CORRECT ANSWER]**
- C) Statement of Changes in Owner's Equity
- D) Statement of Cash Flows

Solution / Rationale: Correct Answer: B.

The Statement of Financial Position is a snapshot of financial condition as of a specific calendar date ('As of December 31, 2026'). The SPL, SOE, and SCF report activities over a period of time ('For the Year Ended...').

Item 336 [reinf-u3-03] | Reinforcement 3.3: Report Form vs. Account Form SFP - 1 pt

Which statement correctly describes the difference between the 'Report Form' and the 'Account Form' of the Statement of Financial Position?

- A) In the Report Form, assets are on the left and liabilities are on the right; in the Account Form, everything is listed vertically.
- B) In the Report Form, assets, liabilities, and owner's equity are presented in a continuous vertical cascade; in the Account Form, assets appear on the left and liabilities and equity appear on the right (mirroring the equation $A = L + OE$). [CORRECT ANSWER]**
- C) The Report Form is prepared only for government agencies, while the Account Form is used only for banks.
- D) The Account Form includes only revenues and expenses.

Solution / Rationale: Correct Answer: B.

The Report Form presents assets, liabilities, and equity in a continuous downward vertical format. The Account Form presents assets on the left side and liabilities and equity on the right side.

Item 337 [reinf-u3-04] | Reinforcement 3.4: Statement Articulation: Profit to Equity - 1 pt

How does the bottom-line Net Income from the Statement of Profit or Loss flow into the other financial statements?

- A) It flows into the Statement of Changes in Owner's Equity as an addition to owner's capital, which then determines ending equity on the Statement of Financial Position. [CORRECT ANSWER]**
- B) It flows directly into the cash receipts journal.
- C) It is deducted from total liabilities on the Statement of Financial Position.
- D) It is added to accumulated depreciation on non-current assets.

Solution / Rationale: Correct Answer: A.

Net Income from the Statement of Profit or Loss flows into the Statement of Changes in Owner's Equity, increasing ending capital, which is then reported under Owner's Equity on the Statement of Financial Position.

Item 338 [reinf-u3-05] | Reinforcement 3.5: Statement Articulation: Cash Flow to Balance Sheet - 1 pt

The bottom-line 'Cash at End of Year' reported on the Statement of Cash Flows must mathematically equal which item?

- A) The Cash balance reported under Current Assets on the Statement of Financial Position as of the same year-end date [CORRECT ANSWER]**
- B) Total Net Income for the year on the Statement of Profit or Loss
- C) Total Owner's Drawings on the Statement of Changes in Equity
- D) Total Accounts Payable on the balance sheet

Solution / Rationale: Correct Answer: A.

The ending cash balance on the Statement of Cash Flows must reconcile exactly to the Cash balance reported under Current Assets on the Statement of Financial Position.

Item 339 [reinf-u3-06] | Reinforcement 3.6: Purpose of the Statement of Cash Flows - 1 pt

What is the primary objective of the Statement of Cash Flows?

- A) To calculate the enterprise's corporate income tax bracket.
- B) To list the names of all corporate suppliers.
- C) To record employee attendance.
- D) To provide relevant information about the actual cash receipts and cash payments of an enterprise during a period, categorized into operating, investing, and financing activities. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

The Statement of Cash Flows reports how physical cash was generated and disbursed across Operating, Investing, and Financing activities, explaining the net change in cash.

Item 340 [reinf-u3-07] | Reinforcement 3.7: Three Cash Flow Activity Categories - 1 pt

Which of the following cash transactions is classified as an INVESTING activity on the Statement of Cash Flows?

- A) Cash collected from customers for laundry services rendered (Operating)
- B) Additional cash investment by the owner (Financing)
- C) Cash paid to purchase office equipment and delivery vehicles (Investing) [CORRECT ANSWER]**
- D) Cash withdrawn by the owner for personal living expenses (Financing)

Solution / Rationale: Correct Answer: C.

Investing activities include cash paid to acquire long-term productive assets (Property, Plant, and Equipment) and cash received from the sale of plant assets and long-term investments.

Item 341 [reinf-u3-08] | Reinforcement 3.8: Financing Cash Flow Identification - 1 pt

Which transaction is classified under FINANCING activities on the Statement of Cash Flows of a sole proprietorship?

- A) Cash withdrawals made by the owner for personal use [CORRECT ANSWER]**
- B) Cash paid to utility companies for monthly electricity
- C) Cash collections from customer accounts receivable
- D) Cash paid to buy office supplies

Solution / Rationale: Correct Answer: A.

Financing activities involve transactions with capital providers and lenders: cash investments by the owner, bank borrowings, loan repayments, and owner withdrawals (drawings).

Item 342 [reinf-u3-09] | Reinforcement 3.9: Operating Cash Flow Identification - 1 pt

Which transaction is classified under OPERATING activities on the Statement of Cash Flows?

- A) Cash paid to purchase a parcel of land
- B) Cash received from signing a 5-year bank mortgage note
- C) Cash paid to employees for wages and cash collected from clients for services [CORRECT ANSWER]**
- D) Cash invested by a new business partner

Solution / Rationale: Correct Answer: C.

Operating activities involve the principal revenue-generating activities of the entity: collecting cash from customers and paying operating expenses (salaries, utilities, rent, suppliers).

Item 343 [reinf-u3-10] | Reinforcement 3.10: Role of Notes to Financial Statements - 1 pt

Which of the following is TRUE regarding the Notes to Financial Statements?

- A) They are optional marketing materials that may be discarded by the reader.
- B) They form an integral part of the financial statements, providing essential descriptions of accounting policies, contingent liabilities, and detailed supporting schedules. [CORRECT ANSWER]**
- C) They list the personal home addresses of all corporate clients.
- D) They are prepared only when an enterprise incurs a net loss.

Solution / Rationale: Correct Answer: B.

The Notes to Financial Statements are an integral part of the financial statements: they explain measurement bases, accounting policies, debt terms, and disaggregate statement line items.

Item 344 [reinf-u3-11] | Reinforcement 3.11: Definition of an Asset (Conceptual Framework) - 1 pt

Under the IFRS Conceptual Framework, an 'Asset' is defined as:

- A) A present legal debt owed to a supplier resulting from past purchases.
- B) The residual interest in the entity after deducting all liabilities.
- C) A present economic resource controlled by the entity as a result of past events. [CORRECT ANSWER]**
- D) Total cash sales collected during the year.

Solution / Rationale: Correct Answer: C.

An Asset is 'a present economic resource controlled by the entity as a result of past events.' An economic resource is a right that has the potential to produce economic benefits.

Item 345 [reinf-u3-12] | Reinforcement 3.12: Criteria for Current Assets - 1 pt

An asset is classified as a 'Current Asset' on the Statement of Financial Position if it satisfies which condition?

- A) It has physical substance and will be used for at least 10 years.
- B) It is expected to be realized in cash, sold, or consumed within the entity's normal operating cycle or within 12 months after the reporting period, or is cash/cash equivalent. [CORRECT ANSWER]**
- C) It cannot be sold under Philippine law.
- D) It represents long-term mortgage obligations.

Solution / Rationale: Correct Answer: B.

An asset is a Current Asset if it is: (1) expected to be realized, sold, or consumed in the normal operating cycle, (2) held primarily for trading, (3) expected to be realized within 12 months, or (4) cash/cash equivalent.

Item 346 [reinf-u3-13] | Reinforcement 3.13: Identification of Current Assets - 1 pt

Which of the following combinations consists EXCLUSIVELY of Current Assets?

- A) Cash, Accounts Receivable, Office Supplies, and Prepaid Rent [CORRECT ANSWER]**
- B) Cash, Delivery Truck, Land, and Accounts Payable
- C) Office Equipment, Building, Notes Receivable, and Owner's Capital
- D) Merchandise Inventory, Machinery, Salaries Expense, and Patent

Solution / Rationale: Correct Answer: A.

Cash, Accounts Receivable, Supplies, and Prepaid Rent are all resources expected to be realized in cash or consumed within 12 months, making them Current Assets.

Item 347 [reinf-u3-14] | Reinforcement 3.14: Non-Current Assets (PPE) Presentation - 1 pt

Which asset is classified as a Non-Current Asset and is NOT subject to depreciation?

- A) Land held for business operations [CORRECT ANSWER]**
- B) Office Computer Equipment
- C) Delivery Motorcycle
- D) Commercial Office Building

Solution / Rationale: Correct Answer: A.

Land has an unlimited useful life and does not wear out or depreciate. Buildings, equipment, and vehicles are depreciable PPE assets.

Item 348 [reinf-u3-15] | Reinforcement 3.15: Carrying Value (Net Book Value) of PPE - 1 pt

An entity owns office equipment with a historical acquisition cost of Php 100,000 and an Accumulated Depreciation balance of Php 35,000. What is the net Carrying Value (Book Value) reported on the balance sheet?

- A) Php 135,000
- B) Php 100,000
- C) Php 35,000
- D) Php 65,000 [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Carrying Value (Net Book Value) = Historical Cost (Php 100,000) - Accumulated Depreciation (Php 35,000) = Php 65,000.

Item 349 [reinf-u3-16] | Reinforcement 3.16: Definition of a Liability - 1 pt

Under the IFRS Conceptual Framework, a 'Liability' is defined as:

- A) Cash invested by corporate shareholders.
- B) Future economic benefits controlled by the entity.
- C) An optional gift to be given to employees next Christmas.

D) A present obligation of the entity to transfer an economic resource as a result of past events. [CORRECT ANSWER]

Solution / Rationale: Correct Answer: D.

A Liability is 'a present obligation of the entity to transfer an economic resource as a result of past events.' An obligation is a duty or responsibility that the entity has no practical ability to avoid.

Item 350 [reinf-u3-17] | Reinforcement 3.17: Criteria for Current Liabilities - 1 pt

Which of the following obligations is classified as a 'Current Liability' on the Statement of Financial Position?

- A) Trade Accounts Payable due within 30 days and accrued salaries owed to employees for the current month [CORRECT ANSWER]**
- B) A 10-year bank mortgage loan payable
- C) Owner's permanent investment capital
- D) A 15-year bond payable

Solution / Rationale: Correct Answer: A.

Current Liabilities are obligations expected to be settled in the normal operating cycle or due within 12 months (e.g. Accounts Payable, Accrued Salaries, Short-term Notes).

Item 351 [reinf-u3-18] | Reinforcement 3.18: Non-Current Liabilities Identification - 1 pt

Which liability is classified as a Non-Current Liability on the Statement of Financial Position?

- A) Utilities Payable due next week
- B) Mortgage Payable secured by real estate, maturing in 5 years [CORRECT ANSWER]**
- C) Unearned Service Revenue for classes next month
- D) Accounts Payable owed to office suppliers

Solution / Rationale: Correct Answer: B.

A Mortgage Payable maturing in 5 years is a long-term debt due beyond 12 months, classifying it as a Non-Current Liability.

Item 352 [reinf-u3-19] | Reinforcement 3.19: Working Capital Calculation - 1 pt

An enterprise reports Total Current Assets of Php 350,000 and Total Current Liabilities of Php 150,000. What is its Working Capital?

- A) Php 500,000
- B) Php 2.33
- C) Php 200,000 [CORRECT ANSWER]**
- D) Php 150,000

Solution / Rationale: Correct Answer: C.

Working Capital = Total Current Assets (Php 350,000) - Total Current Liabilities (Php 150,000) = Php 200,000.

Item 353 [reinf-u3-20] | Reinforcement 3.20: Current Ratio Computation - 1 pt

A business has Current Assets of Php 400,000 and Current Liabilities of Php 200,000. What is its Current Ratio?

- A) 2.00 : 1 [CORRECT ANSWER]**
- B) 0.50 : 1
- C) Php 200,000
- D) 1.50 : 1

Solution / Rationale: Correct Answer: A.

Current Ratio = Current Assets / Current Liabilities = Php 400,000 / Php 200,000 = 2.00 : 1.

Item 354 [reinf-u3-21] | Reinforcement 3.21: Classification of Prepaid Expenses - 1 pt

When an enterprise pays Php 36,000 cash in advance for a 6-month commercial space rental policy, how is the unexpired portion classified on the Statement of Financial Position?

- A) As an Operating Rent Expense on the Income Statement
- B) As a Current Liability (Unearned Rent)
- C) As an Owner's Drawing

D) As a Current Asset (Prepaid Rent) [CORRECT ANSWER]

Solution / Rationale: Correct Answer: D.

Prepaid Expenses represent future economic benefits (rights to receive space or insurance) paid in cash in advance, classifying them as Current Assets.

Item 355 [reinf-u3-22] | Reinforcement 3.22: Classification of Unearned Revenue - 1 pt

An architectural firm receives a Php 50,000 cash advance from a client for building blueprints that will be drawn next month. On the date received, this Php 50,000 is classified as:

- A) Service Revenue earned immediately

B) A Current Liability (Unearned Service Revenue) [CORRECT ANSWER]

- C) A Non-Current Asset
- D) Contributed Capital

Solution / Rationale: Correct Answer: B.

Collecting cash before the service is performed creates a present obligation to render services in the future, classified as a Current Liability (Unearned Revenue).

Item 356 [reinf-u3-23] | Reinforcement 3.23: Classification of Accrued Revenue - 1 pt

A tutorial service conducts review sessions for students in December, earning Php 20,000, but has not yet collected the cash by December 31. This uncollected earned revenue is classified on the December 31 balance sheet as:

- A) A Current Liability (Unearned Revenue)
- B) A deduction from Owner's Capital

C) A Current Asset (Accrued Revenue / Accounts Receivable) [CORRECT ANSWER]

- D) An operating expense

Solution / Rationale: Correct Answer: C.

Revenue earned before cash is received creates a legal claim to collect cash, classified as a Current Asset (Accrued Revenue / Accounts Receivable).

Item 357 [reinf-u3-24] | Reinforcement 3.24: Classification of Accrued Expense - 1 pt

An entity's employees worked the last week of December, earning Php 15,000 in wages. Payroll will be paid on January 5. On the December 31 balance sheet, this unpaid wage obligation is classified as:

- A) A Current Asset (Prepaid Wages)
- B) A Non-Current Liability
- C) Owner's Drawings

D) A Current Liability (Accrued Salaries / Salaries Payable) [CORRECT ANSWER]

Solution / Rationale: Correct Answer: D.

Expenses incurred but not yet paid in cash represent present obligations to transfer cash, classified as a Current Liability (Salaries Payable / Accrued Expense).

Item 358 [reinf-u3-25] | Reinforcement 3.25: Timing Contrast: Accruals vs. Deferrals - 1 pt

Which statement accurately describes the timing difference between an Accrual and a Deferral?

- A) In an Accrual, cash is exchanged before the economic service happens; in a Deferral, cash is exchanged after.
- B) Accruals apply only to corporations, while deferrals apply only to partnerships.
- C) There is no timing difference.

D) In a Deferral (Prepayment), cash changes hands FIRST before the economic event/consumption; in an Accrual, the economic event occurs FIRST before cash changes hands. [CORRECT ANSWER]

Solution / Rationale: Correct Answer: D.

Deferral/Prepayment: Cash moves first, economic performance later (Cash First). Accrual: Economic event occurs first, cash moves later (Economic Event First).

Item 359 [reinf-u3-26] | Reinforcement 3.26: Advances to Suppliers - 1 pt

An enterprise pays a Php 25,000 cash down payment to a supplier for office stationery that will be delivered in two weeks. How is this advance payment classified?

- A) As a Current Liability (Accounts Payable)
- B) As an immediate Supplies Expense
- C) As a Current Asset (Advances to Suppliers / Prepaid Supplies) [CORRECT ANSWER]**
- D) As an Owner's Drawing

Solution / Rationale: Correct Answer: C.

Paying cash in advance to a supplier gives the entity a right to receive future goods, classifying it as a Current Asset (Advances to Suppliers / Prepaid Asset).

Item 360 [reinf-u3-27] | Reinforcement 3.27: Advances from Customers - 1 pt

A customer pays a Php 10,000 cash deposit for specialized repair work that will be performed next month. How is this classified on the service firm's Statement of Financial Position?

- A) As Service Revenue earned
- B) As a Current Asset (Accounts Receivable)
- C) As a Current Liability (Advances from Customers / Unearned Revenue) [CORRECT ANSWER]**
- D) As an addition to Owner's Equity

Solution / Rationale: Correct Answer: C.

Cash received from a customer before performing services creates a duty to perform or refund, classifying it as a Current Liability (Advances from Customers / Unearned Revenue).

Item 361 [reinf-u3-28] | Reinforcement 3.28: Master Summary of Prepayments and Accruals - 1 pt

Which of the following pairings correctly matches the item with its Statement of Financial Position classification?

- A) Prepaid Insurance -> Current Liability; Unearned Revenue -> Current Asset
- B) Accrued Interest Receivable -> Current Asset; Accrued Utilities Payable -> Current Liability [CORRECT ANSWER]**
- C) Accrued Salaries Payable -> Current Asset; Prepaid Rent -> Current Liability
- D) Unearned Service Fees -> Non-Current Asset; Accounts Payable -> Equity

Solution / Rationale: Correct Answer: B.

Accrued Interest Receivable is a Current Asset (right to collect cash); Accrued Utilities Payable is a Current Liability (obligation to pay cash).

Item 362 [reinf-u3-29] | Reinforcement 3.29: Definition of Owner's Equity - 1 pt

Under the IFRS Conceptual Framework, 'Owner's Equity' is defined as:

- A) The total cash physically stored inside the business bank account.
- B) The residual interest in the assets of the enterprise after deducting all of its liabilities (Assets - Liabilities). [CORRECT ANSWER]**
- C) Total revenues collected from customers during the year.
- D) The market value of the owner's personal home.

Solution / Rationale: Correct Answer: B.

Owner's Equity is 'the residual interest in the assets of the entity after deducting all its liabilities' (Net Assets: $\text{ext}\{\text{Equity}\} = \text{ext}\{\text{Assets}\} - \text{ext}\{\text{Liabilities}\}$).

Item 363 [reinf-u3-30] | Reinforcement 3.30: Contributed Capital vs. Earned Capital - 1 pt

What is the difference between Contributed Capital and Earned Capital in Owner's Equity?

- A) Contributed capital comes from bank loans; earned capital comes from customer loans.
- B) Contributed capital is paid out as taxes; earned capital is paid out as drawings.
- C) There is no difference; they are identical.
- D) Contributed capital represents cash or assets directly invested by the owner into the business; earned capital represents cumulative historical net income retained in the business from profitable operations. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Contributed Capital is the owner's direct investment of resources into the firm. Earned Capital is accumulated net income generated by business operations that has been retained.

Item 364 [reinf-u3-31] | Reinforcement 3.31: Owner's Drawings Distinction - 1 pt**Why are Owner's Drawings (withdrawals) NOT reported as expenses on the Statement of Profit or Loss?**

- A) Because owners are not allowed to withdraw cash.
- B) Because withdrawals are classified as non-current assets.
- C) Because drawings must be paid to the government.
- D) Because withdrawals are personal distributions of capital to the owner, not costs incurred in the ordinary operation of business to generate revenues. [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

Owner's Drawings are capital distributions to the owner in their capacity as an owner. They directly reduce equity on the Statement of Changes in Equity, but are never operational expenses.

Item 365 [reinf-u3-32] | Reinforcement 3.32: Definition of Revenue (Income) - 1 pt**Under the Conceptual Framework, 'Income' (Revenue) is defined as:**

- A) Cash borrowed from a commercial bank.
- B) Initial cash investments made by the business founder.
- C) Increases in assets or decreases in liabilities that result in increases in equity, other than those relating to contributions from equity participants (owners). [CORRECT ANSWER]**
- D) Reductions in total operational expenses.

Solution / Rationale: Correct Answer: C.

Income encompasses increases in assets or decreases in liabilities that result in increases in equity, other than owner capital contributions.

Item 366 [reinf-u3-33] | Reinforcement 3.33: Definition of Expense - 1 pt**Under the Conceptual Framework, an 'Expense' is defined as:**

- A) Cash withdrawn by the owner for family living expenses.
- B) Buying an office computer for cash.
- C) Decreases in assets or increases in liabilities that result in decreases in equity, other than those relating to distributions to equity participants (owner drawings). [CORRECT ANSWER]**
- D) Repaying the principal of a bank loan.

Solution / Rationale: Correct Answer: C.

Expenses are decreases in assets or increases in liabilities that result in decreases in equity, other than distributions to equity holders (drawings).

Item 367 [reinf-u3-34] | Reinforcement 3.34: Natural Form of Statement of Profit or Loss - 1 pt**A Statement of Profit or Loss for a service enterprise presents expenses listed as Salaries Expense, Rent Expense, Supplies Expense, Utilities Expense, and Depreciation Expense. This presentation is known as:**

- A) The Functional Form (Cost of Sales method)
- B) The Classified Balance Sheet
- C) The Direct Cash Flow method
- D) The Natural Form (Nature of Expense method) [CORRECT ANSWER]**

Solution / Rationale: Correct Answer: D.

The Nature of Expense (Natural) format aggregates expenses according to their nature (e.g. salaries, rent, depreciation, utilities) without reallocating them to functional cost centers.

Item 368 [reinf-u3-35] | Reinforcement 3.35: Events that do NOT generate Revenue - 1 pt**Which of the following events does NOT result in the recognition of Revenue?**

- A) Performing laundry services for a customer on credit
- B) Collecting an initial cash investment of Php 100,000 from the business owner [CORRECT ANSWER]**
- C) Renting out an extra room in the business office to a tenant for monthly rent
- D) Delivering completed architectural drawings to a client

Solution / Rationale: Correct Answer: B.

Owner capital contributions increase assets and equity, but represent Investments, not revenues earned from business operations.

Item 369 [reinf-u3-36] | Reinforcement 3.36: Basic Equation: Solve for Total Assets - 1 pt

An enterprise reports Total Liabilities of Php 180,000 and Owner's Equity of Php 320,000. What is the amount of Total Assets?

- A) Php 140,000
- B) Php 320,000
- C) Php 180,000

D) Php 500,000 [CORRECT ANSWER]

Solution / Rationale: Correct Answer: D.

Assets = Liabilities + Owner's Equity = Php 180,000 + Php 320,000 = Php 500,000.

Item 370 [reinf-u3-37] | Reinforcement 3.37: Basic Equation: Solve for Owner's Equity - 1 pt

On December 31, an enterprise holds Cash of Php 50,000, Accounts Receivable of Php 80,000, Supplies of Php 20,000, and Equipment of Php 150,000. Its Total Liabilities equal Php 90,000. What is the Owner's Equity?

- A) Php 390,000
- B) Php 300,000
- C) Php 120,000

D) Php 210,000 [CORRECT ANSWER]

Solution / Rationale: Correct Answer: D.

Total Assets = Php 50,000 + Php 80,000 + Php 20,000 + Php 150,000 = Php 300,000. Owner's Equity = Total Assets (Php 300,000) - Total Liabilities (Php 90,000) = Php 210,000.

Item 371 [reinf-u3-38] | Reinforcement 3.38: Equation Dynamics: Asset & Liability Changes - 1 pt

During the year, an entity's Total Liabilities decreased by Php 30,000 and Owner's Equity increased by Php 70,000. What was the net change in Total Assets during the period?

- A) Increased by Php 40,000 [CORRECT ANSWER]**
- B) Decreased by Php 100,000
- C) Decreased by Php 40,000
- D) Increased by Php 100,000

Solution / Rationale: Correct Answer: A.

Delta Assets = Delta Liabilities + Delta Owner's Equity = (-Php 30,000) + (+Php 70,000) = +Php 40,000 (Increase of Php 40,000).

Item 372 [reinf-u3-39] | Reinforcement 3.39: Proportional Equation: Liabilities as % of Equity - 1 pt

An enterprise reports Total Assets of Php 700,000. If Total Liabilities represent 40% of Owner's Equity, what is the amount of Owner's Equity?

- A) Php 280,000
- B) Php 420,000
- C) Php 500,000 [CORRECT ANSWER]**
- D) Php 350,000

Solution / Rationale: Correct Answer: C.

Assets = Liabilities + Owner's Equity. Since Liabilities = 0.40 x OE: Assets = 0.40 OE + 1.00 OE = 1.40 OE. OE = Php 700,000 / 1.40 = Php 500,000. (Check: Liabilities = Php 200,000; Php 200,000 + Php 500,000 = Php 700,000).

Item 373 [reinf-u3-40] | Reinforcement 3.40: Expanded Equity Equation: Solve for Ending Capital - 1 pt

At the start of 2026, an entity's beginning Owner's Equity was Php 250,000. During 2026, the owner invested an additional Php 50,000 cash, the business generated Revenues of Php 300,000 and incurred Expenses of Php 180,000, and the owner withdrew Php 40,000 for personal use. What is the Ending Owner's Equity at December 31, 2026?

- A) Php 460,000
- B) Php 340,000
- C) Php 380,000 [CORRECT ANSWER]**
- D) Php 300,000

Solution / Rationale: Correct Answer: C.

Net Income = Revenues (Php 300,000) - Expenses (Php 180,000) = Php 120,000. Ending Capital = Beginning Capital (Php 250,000) + Investments (Php 50,000) + Net Income (Php 120,000) - Drawings (Php 40,000) = Php 380,000.

Item 374 [reinf-u3-41] | Reinforcement 3.41: Solve for Owner's Drawings - 1 pt

A business started the year with Owner's Capital of Php 180,000. During the year, the owner made additional investments of Php 30,000 and the business earned a Net Income of Php 85,000. At year-end, the ending Owner's Capital is Php 260,000. How much cash was withdrawn by the owner during the year?

A) Php 35,000 [CORRECT ANSWER]

- B) Php 135,000
- C) Php 55,000
- D) Php 20,000

Solution / Rationale: Correct Answer: A.

Ending Capital = Beginning Capital + Investments + Net Income - Drawings. $\text{Php } 260,000 = \text{Php } 180,000 + \text{Php } 30,000 + \text{Php } 85,000 - \text{Drawings}$. $\text{Php } 260,000 = \text{Php } 295,000 - \text{Drawings} \Rightarrow \text{Drawings} = \text{Php } 295,000 - \text{Php } 260,000 = \text{Php } 35,000$.

Item 375 [reinf-u3-42] | Reinforcement 3.42: Solve for Beginning Capital (Faith D. Nakpil Pattern) - 1 pt

An entrepreneur forgot her exact initial capital balance at the beginning of the year. Her records show that during the year, she invested an additional Php 100,000 in equipment, withdrew Php 15,000 for personal use, earned a Net Income of Php 140,000, and ended the year with an Ending Capital of Php 550,000. What was her Beginning Capital?

- A) Php 775,000
- B) Php 425,000

C) Php 325,000 [CORRECT ANSWER]

- D) Php 310,000

Solution / Rationale: Correct Answer: C.

Ending Capital = Beginning Capital + Investments + Net Income - Drawings. $\text{Php } 550,000 = \text{Beg Capital} + \text{Php } 100,000 + \text{Php } 140,000 - \text{Php } 15,000 = \text{Beg Capital} + \text{Php } 225,000$. $\text{Beg Capital} = \text{Php } 550,000 - \text{Php } 225,000 = \text{Php } 325,000$.

Item 376 [reinf-u3-43] | Reinforcement 3.43: Solve for Net Income via Equity Algebra - 1 pt

Beginning Owner's Equity was Php 150,000 and Ending Owner's Equity was Php 230,000. During the year, the owner invested an additional Php 20,000 and withdrew Php 35,000 for personal living expenses. What was the Net Income for the year?

A) Php 95,000 [CORRECT ANSWER]

- B) Php 65,000
- C) Php 80,000
- D) Php 115,000

Solution / Rationale: Correct Answer: A.

Ending Capital (Php 230,000) = Beginning Capital (Php 150,000) + Investments (Php 20,000) + Net Income - Drawings (Php 35,000). $\text{Php } 230,000 = \text{Php } 135,000 + \text{Net Income} \Rightarrow \text{Net Income} = \text{Php } 230,000 - \text{Php } 135,000 = \text{Php } 95,000$.

Item 377 [reinf-u3-44] | Reinforcement 3.44: Total Current Assets from Account Balances - 1 pt

A service company has the following account balances on December 31, 2026:

- Cash: Php 45,000
- Accounts Receivable: Php 60,000
- Office Supplies: Php 15,000
- Prepaid Rent: Php 30,000
- Office Equipment: Php 120,000
- Land: Php 400,000
- Accounts Payable: Php 35,000

What is the Total Current Assets?

A) Php 150,000 [CORRECT ANSWER]

- B) Php 670,000
- C) Php 270,000
- D) Php 120,000

Solution / Rationale: Correct Answer: A.

Current Assets = Cash (Php 45,000) + Accounts Receivable (Php 60,000) + Office Supplies (Php 15,000) + Prepaid Rent (Php 30,000) = Php 150,000. (Equipment and Land are Non-Current Assets).

Item 378 [reinf-u3-45] | Reinforcement 3.45: Total Non-Current Assets Computation - 1 pt

Using the data from the previous problem (Cash Php 45,000; AR Php 60,000; Supplies Php 15,000; Prepaid Rent Php 30,000; Office Equipment Php 120,000; Land Php 400,000), what is the Total Non-Current Assets and Total Assets?

- A) Non-Current: Php 400,000; Total Assets: Php 550,000
- B) Non-Current: Php 520,000; Total Assets: Php 670,000 [CORRECT ANSWER]**
- C) Non-Current: Php 120,000; Total Assets: Php 270,000
- D) Non-Current: Php 670,000; Total Assets: Php 820,000

Solution / Rationale: Correct Answer: B.

Total Non-Current Assets = Office Equipment (Php 120,000) + Land (Php 400,000) = Php 520,000. Total Assets = Current (Php 150,000) + Non-Current (Php 520,000) = Php 670,000.

Item 379 [reinf-u3-46] | Reinforcement 3.46: Total Current Liabilities from Account Balances - 1 pt

An enterprise has the following obligations on December 31, 2026:

- Accounts Payable: Php 40,000
- Accrued Salaries Payable: Php 18,000
- Unearned Service Revenue: Php 22,000
- Notes Payable (due in 60 days): Php 30,000
- Mortgage Payable (due in 5 years): Php 250,000

What is the Total Current Liabilities?

- A) Php 360,000
- B) Php 110,000 [CORRECT ANSWER]**
- C) Php 250,000
- D) Php 80,000

Solution / Rationale: Correct Answer: B.

Current Liabilities = Accounts Payable (Php 40,000) + Salaries Payable (Php 18,000) + Unearned Revenue (Php 22,000) + Short-term Notes Payable (Php 30,000) = Php 110,000. (Mortgage Payable is Non-Current).

Item 380 [reinf-u3-47] | Reinforcement 3.47: Net Income Calculation (Natural Form) - 1 pt

During August, FDN Salon Services earned Service Revenues of Php 180,000. It incurred the following expenses:

- Salaries Expense: Php 45,000
- Rent Expense: Php 25,000
- Utilities Expense: Php 12,000
- Supplies Expense: Php 8,000

During the month, the owner also withdrew Php 15,000 for personal use. What was the Net Income for August?

- A) Php 75,000
- B) Php 90,000 [CORRECT ANSWER]**
- C) Php 105,000
- D) Php 180,000

Solution / Rationale: Correct Answer: B.

Total Operating Expenses = Php 45,000 + Php 25,000 + Php 12,000 + Php 8,000 = Php 90,000. Net Income = Revenues (Php 180,000) - Expenses (Php 90,000) = Php 90,000. (Owner drawings of Php 15,000 reduce equity, but are NOT an expense).

Item 381 [reinf-u3-48] | Reinforcement 3.48: Transaction Effect: Paying Accounts Payable - 1 pt

An enterprise pays Php 20,000 cash to settle an outstanding Accounts Payable owed to a supplier. What is the net effect on the basic accounting equation?

- A) Total Assets decrease by Php 20,000 (Cash decreases) and Total Liabilities decrease by Php 20,000 (Accounts Payable decreases). [CORRECT ANSWER]**
- B) Total Assets increase by Php 20,000 and Total Liabilities decrease by Php 20,000.
- C) Total Assets decrease by Php 20,000 and Owner's Equity decreases by Php 20,000.
- D) Total Assets remain unchanged and Owner's Equity decreases by Php 20,000.

Solution / Rationale: Correct Answer: A.

Paying an account payable decreases an asset (Cash -Php 20,000) and decreases a liability (Accounts Payable -Php 20,000). The equation remains in balance: -Php 20,000 Assets = -Php 20,000 Liabilities.

Item 382 [reinf-u3-49] | Reinforcement 3.49: Transaction Effect: Purchasing Equipment with Cash & Credit - 1 pt

A business acquires a new office machine costing Php 80,000 by paying Php 20,000 cash and signing a 60-day promissory Note Payable for the remaining Php 60,000. What is the effect on the accounting equation?

A) Total Assets increase by Php 60,000 (Machine +Php 80,000, Cash -Php 20,000) and Total Liabilities increase by Php 60,000 (Notes Payable). [CORRECT ANSWER]

B) Total Assets increase by Php 80,000 and Liabilities increase by Php 80,000.

C) Total Assets increase by Php 60,000 and Owner's Equity increases by Php 60,000.

D) Total Assets and Liabilities both remain unchanged.

Solution / Rationale: Correct Answer: A.

Machine asset increases by Php 80,000 and Cash asset decreases by Php 20,000 (net increase in Total Assets of +Php 60,000). Notes Payable liability increases by +Php 60,000. Equilibrium is maintained.

Item 383 [reinf-u3-50] | Reinforcement 3.50: Complete Four-Statement Interlocking Cycle - 1 pt

Which sequence correctly reflects how financial statements articulate and interlock at the end of an accounting period?

A) Statement of Cash Flows -> Statement of Financial Position -> Statement of Profit or Loss -> Notes

B) Statement of Financial Position -> Audit Report -> Trial Balance -> Statement of Profit or Loss

C) Notes to Financial Statements -> Statement of Profit or Loss -> Source Documents

D) Statement of Profit or Loss (calculates Net Income) -> Statement of Changes in Owner's Equity (incorporates Net Income to calculate Ending Capital) -> Statement of Financial Position (reports Ending Capital and Cash) <- Statement of Cash Flows (reconciles Ending Cash) -> Notes to Financial Statements [CORRECT ANSWER]

Solution / Rationale: Correct Answer: D.

The statements interlock: (1) SPL computes Net Income, (2) which flows into SOE to calculate Ending Capital, (3) which is reported on the SFP, (4) whose ending cash balance reconciles to the SCF, and (5) the Notes provide granular explanatory disclosures.